

Investor: _____

CONFIDENTIAL PRIVATE PLACEMENT MEMORANDUM

10FSSAC5-A, LLC

\$150,000,000 in Limited Liability Company Units

This Confidential Private Placement Memorandum (this “Memorandum”) relates to the private offering (the “Offering”) of limited liability company ownership units (each a “Unit” and collectively the “Units”) of 10FSSAC5-A, LLC (“we” or the “Company”). There is no public market for any of our securities, and there can be no assurance that any such market will develop following the Offering.

We are offering for sale up to \$150,000,000 aggregate value of Units in the Company and a parallel vehicle, 10FSSAC5-B, LLC (“10FSSAC5-B”), while at the Sponsor’s sole ability to increase this up to \$300,000,000. We plan to consummate the initial closing of the sale of Units in the Company and 10FSSAC5-B once we have received aggregate paid subscriptions for Class I Units in the Company and 10FSSAC5-B of at least \$5,000,000. Prior to that time, we will hold all funds for the purchase of the Units in escrow pending successful completion of the Offering. Subscriptions will be effective only upon acceptance by us, and we reserve the right to accept or reject any subscription in whole or in part for any reason. After the initial closing, we can have multiple additional closings through the second anniversary of the initial closing, subject to a one-year extension at the sole election of the Sponsor. The Company may decide, at its sole discretion, to hold funds in escrow in a low-interest-bearing money market account. The Units may be collectively referred to in this Memorandum as the “Securities.”

We are offering and will sell the Units only to “accredited investors” as that term is defined in Rule 501 of Regulation D (“Regulation D”) promulgated by the Securities and Exchange Commission (the “Commission”) pursuant to the Securities Act of 1933, as amended (the “Securities Act”). We plan to offer a number of Units (and units in 10FSSAC5-B) resulting in proceeds of up to \$150,000,000, while at the Sponsor’s sole ability to increase this up to \$300,000,000. The minimum individual investment for Units in the Company is \$100,000, although we may, in our sole discretion, accept subscriptions for lesser amounts.

Attached to this Memorandum as Exhibit A is the Limited Liability Company Agreement of the Company (the “LLC Agreement”) that will be adopted in connection with the closing of the Offering and sets forth the economic and voting rights and privileges of the Units as well as certain restrictions on transferability of the Units.

There will be no public market for the Units, and the Units generally will not be transferable. Therefore, an investor in the Company will be required to bear the financial risks of an investment in the Company for an indefinite period of time.

The Units offered hereby are speculative and an investment in the Units involves a high degree of risk. See “Risk Factors.” The Units may not be sold, resold or transferred without, among other things, compliance with applicable federal, state or foreign securities law. Investors must be prepared to bear the economic risk of an investment in the Units for an indefinite period and be able to withstand a total loss of their investment. Neither the Securities and Exchange Commission nor any state or foreign securities commission has reviewed or passed upon the merits of this offering or the accuracy or adequacy of this Memorandum. Any representation to the contrary is a criminal offense._____

The date of this Memorandum is March 13, 2025.

The Units are being offered by us subject to our right to reject any investment in whole or in part.

NOTICES REGARDING THIS MEMORANDUM

THIS MEMORANDUM IS CONFIDENTIAL AND IS BEING FURNISHED BY THE COMPANY TO PROSPECTIVE INVESTORS IN CONNECTION WITH THE OFFERING OF UNITS EXEMPT FROM REGISTRATION UNDER THE SECURITIES ACT SOLELY FOR SUCH INVESTORS' CONFIDENTIAL USE WITH THE EXPRESS UNDERSTANDING THAT, WITHOUT OUR PRIOR WRITTEN PERMISSION, SUCH PERSONS WILL NOT RELEASE THIS DOCUMENT OR DISCUSS THE INFORMATION CONTAINED HEREIN OR MAKE REPRODUCTION OF OR USE THIS MEMORANDUM FOR ANY PURPOSE OTHER THAN AN EVALUATION OF A POTENTIAL INVESTMENT IN THE UNITS. THIS MEMORANDUM IS INDIVIDUALLY DIRECTED TO EACH PROSPECTIVE INVESTOR AND DOES NOT CONSTITUTE AN OFFER TO ANY OTHER PERSON OR TO THE PUBLIC GENERALLY TO SUBSCRIBE FOR OR OTHERWISE ACQUIRE UNITS. DISTRIBUTION OF THIS MEMORANDUM TO ANY PERSON OTHER THAN THE PROSPECTIVE INVESTOR TO WHOM THIS MEMORANDUM WAS DIRECTED, AND THOSE PERSONS, IF ANY, RETAINED TO ADVISE SUCH PROSPECTIVE INVESTOR WITH RESPECT THERETO, IS UNAUTHORIZED, AND ANY DISCLOSURE OF ANY OF ITS CONTENTS, WITHOUT OUR PRIOR WRITTEN CONSENT, IS PROHIBITED.

THE INFORMATION PRESENTED HEREIN WAS PREPARED BY US AND IS BEING FURNISHED SOLELY FOR USE BY PROSPECTIVE INVESTORS IN CONNECTION WITH THE OFFERING. NOTHING CONTAINED HEREIN IS, OR SHOULD BE RELIED ON AS, A PROMISE OR REPRESENTATION AS TO OUR FUTURE PERFORMANCE.

A PROSPECTIVE INVESTOR, BY ACCEPTING DELIVERY OF THIS MEMORANDUM, AGREES PROMPTLY TO RETURN TO US THIS MEMORANDUM AND ANY OTHER DOCUMENTS OR INFORMATION FURNISHED IF THE PROSPECTIVE INVESTOR ELECTS NOT TO PURCHASE ANY OF THE UNITS OFFERED HEREBY OR IF THE OFFERING IS TERMINATED OR WITHDRAWN.

THIS MEMORANDUM DOES NOT PURPORT TO BE ALL-INCLUSIVE OR TO CONTAIN ALL THE INFORMATION THAT A PROSPECTIVE INVESTOR MAY DESIRE IN INVESTIGATING US. EACH INVESTOR MUST CONDUCT AND RELY ON ITS OWN EVALUATION OF US AND THE TERMS OF THE OFFERING, INCLUDING THE MERITS AND RISKS INVOLVED, IN MAKING AN INVESTMENT DECISION WITH RESPECT TO THE UNITS (SEE "RISK FACTORS"). CERTAIN PROVISIONS OF VARIOUS DOCUMENTS ARE SUMMARIZED IN THIS MEMORANDUM, BUT PROSPECTIVE INVESTORS SHOULD NOT ASSUME THAT SUCH SUMMARIES ARE COMPLETE. SUCH SUMMARIES ARE QUALIFIED IN THEIR ENTIRETY BY REFERENCE TO THE COMPLETE TEXT OF SUCH DOCUMENTS.

THIS MEMORANDUM DOES NOT CONSTITUTE AN OFFER TO SELL OR SOLICITATION OF AN OFFER TO BUY THE UNITS IN ANY JURISDICTION WHERE, OR TO ANY PERSON TO WHOM, IT IS UNLAWFUL TO MAKE SUCH OFFER OR SOLICITATION IN SUCH JURISDICTION. EXCEPT AS OTHERWISE INDICATED, THIS MEMORANDUM SPEAKS AS OF THE DATE HEREOF. NEITHER THE DELIVERY OF THIS MEMORANDUM NOR ANY SALE MADE HEREUNDER SHALL, UNDER ANY CIRCUMSTANCES, CREATE ANY IMPLICATION THAT THERE HAS BEEN NO CHANGE IN OURS AFFAIRS AFTER THE DATE HEREOF.

NO PERSON HAS BEEN AUTHORIZED TO GIVE ANY INFORMATION OTHER THAN THAT CONTAINED IN THIS MEMORANDUM, OR TO MAKE ANY REPRESENTATIONS IN CONNECTION WITH THE OFFERING, AND, IF GIVEN OR MADE, SUCH OTHER INFORMATION OR REPRESENTATIONS MUST NOT BE RELIED UPON AS HAVING BEEN AUTHORIZED BY US. WE DISCLAIM ANY AND ALL OMISSIONS FROM THIS MEMORANDUM OR ANY OTHER WRITTEN OR ORAL COMMUNICATION TRANSMITTED OR MADE AVAILABLE TO THE RECIPIENT. EACH INVESTOR WILL BE ENTITLED TO RELY SOLELY ON THOSE REPRESENTATIONS AND WARRANTIES THAT MAY BE MADE TO SUCH INVESTOR IN ANY FINAL PURCHASE AGREEMENT RELATING TO THE UNITS.

CERTAIN OF THE DOCUMENTS DESCRIBED IN THIS MEMORANDUM ARE CURRENTLY IN THE PROCESS OF NEGOTIATION AND HAVE NOT BEEN FINALIZED. THE DESCRIPTIONS OF SUCH DOCUMENTS CONTAINED HEREIN ARE SUBJECT TO THE FINAL VERSIONS OF SUCH DOCUMENTS, WHICH WILL BE AVAILABLE FOR REVIEW PRIOR TO THE CONSUMMATION OF THE OFFERING.

INVESTORS ARE NOT TO CONSTRUE THE CONTENTS OF THIS MEMORANDUM AS LEGAL, BUSINESS OR TAX ADVICE. EACH INVESTOR SHOULD CONSULT SUCH INVESTOR'S OWN ATTORNEY, BUSINESS ADVISOR AND TAX ADVISOR AS TO LEGAL, BUSINESS, TAX AND RELATED MATTERS CONCERNING THIS OFFERING.

THE UNITS HAVE NOT BEEN RECOMMENDED BY ANY FEDERAL OR STATE SECURITIES COMMISSION OR REGULATORY AUTHORITY. FURTHERMORE, THE FOREGOING AUTHORITIES HAVE NOT CONFIRMED THE ACCURACY OR DETERMINED THE ADEQUACY OF THIS DOCUMENT. ANY REPRESENTATION TO THE CONTRARY IS A CRIMINAL OFFENSE.

THE UNITS OFFERED HEREBY ARE SPECULATIVE AND ANY INVESTMENT IN THE UNITS INVOLVES A HIGH DEGREE OF RISK. INVESTORS MUST BE PREPARED TO BEAR THE ECONOMIC RISKS OF ANY INVESTMENT IN THE UNITS FOR AN INDEFINITE PERIOD AND BE ABLE TO WITHSTAND A TOTAL LOSS OF THEIR INVESTMENT. SEE "RISK FACTORS" FOR A DISCUSSION OF CERTAIN FACTORS TO BE CONSIDERED BY PROSPECTIVE INVESTORS.

THE UNITS HAVE NOT BEEN AND WILL NOT BE REGISTERED UNDER THE SECURITIES ACT, OR ANY APPLICABLE STATE OR FOREIGN SECURITIES LAWS, NOR HAS THE COMMISSION OR ANY STATE OR FOREIGN REGULATORY AUTHORITY PASSED UPON THE ACCURACY OR ADEQUACY ON THIS MEMORANDUM OR ENDORSED THE MERITS OF THIS OFFERING, AND ANY REPRESENTATION TO THE CONTRARY IS UNLAWFUL. THE UNITS ARE OFFERED PURSUANT TO EXEMPTIONS PROVIDED BY SECTION 4(2) OF THE SECURITIES ACT AND REGULATION D THEREUNDER, CERTAIN STATE SECURITIES LAWS AND CERTAIN RULES AND REGULATIONS PROMULGATED PURSUANT THERETO. THE UNITS MAY NOT BE OFFERED, SOLD OR OTHERWISE TRANSFERRED IN THE ABSENCE OF AN EFFECTIVE REGISTRATION STATEMENT UNDER THE SECURITIES ACT AND ANY APPLICABLE STATE OR FOREIGN SECURITIES LAWS OR AN OPINION OF COUNSEL ACCEPTABLE TO US AND OUR COUNSEL THAT SUCH REGISTRATION IS NOT REQUIRED.

WE RESERVE THE RIGHT, IN OUR SOLE DISCRETION AND FOR ANY REASON WHATSOEVER, TO MODIFY, AMEND AND/OR WITHDRAW ALL OR A PORTION OF THE OFFERING AND/OR TO ACCEPT OR REJECT IN WHOLE OR IN PART ANY PROSPECTIVE INVESTMENT IN THE UNITS OR TO ALLOT TO ANY PROSPECTIVE INVESTOR LESS THAN THE AMOUNT OF UNITS THAT SUCH INVESTOR DESIRES TO PURCHASE. WE SHALL NOT HAVE ANY LIABILITY WHATSOEVER TO ANY OFFEREE AND/OR INVESTOR IN THE EVENT THAT ANY OF THE FOREGOING SHALL OCCUR.

THE UNITS ARE SUBJECT TO RESTRICTIONS ON TRANSFERABILITY AND RESALE AND MAY NOT BE TRANSFERRED OR RESOLD EXCEPT AS PERMITTED UNDER THE SECURITIES ACT, AND THE APPLICABLE STATE SECURITIES LAWS PURSUANT TO REGISTRATION OR EXEMPTION THEREFROM, AND INVESTORS SHOULD BE AWARE THAT THEY MAY BE REQUIRED TO BEAR THE FINANCIAL RISKS OF THIS INVESTMENT FOR AN INDEFINITE PERIOD OF TIME.

THIS MEMORANDUM IS BEING USED IN CONNECTION WITH THE PRIVATE PLACEMENT OF SECURITIES OF THE COMPANY PURSUANT TO AN EXEMPTION FROM REGISTRATION CONTAINED IN SECTION 4(2) OF THE SECURITIES ACT AND REGULATION D PROMULGATED THEREUNDER. EACH

PURCHASER OF THE SECURITIES OFFERED HEREBY MUST BE AN “ACCREDITED INVESTOR” WITHIN THE MEANING OF REGULATION D UNDER THE SECURITIES ACT.

FORWARD LOOKING STATEMENTS:

CERTAIN STATEMENTS IN THIS MEMORANDUM, INCLUDING BUT NOT LIMITED TO STATEMENTS, ESTIMATES, ASSUMPTIONS AND PROJECTIONS OF FUTURE TRENDS AND OF OUR ANTICIPATED FUTURE PERFORMANCE, CONSTITUTE “FORWARD-LOOKING STATEMENTS.” SUCH FORWARD-LOOKING STATEMENTS INVOLVE KNOWN AND UNKNOWN RISKS, UNCERTAINTIES AND OTHER IMPORTANT FACTORS THAT COULD CAUSE THE ACTUAL RESULTS, PERFORMANCE OR ACHIEVEMENTS OF OUR COMPANY, OR INDUSTRY RESULTS, TO DIFFER MATERIALLY FROM ANY FUTURE RESULTS, PERFORMANCE OR ACHIEVEMENT IMPLIED BY SUCH FORWARD-LOOKING STATEMENTS.

STATEMENTS IN THIS MEMORANDUM THAT ARE FORWARD-LOOKING AND INVOLVE NUMEROUS RISKS AND UNCERTAINTIES THAT COULD CAUSE ACTUAL RESULTS TO DIFFER MATERIALLY FROM EXPECTED RESULTS ARE BASED ON OUR CURRENT BELIEFS AND ASSUMPTIONS REGARDING A LARGE NUMBER OF FACTORS AFFECTING OUR BUSINESS. ACTUAL RESULTS MAY DIFFER MATERIALLY FROM EXPECTED RESULTS. THERE CAN BE NO ASSURANCE THAT (i) WE CORRECTLY MEASURED OR IDENTIFIED ALL OF THE FACTORS AND ASSUMPTIONS AFFECTING OUR BUSINESS OR THE EXTENT OF THEIR LIKELY IMPACT, (ii) THE PUBLICLY AVAILABLE INFORMATION WITH RESPECT TO THESE FACTORS ON WHICH OUR ANALYSIS IS BASED IS COMPLETE OR ACCURATE, (iii) OUR ANALYSIS IS CORRECT OR (iv) OUR STRATEGY, WHICH IS BASED IN PART ON THIS ANALYSIS, WILL BE SUCCESSFUL.

INDUSTRY AND MARKET DATA

THE INDUSTRY AND MARKET DATA REFERENCED IN THIS MEMORANDUM ARE INHERENTLY ESTIMATES AND ARE BASED UPON THIRD-PARTY DATA, INCLUDING INFORMATION DERIVED FROM THE COMPANY’S OWN INTERNAL ESTIMATES, TRACTIQ FROM SOCIAL EXPLOER, INC., MOODY’S ANALYTICS, INC., REONOMY FROM ALTUS GROUP LIMITED, RADIUSPLUS FROM UNION REALTIME LLC AND STOREDGE FACILITY MANAGEMENT SOFTWARE FROM STORABLE, AMONG OTHERS. WHILE THE COMPANY BELIEVES THAT THESE DATA ARE REASONABLE, IN SOME CASES THESE DATA ARE BASED ON THE COMPANY’S OR OTHERS’ ESTIMATES AND CANNOT BE VERIFIED BY THE COMPANY. ACCORDINGLY, PROSPECTIVE INVESTORS ARE CAUTIONED NOT TO PLACE UNDUE RELIANCE ON THE INDUSTRY AND MARKET DATA INCLUDED IN THIS MEMORANDUM.

FOR NON-UNITED STATES RESIDENTS ONLY:

IT IS THE RESPONSIBILITY OF ANY PERSON WISHING TO PURCHASE THE SECURITIES TO SATISFY HIMSELF OR HERSELF AS TO FULL OBSERVANCE OF THE LAWS OF ANY RELEVANT TERRITORY OUTSIDE THE U.S. IN CONNECTION WITH ANY SUCH PURCHASE, INCLUDING OBTAINING ANY REQUIRED GOVERNMENTAL OR OTHER CONSENTS OR OBSERVING ANY OTHER APPLICABLE FORMALITIES.

ADDITIONAL INFORMATION

All communications or inquiries relating to this Memorandum should be directed to the Company at the following address:

10FSSAC5-A, LLC
3301 Atlantic Ave.
Raleigh, NC 27604

Attn: Trent Erickson or Brandon Drumm
Email: Terickson@10Federal.com or Bdrum@10Federal.com

We will undertake to make available to you, during the transaction and prior to the sale of the Units, the opportunity to ask questions of and receive answers from us concerning the terms and conditions of this Offering and to obtain any additional information necessary to verify the accuracy of the information contained in this Memorandum. Any additional information will be made available to you only to the extent our management possesses the information or can obtain it without unreasonable effort or expense, and subject in appropriate circumstances to receipt by the Company of reasonable assurances that such documents or information will be maintained in confidence.

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EXHIBITS:

Exhibit A -	LLC Agreement – 10FSSAC5-A, LLC
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EXECUTIVE SUMMARY

Company Overview

10FSSAC5-A, LLC, a Delaware limited liability company (the “Company”), was founded in March 2025 to acquire, develop, and operate self-storage facilities in such portions of the contiguous United States that are east of the Rocky Mountains (the “Eastern United States”). The 10 Federal affiliated companies (“10 Federal” or the “Sponsor”) are a conglomerate of real-estate focused business entities that include property management, development, construction, multifamily and self-storage. The Sponsor previously co-invested in and operated a multifamily portfolio with an estimated value of \$250 million (see “Business Overview-Experience” for a list of properties) and currently operates student multi-family projects with a combined estimated value of \$85 million. 10 Federal’s property management arm consists of approximately 50 team members and covers approximately 21,200 units of student housing and self-storage. 10 Federal has completed construction projects totaling approximately \$50 million in cost and has an additional construction pipeline exceeding \$5 million.

Our Properties

Prior to this offering, the Company owns no property. The purpose of selling the Units is to acquire inefficiently managed self-storage facilities and convert them from staffed to unmanned operations. See “Business Overview” for more information.

Organizational Structure

The Company, along with 10FSSAC5-B, LLC, a Delaware limited liability company (“10FSSAC5-B”), will own the properties indirectly through 10FSSAC5 Master, LLC (“10FSSAC5 Master”), 10FSSAC5 REIT, LLC, a Delaware limited liability company (the “10FSSAC5 REIT”), and its controlled subsidiary, 10FSSAC5 Operating Partnership, LP, a Delaware limited partnership (the “Operating Partnership”). The Operating Partnership will generally own the properties through subsidiary entities, although the Operating Partnership may own properties directly. The 10FSSAC5 REIT intends to elect to be taxed and qualify as a real estate investment trust (“REIT”) for federal income tax purposes commencing with the taxable year ended December 31, 2025. 10FSSAC5 Master is the sole common shareholder of the 10FSSAC5 REIT. For further information, see the sections of this Memorandum captioned “Material U.S. Federal Income Tax Considerations” and “Risk Factors – Federal Income Tax Risks.”

Company History

The Company is newly formed and currently has no operating history. The Sponsor was founded in 2010 by Bradford and Clifton Minsley to acquire and develop multifamily and self-storage facilities. 10 Federal acquired its first multifamily asset in November 2011 and has since grown the portfolio to over 21,200 units of student housing and self-storage.

Employees

The Company currently has no employees. The Sponsor employs approximately 86 corporate personnel, including the Co-Founders Bradford and Clifton Minsley.

Company Information

Both the Company's and Sponsor's executive offices are located at 3301 Atlantic Ave, Raleigh, NC 27604. The Sponsor's website address is www.10Fed.com.

SUMMARY OF OFFERING

The following is a summary of the proposed terms of the Offering and is qualified in its entirety by the detailed information appearing elsewhere in this Memorandum and by the contents of the other documents included herewith. Before you decide to invest in the Securities, you should read the entire Memorandum and the LLC Agreement of the Company carefully, including the appendices and the risk factors included in this Memorandum.

PROSPECTIVE INVESTORS ARE STRONGLY URGED TO CAREFULLY READ THIS MEMORANDUM IN ITS ENTIRETY, INCLUDING THE EXHIBITS AND THE SECTION TITLED “RISK FACTORS.”

Issuer:	10FSSAC5-A, LLC, a Delaware limited liability company (the “Company”).
Amount to be Raised:	The amount to be raised by the Company and 10FSSAC5-B, LLC, a Delaware limited liability company (“10FSSAC5-B”), is \$150,000,000 in the aggregate, while at the Sponsor’s sole ability to increase this up to \$300,000,000. These amounts may be raised in any proportion as between the Company and 10FSSAC5-B. For the avoidance of doubt, an investment in the Company will grant an investor only an interest in the Company, and such investor will not have any interest (economic or otherwise) in 10FSSAC5-B as a result of such investment.
Securities Offered:	Investors will receive Class I Units in the Company and are referred to as “Class I Members” and, together with the Class S Members, the “Members”. Class I Units will be issued by the Company at the price of \$1,000 per Class I Unit, provided that for any Class I Units to be issued after the second anniversary of the initial closing, the Company might revalue its equity interests and issue Class I Units at a different price as described in Section 3.04 of the LLC Agreement; provided, however, that if the Company lowers the price of its Class I Units pursuant to Section 3.04 of the LLC Agreement, it will first offer its current Class I Members the right to purchase a pro rata portion of such new Class I Units (as detailed in Section 3.04 of the LLC Agreement).
The Offering:	The securities are being offered only to “accredited investors,” as that term is defined in Rule 501(a) of Regulation D under the Securities Act. The Company’s and Sponsor’s officers, directors, employees and affiliates may participate in the Offering.
Minimum Investment in Class I Units:	The minimum individual investment in Class I Units of the Company is \$100,000; provided, however, that the Company may, in its sole discretion, accept subscriptions for lesser amounts.
Classes of Units; Voting Rights:	The Company will have two classes of Units: Class I Units and Class S Units. The Class I Units will be non-voting Units and Class S Units will be voting Units; provided, however, that the Class I Units will

have certain consent rights as provided in Section 5.01(c) of the LLC Agreement. All Class S Units will be owned by the Sponsor. The sole Class S Member and sole owner of Class S Units currently is 10FSSAC5 Sponsor, LLC, which is part of the Sponsor group.

Use of Proceeds:

The Company currently intends to use the net proceeds of the Offering to purchase through subsidiary entities (including, without limitation, through the 10FSSAC5 REIT and Operating Partnership) and/or joint ventures valuable, inefficiently managed self-storage facilities and convert them from staffed to unmanned operations. The Company also plans to use the net proceeds of the Offering to acquire, directly or indirectly, “distressed deals”, which may include buying debt on distressed properties. To the extent the Company uses the net proceeds of the Offering to build new self-storage facilities, it will limit such use to 25% of the Offering proceeds of the Company and 10FSSAC5-B as of the date of such use except to the extent otherwise approved by the holders of Class I Units (other than Class I Units owned by the Sponsor group) under Section 5.01(c) of the LLC Agreement.

Drawdowns:

Subscriptions will be drawn down by the Company at such times as the Manager determines, on not less than 10 business days’ notice.

Investing Platform:

Some of the Units may be sold by the Company utilizing an online commercial real estate investing platform. If the Company sells any Units using such a platform, the Company may have to pay a fee in respect thereof.

Offering Period:

Unless terminated earlier by the Company the Offering will terminate on the second anniversary of the initial closing, subject to a one-year extension at the sole election of the Sponsor.

Side Letters:

The Manager or Sponsor may from time to time enter into letter agreements or other similar arrangements (collectively, “Side Letters”) with one or more investors that have the effect of establishing rights under, or altering or supplementing the terms of, the LLC Agreement. The other investors will have no recourse against the Company or any of its affiliates as a result of such Side Letters.

Default:

An investor that defaults on its obligation to make capital contributions to the Company when called will be subject to certain significant remedies and penalties as set out in the LLC Agreement.

Risk Factors:

An investment in the Company pursuant to the Offering involves a broad range of risks and should only be made after a careful consideration of such risks including risks related to competition, risks of illiquidity and unavailability of future financing and dependence on key employees. See “Risk Factors.”

USE OF PROCEEDS

The net proceeds from the sale of the Units by the Company offered hereby (and offered by 10FSSAC5-B), before deducting estimated offering expenses, are estimated to be approximately \$150,000,000, which may be increased to \$300,000,000 in the Sponsor's sole discretion. We reserve the right to increase (up to \$300,000,000) or decrease the size of this Offering.

Summary

Assuming sale of \$150,000,000 in Units (and units in 10FSSAC5-B), the Company plans to use the net proceeds of the Offering to acquire, indirectly through 10FSSAC5 Master and the REIT, more than 30 self-storage facilities in the Eastern United States (each, an "Investment Property"). An Investment Property will typically be acquired and owned in a subsidiary entity that is wholly owned by the 10FSSAC5 REIT or Operating Partnership or partially owned by the 10FSSAC5 REIT or Operating Partnership in a joint venture. The Company plans to target facilities that are generally owned by "mom-and-pop" operators and convert those facilities from staffed to unmanned operations utilizing technology. The Company intends to operate those facilities for a hold period and then look to exit on favorable terms.

The Company or its subsidiaries also plan to use the net proceeds of the Offering to acquire "distressed deals", which may include, but are not limited to, the following:

- Self-storage facilities that are not completed;
- Self-storage facilities that have no leases or are not to stabilized occupancy; and
- Debt on distressed properties.

The Company or its subsidiaries may also use the net proceeds of the Offering to build, develop or expand self-storage facilities. To the extent any such building, development, or expansion (each, an "expansion") adds rental or leasable self-storage or parking square footage, the Company or its subsidiaries will pay a 5% developer fee on expansion building costs with an aggregate project cost in excess of \$200,000, net of any development or general contractor fees, to an affiliate of the Sponsor. In addition to the above fee, in the event an affiliate of the Sponsor builds the expansion, the Company will pay a general contractor fee of 7.5% to an affiliate of the Sponsor. The 5% developer fee and 7.5% general contractor fee will not apply, however, to the cost of converting a facility to an unmanned operation. Expenses relating to General Conditions (as defined in the LLC Agreement) of any expansion will be charged at cost (including labor costs at prevailing market rates).

The Company or its subsidiaries may also use the net proceeds of the Offering to buy and convert currently underutilized retail space, office buildings, industrial warehouses, or other types of varying real estate assets into self-storage facilities. The Company or its subsidiaries may acquire properties with current tenants, that may be converted, currently or in the future, into self-storage facilities in the future.

The Company or its subsidiaries might also structure an investment along with one or more venture capital funds or other institutional investors to operate through a subsidiary jointly owned by the Company or its subsidiaries and the venture capital fund(s) or other institutional investor(s).

Tenants will be required to provide proof of insurance for their stored goods or participate in a program ("Protection Plan") through which tenants pay additional rent for the Storage Facility to retain a certain amount of liability for listed losses. Although the applicable Storage Facility will have direct liability to the participating tenant, the additional rent will be directed from the Storage Facility to a taxable REIT subsidiary of the 10FSSAC5 REIT (the "10FSSAC5 TRS") and then onto 10 Federal Storage Management, LLC, an affiliate of Sponsor. If there is a reimbursable claim, 10 Federal Storage Management, LLC and the 10FSSAC5 TRS will disburse funds to the Storage Facility for payment to the

tenant. To backstop a large loss and reimburse 10 Federal Storage Management, LLC, the 10FSSAC5 REIT, and the 10FSSAC5 TRS for any losses resulting from the program, 10 Federal Storage Management, LLC, 10FSSAC5 REIT, and the 10FSSAC5 TRS will acquire an insurance policy (a “Contractual Liability Insurance Policy”) through Deans and Homer insurance.

The Company plans to use proceeds to also cover its proportional costs associated with RadiusPlus from Union Realtime LLC, Moody’s Analytics, Inc., Reonomy from Altus Group Limited, TractIQ from Social Explorer, Inc., and StorEDGE Facility Management software from Storable (collectively, “Management Software”), which provide access to market data programs. The Company plans to use publicly available data sources including US Census Data, American Community Survey, Tiger Line, Google, and Google Maps, which have no annual expense. Affiliates of the Sponsor have developed predictive statistical models that are intended to identify significant coefficients and assist the Sponsor in forecasting self-storage facility performance in the future based on factors that the Sponsor and the industry generally believe affect self-storage performance. This modeler relies on a large set of data that is being made available through Moody’s Analytics, Inc. and others. The Company’s ability to use proceeds to cover Management Software is capped at 1% of the capital contributions committed to the Company by the Members on an annualized basis.

The Market Opportunity

The Company plans to target self-storage facilities located in the Eastern United States that are approximately 15,000 to +100,000 square feet in size. Normally, these facilities are operated by what the industry calls “mom-and-pop” operators: owners who typically own just one or two facilities and who lack the sophistication and know-how to efficiently manage a facility. Mom-and-pop and smaller operators make up approximately 65% of self-storage owners, with a REIT or other type of sophisticated operator owning the remainder, leading to a very fragmented industry that is ripe for consolidation.

Our Competitive Advantage

Before acquiring any Investment Property, 10 Federal leverages proprietary technology, data-driven market intelligence, and local broker expertise to identify acquisition targets. 10 Federal integrates internally developed software with available market and facility-specific data, enabling analysis of both macro market trends and micro-level investment opportunities. This data-driven approach allows 10 Federal to strategically target properties with strong demand fundamentals, value-add potential, and operational efficiencies, giving 10 Federal a competitive edge in sourcing and executing acquisitions. After acquiring an Investment Property, 10 Federal plans to convert it from staffed to unmanned using a variety of technology including: automated kiosks to rent units, software to price rents, a call center to extend operating hours, DaVinci Locks for added security and to aid delinquency collections, and no onsite staff to reduce payroll expenses. Using these technologies results in a substantial decrease to operational expenses, and thus increases net operating income and the value of an Investment Property. Currently, these technologies are rarely, if ever, used in the self-storage business. To duplicate 10 Federal’s facilities and operations, owners would need to educate themselves on the latest technology, retrofit their facilities, and revamp their operations to accommodate the new technology. Due to the growth of 10 Federal, much of the on-boarding work for this technology, such as office build-outs, camera installations, and other technology installations and implementations is being handled by affiliates of the Sponsor and will be charged to the Company or its subsidiaries at prevailing market rates charged to third parties for similar services. Additionally, the DaVinci Lock, a proprietary combination lock that was developed and is owned by a for-profit business created by the co-owners of the Sponsor, will be utilized by the Company or its subsidiaries for overlocking delinquent tenants and securing vacant units. The Company or its subsidiaries will pay affiliates of the Sponsor prevailing market rates charged to third parties for the use of the DaVinci Lock, which the Sponsor may adjust in the future to the extent

necessary to reflect changes in prevailing market rates. Affiliates of the Sponsor will also offer content indemnity waiver coverage for tenant's contents through the Protection Plan, with ability to adjust rates as needed so long as they remain within current prevailing market rates charged by third parties for similar services. These technologies and related offerings would be difficult for most owners to accomplish given the "mom-and-pop" nature of the self-storage industry. For this reason, the Company believes it has a strong competitive advantage.

Exit Strategies

The Company plans to consider the following exit options toward the end of the hold period, which may be facilitated through an affiliated entity or an entity in which Sponsor is an owner, as long as the prevailing current market rate or price is paid:

- Sell the portfolio of properties to an institutional buyer for cash.
- Contribute the portfolio to a public or private REIT using a tax-deferred contribution.
- Contribute the portfolio or individual properties to a Delaware statutory trust, which may be incorporated, managed and/or controlled by the Sponsor.
- Take the portfolio public in exchange for shares through a public offering as a REIT or otherwise.
- Conduct an equity recapitalization where the Unit holders' interests are sold in whole or in part to another equity buyer.

Except in connection with any exit option described above or the approval of the holders of Class I Units (other than Class I Units owned by the Sponsor group) under Section 5.01(c) of the LLC Agreement, the Manager will not delegate its management rights to a third party or form any joint venture with a third party for the management of the Company.

In the event of a sale of an Investment Property or substantially all of the Unit holders' interests in the Company to an affiliate, the price will be equal to fair market value, as determined by the average of two valuations, each from a nationally recognized independent appraiser selected by the Management in its reasonable discretion.

Capital Targets and Distributions

The Company aims to achieve an overall levered internal rate of return of 15%+ and a cash-on-cash return of 7% over the life of the Company.

Pursuant to the LLC Agreement, distributions will be made or effected via automated clearing house (ACH) transfer, unless otherwise determined by the Manager (as defined below) in its sole discretion. If, upon a Member's request, the Manager agrees in its sole discretion to make a distribution to the Member via check, such Member shall pay the Company a \$25 service fee per check.

Subject to the Company having sufficient cash flows, the Company currently intends to distribute at least a 5.0% quarterly preferred return to the Members (and any unpaid preferred return will accrue and be subject to future distribution as provided herein). For the avoidance of doubt, the Sponsor will have sole discretion to decide the amount and timing of distributions for regular distributions, cashflows, capital events, or other distribution events.

The Company may also use its initial capital to supplement distributions to Members until cash flows from operations are sufficient to sustain preferred return distributions on an on-going basis.

Distributions of cash flows and from capital events will be made by the Company as described below.

Cash Flows:

- First, to the holders of Class I Units in proportion to their respective capital contributions with respect to such Class I Units, until such time as each Class I Unit has been paid an aggregate amount pursuant to this first tier and the first tier of the “Capital Events” waterfall below equal to its accrued Primary Preferred Return as of the date of distribution; provided, however, that no Class I Unit may receive distributions under this first tier or the first tier of the “Capital Events” waterfall below exceeding its accrued but unpaid Primary Preferred Return as of the date of distribution;
- Second, 70% to Class I Members in proportion to their respective amounts of accrued but unpaid Secondary Preferred Return, and 30% to Class S Members in proportion to their respective numbers of Class S Units, until such time as each Class I Unit’s and accrued but unpaid Secondary Preferred Return has been reduced to zero; and
- Thereafter, 60% to Class I Members, as a group, in proportion to their respective numbers of Class I Units, and 40% to Class S Members in proportion to their respective numbers of Class S Units.

“Primary Preferred Return” means, with respect to each Class I Unit as of any date, a cumulative amount equal to the excess of (i) eight percent (8%) per annum (prorated for any partial year), compounded annually, on the unreturned capital contributions with respect to such Class I Unit (whether contributed by the current holder or the original holder of the Units).

“Secondary Preferred Return” means, with respect to each Class I Unit as of any date, a cumulative amount equal to the excess of (i) fifteen percent (15%) per annum (prorated for any partial year), compounded annually, on the unreturned capital contributions with respect to such Class I Unit (whether contributed by the current holder or the original holder of the Units), over (ii) the aggregate amount of Primary Preferred Return accrued with respect to such Class I Unit through such date.

Capital Events:

- First, to the holders of Class I Units in proportion to their respective capital contributions with respect to such Class I Units, until such time as each Class I Unit has been paid an aggregate amount pursuant to this first tier and the first tier of the “Cash Flows” waterfall above equal to its accrued Primary Preferred Return as of the date of distribution; provided, however, that no Class I Unit may receive distributions under this first tier or the first tier of the “Cash Flows” waterfall above exceeding its accrued but unpaid Primary Preferred Return as of the date of distribution;
- Second, to all Members (Class I Members and Class S Members) until they have received distributions equal to their aggregate unreturned capital contributions through the date of such distribution;

- Third, 70% to Class I Members in proportion to their respective amounts of accrued but unpaid Secondary Preferred Return; and 30% to Class S Members in proportion to their respective numbers of Class S Units, until such time as each Class I Unit's accrued but unpaid Secondary Preferred Return has been reduced to zero; and
- Thereafter, 60% to Class I Members, as a group, in proportion to their respective numbers of Class I Units, and 40% to Class S Members in proportion to their respective numbers of Class S Units.

Liquidation: On final liquidation of the Company, the assets remaining after satisfying or providing for the Company's debts and obligations will be distributed in accordance with the Members' positive capital account balances. Gains and losses of the Company are intended to be allocated in such a manner as to conform the Members' positive capital account balances with the following ordering of distributions:

- First, to all Members (Class I Members and Class S Members) until they have received distributions equal to their aggregate unreturned capital contributions through the date of such distribution;
- Second, to the holders of Class I Units in proportion to their respective capital contributions with respect to such Class I Units, until such time as each Class I Unit has been paid an aggregate amount pursuant to this second tier and the first tiers of the "Cash Flows" and "Capital Events" waterfalls above equal to its accrued Primary Preferred Return as of the date of distribution; provided, however, that no Class I Unit may receive distributions under this second tier or the first tiers of the "Cash Flows" and "Capital Events" waterfalls above exceeding its accrued but unpaid Primary Preferred Return as of the date of distribution;
- Third, 70% to Class I Members in proportion to their respective amounts of accrued but unpaid Secondary Preferred Return, and 30% to Class S Members in proportion to their respective numbers of Class S Units, until such time as each Class I Unit's accrued but unpaid Secondary Preferred Return has been reduced to zero; and
- Thereafter, 60% to Class I Members, as a group, in proportion to their respective numbers of Class I Units, and 40% to Class S Members in proportion to their respective numbers of Class S Units.

Gains and losses will be allocated among all the Members consistent with this economic structure; provided, however, that the Management Fee will be allocated solely to the Class I Members (other than any Member that is a member of or an affiliate of the Sponsor).

Upon liquidation of the Company, the Sponsor will be required to return any distributions made by the Company with respect to the Sponsor's Class S Units (less any taxes with respect thereto) to the extent the aggregate capital contributions made, and Primary Preferred Return accrued, with respect to the Class I Units exceed the aggregate distributions received by the Class I Members with respect to their Class I Units over the life of the Company.

The Sponsor may receive distributions in respect of its Class S Units in cash or in kind, and such distributions may be made from the Operating Partnership with a corresponding reduction in the distributions to be made in respect of the Sponsor's Class S Units from the Company.

Capital Timelines

The capital raise period began in March 2025, and the Company and 10FSSAC5-B will have until March 31, 2027, to raise the minimum capital amount of \$5,000,000. If the minimum capital amount is raised, the final closing of the capital raise period will be the second anniversary of the initial closing, subject to extension or earlier termination of the period by the Sponsor. The investment period is expected to last until March 31, 2028. The hold period will last until March 31, 2032, unless earlier terminated by the Sponsor in its discretion. The Company, at the sole discretion of the Class S Members, has the option of two, one-year extensions (until March 31, 2033, and March 31, 2034), which the Company may exercise for any reason, including without limitation to avoid selling into a recession and to allow the Company time to exit the portfolio on favorable terms.

Fees

The administrative manager of the Company is 10FSSAC5 Manager, LLC, a North Carolina limited liability company (the “Manager”). The fund management fee (the “Management Fee”), payable in monthly installments beginning to accrue as of the initial closing through the term of the Company, will be equal to 1.5% of the capital contributions committed to the Company by the Members during the capital raise period on an annualized basis. The Management Fee will then be 1.5% of the unreturned capital in the Company on an annualized basis, ending when all raised capital is returned to the Members. The Sponsor; the principals of the Sponsor, Bradford and Clifton Minsley; other services providers or owners of the Sponsor; or other persons described in the LLC Agreement will be contributing the greater of (i) \$500,000 or (ii) 2.5% of the total capital raised (i.e., \$3,750,000 if \$150,000,000 is raised), which may be contributed in cash or through an in-kind property contribution and may be contributed to the Company, 10FSSAC5-B, or the Operating Partnership, at the Sponsor’s election (the “Sponsor Minimum”). Any such amounts contributed to the Company, 10FSSAC5-B, or the Operating Partnership by the parties described in the prior sentence will be counted in satisfying the Sponsor Minimum. Capital contributions in respect of the Sponsor Minimum will be made as the Company conducts closings in the Offering. Should the \$150 million capital raise be increased at the discretion of the Sponsor, the Sponsor or other persons described above will contribute capital to keep the Sponsor group’s total contribution at 2.5% of total funds raised. The 30% and 40% promote on cash flows and capital events will be the Class S Member’s promote.

In addition, affiliates of the Sponsor will receive an acquisition fee per Investment Property that is acquired for the Company or its subsidiaries (including, without limitation, any Investment Property acquired by Sponsor or its affiliates and contributed to the Company or its subsidiaries) equal to the greater of (i) \$50,000 or (ii) two percent (2.0%) of the gross purchase price for such Investment Property. In addition to the acquisition fee, the Sponsor or its affiliates may receive a referral fee, buyer’s agent fee, or other fee paid in connection with the acquisition of any Investment Property. The Manager will also receive a fee upon any refinancing of the Company’s (or its subsidiaries’) debt or public listing of the Company’s or its subsidiary’s securities. The refinancing fee, determined separately with respect to each refinancing, will be 1.0% on the first aggregate \$20,000,000 of loan amounts placed, 0.75% on \$20,000,001 - \$30,000,000 of aggregate loan amounts and 0.50% above that. In addition, if there is a substitute guarantor, the Company or its subsidiaries will pay a guaranty fee in the amount determined by the Manager. Monthly property management fees will be the greater of \$3,000 and 5.0% of gross revenues from each Investment Property acquired for the Company or its subsidiaries and paid to an affiliate of the Sponsor. The Company or its subsidiaries will pay either the greater of: (i) \$10 per call; (ii) \$1,250 per month per property; or (iii) the prevailing market rate charged to third parties for similar services, to an affiliate of the Sponsor for Call Center services. The Company or its subsidiaries will have the ability to add additional services as deemed necessary to procure sustained viability of each Investment Property so long as fees are incurred at the prevailing market rate charged by third parties for

similar services. Examples of such services include but are not limited to, night security officers or credit card processing fees.

While the goal of the Company is to acquire and convert existing facilities, the Company recognizes there are certain instances where development of a new Investment Property, expansion of an existing Investment Property and/or redevelopment of an acquired Investment Property, would be advantageous to the Company. To the extent any such development, expansion, or redevelopment (each, an “expansion”) adds rental or leasable self-storage or parking square footage, the Company or its subsidiaries will pay a 5% developer fee on expansion building costs with an aggregate project cost in excess of \$200,000, net of any development or general contractor fees, to an affiliate of the Sponsor. In addition to the above fee, in the event an affiliate of the Sponsor builds the expansion, the Company will pay a general contractor fee of 7.5% to an affiliate of the Sponsor. The 5% developer fee and 7.5% general contractor fee will not apply, however, to the cost of converting a facility to an unmanned operation. Expenses relating to General Conditions (as defined in the LLC Agreement) of any expansion will be charged at cost (including labor costs at prevailing market rates). If the Manager, Sponsor, or any of their affiliates manages a general contractor, the Company will also pay a project management fee equal to the greater of \$5,000 per month or 1.0% of Hard Costs (as defined in the LLC Agreement).

Affiliates of the Sponsor have also developed proprietary software that will be provided to the Company as needed at the discretion of the Sponsor, which may be charged to the Company on prevailing market terms offered by third parties of similar experience and quality. Some software modules are unique and necessary for the implementation of our unmanned operations while others are typical and ordinary to self-storage operations. The Company may from time to time elect to utilize different modules provided by Affiliates or 3rd party vendors to best serve the needs of the Company’s operations. The Company will also incur costs that are typical to companies operating self-storage facilities and will pay such costs at market values. Any transactions with Affiliates not disclosed in this Memorandum or the LLC Agreement will be on prevailing market terms offered by third parties of similar experience and quality.

The fees disclosed above are subject to be increased at the sole ability of the Sponsor, as long as such increases are in line with current market prices for such services. The Sponsor is also permitted to introduce new fees for anything required to support the investment properties of the Company, as long as such increases are in line with current market prices for such services. Any such fees (other than the Management Fee) will be payable collectively by the Company and 10FSSAC5-B (i.e., such fees will not be charged to both the Company and 10FSSAC-B in a duplicative manner).

Unit Transfer Fees

If at any time during the life of the Company a Unit holder of the Company wishes to transfer its ownership, the cost of such transfer (including associated legal fees) will be paid solely by such Unit holder. Unit transfers will be facilitated by the Company and the Company’s legal counsel. Legal fees associated with a Unit transfer are currently estimated at \$500, but might exceed such amount depending on the circumstances of the transfer.

Expenses

The funds raised will cover the conversion, due diligence, contingency, and acquisition fee with respect to each Investment Property, among other expenses; however, these expenses are subject to change based on the size of the Investment Property (see “Investment Property Acquisition Example Budget”).

Conversion of each Investment Property is estimated to take approximately 90 to 180 days. In addition to conversion, the funds raised will cover all expenses related to the organization and operation of the Company and its subsidiaries. If the Company and 10FFSAC5-B raise less than \$150,000,000 in the Offering, the Company and 10FFSAC5-B (or their subsidiaries) will purchase fewer facilities, but the accounting will remain unchanged. The following is a description of possible expenses covered by the funds raised:

- Purchasing self-storage facilities, earnest money deposits, including costs related to property due diligence such as title work, Phase 1 environmental reports, property condition reports, surveys, appraisals, incorporation costs or other business costs, lender deposits, and escrows for taxes and insurance. Proceeds may potentially be used for new construction and/or renovations;
- In the event we perform due diligence on a potential investment property but choose not to close on the property, those due diligence costs will be unrecoverable;
- All fees, such as attorneys, lenders, acquisition, market data information, or brokerage fees, and including the Management Fee and other fees described under the heading “Fees” above;
- Payments to affiliates of the Company or their subsidiaries for technologies used at investment properties;
- Capital expenditures for Investment Property improvements and to implement unmanned technology such as kiosks, internal locking mechanisms, security cameras, call center personnel, upgrading storage doors, or other capital expenditures to bring facilities up to 10 Federal standards;
- Costs for payroll and expenses as it pertains to maintenance, landscaping and turn costs for investment properties or the operation of any Investment Property;
- Fuel and mileage reimbursements;
- Costs for professional audits of the Company and its subsidiaries and tax preparation;
- Costs associated with electronic distributions to investors, including electronic fund transfer fees;
- Costs of press releases released by the Company;
- Travel expenses of the Sponsor’s personnel for the pursuit of potential acquisitions in the Eastern United States, regardless of whether the Company acquires the property, including commercial and/or general aviation, private or other chartered air travel, or other forms of transportation, including vehicles or aircrafts owned by an affiliate of or directly by the Sponsor, billed at or below the prevailing market rate charged to third parties for similar modes of travel;
- Costs associated with hiring a director of investor relations or similar position to handle the Company’s investor needs;
- Organizational documents and other filings required for the Company and its affiliates;
- Insurance expenses, including payments relating to the Protection Plan and Contractual Liability Insurance Policy;
- Capital-raising fees, marketing expenses, and technology services fees paid to third parties to solicit investment in the Class I Units;
- Costs and expenses related to performing due diligence with respect to potential investors in the Company or potential capital contributions to the Company including but not limited to expenses for “know your client” and “anti-money laundering” (AML) services and any other similar professional services, and insurance premiums or other insurance expenses related to such due diligence or professional services;
- Costs associated with the development of a new Investment Property, expansion of an existing Investment Property and/or redevelopment of an acquired Investment Property, including expenses related to any General Conditions (including labor costs at prevailing market rates);
- Costs of any key person life insurance policies maintained by the Company (and with respect to which the Company is the beneficiary) on the life of any officer, employee, or other service provider of the Company, the Manager, or any of their affiliates;

- Expenses incurred by the Company related to the identification and admission of any Class I Member or Class S Member or acceptance of any subscriptions therefrom, including but not limited to any brokerage fee, placement fee, finder's fee or similar fee or charge;
- Expenses incurred in the collection of amounts due to the Company from any person;
- Accounting and other costs of preparing and maintaining records and books of account in relation to the business of the Company;
- Costs and expenses of, or incidental to, the preparation and dispatch to Members of all checks or distributions, reports, circulars, forms and notices, and any other documents that, in the opinion of the Manager, are necessary or desirable in connection with the business and administration of the Company;
- Costs and expenses incurred as a result of dissolution, winding up and termination of the Company and the distribution of and/or realization of proceeds from Investment Properties and other assets of the Company pursuant thereto;
- Costs and expenses of any litigation involving the Company and the amount of any judgment or settlement paid in connection therewith;
- Costs and expenses for indemnity or contribution payable by the Company to any person, whether payable under Article VII of the LLC Agreement or otherwise and whether payable in connection with any litigation involving the Company or otherwise;
- Any withholding or other taxes, together with any interest and penalties, to the extent such amounts are paid by the Company or the Managers on behalf of the Company or any holder of Units, and are not reimbursed by or collected from any holder of Units;
- Costs and expenses related to the administration of the Company (including, without limitation, costs paid to Juniper Square or another third-party administrator) and professional services, including tax and legal counsel for matters pertaining to the REIT, and other compliance costs related to the REIT; and
- Expenses associated with the organization, funding and creation of the Company and its subsidiaries (including, without limitation, 10FSSAC5 Master, the 10FSSAC5 REIT, and the Operating Partnership), Manager and 10FSSAC5 Sponsor, LLC.

Example Investment Property Acquisition Budget

The following example is from 5340 US-281, Spring Branch, TX 78070 property acquired by an affiliate of the Sponsor on March 7, 2023.

Purchase Price was \$5,500,000 and the loan was \$3,300,000 for a Loan to Purchase Price Ratio of 60.0%. See “Risk Factors.”

Investment Property Characteristics

10 Self-Storage Buildings

267 Self-Storage Units totaling 46,070 net rentable square feet of Self-Storage

32 Parking/Boat/RV Storage spaces totaling 10,560 net rentable square feet

Approx.. 56,630 combined net rentable square feet

Approx. \$97 Purchase Price per square foot of Self-Storage

Transaction Costs

Acquisition Fee		\$110,000
Legal / Professional Fees		\$137,500
Finance Fees (Paid to 3 rd Party)		
Debt*	\$66,000	
Equity	<u>\$0</u>	
Total Finance Fees		\$66,000
Due Diligence Report Costs		\$15,000
Capital Expenditure Costs		
Kiosk	\$10,000	
Office Upgrades	\$30,000	
Entry Gates	\$75,000	
Building Paint	\$60,000	
Building Signage	\$5,000	
Camera & Security System	\$50,000	
Startup & FFE	\$42,000	
Other CapEx Repairs	<u>\$14,200</u>	
Total Capital Expenditure Costs		\$286,200
Contingency ⁺		\$55,000
Total Transaction Costs		\$341,200

	<u>Sources</u>	<u>Uses</u>
Purchase Price		\$5,500,000
Transactional Costs		\$341,200
Equity	\$2,541,200	
Debt	\$3,300,000	
Total Project Costs		\$5,841,200

* 2% of loan amount.

+ 1% of purchase price

PLAN OF OFFERING

A minimum of \$5,000,000 of subscriptions to the Company and 10FSSAC5-B, in the aggregate, is required to be sold in order to close the Offering. We reserve the right to increase or decrease the number of Units being offered. The specific terms of the Units and this Offering will be determined through negotiations between the Company and potential investors. We currently expect that the Units will be offered and sold only to qualified institutions and a limited number of other “accredited investors” (as defined under Rule 501(a) of Regulation D under the Securities Act).

Each investor’s agreement to purchase Units will be evidenced by, among other documents, a subscription agreement. Each investor will be required to provide immediately available funds equal to the amount of the purchase price of the Units to be bought by wire transfer to an account designated by the Company, unless upon request accepted otherwise by the Sponsor. We may, at our discretion, reject any prospective investor or limit the number of Units to be purchased by any investor. Generally, the Company will not accept investment funds from Individual Retirement Accounts or custodial accounts, unless upon request accepted otherwise by the Sponsor.

If you invest, you will be required to represent and warrant to us in writing that, among other things:

- you have reviewed this Memorandum together with your professional advisers, if any;
- you have had an opportunity to ask questions of our representatives with respect to the offering and received answers from them;
- you are an “accredited investor” (as defined in Rule 501(a) of Regulation D under the Securities Act), which you will have to verify in compliance with Rule 506(c);
- by reason of your business or financial experience, or that of your financial advisors, you are capable of evaluating the merits and risks of an investment in the Units;
- you have adequate means to provide for your financial needs with no expectation of a return on your investment, including a complete loss of your investment;
- you understand that the Units have not been registered under the Securities Act; and
- you have acquired the Units for your own account for investment purposes and not with a view toward their resale or distribution within the meaning of the Securities Act.

See the Investor Suitability Requirements attached as Exhibit B hereto.

Investors who are to be deemed to be our “affiliates” (as that term is defined in Rule 501 of Regulation D under the Securities Act) may purchase Units in this Offering on the same terms and conditions as those purchased by non-affiliates, for investment purposes only, and not for resale. No limit has been placed on the number of Units that may be purchased by such persons.

FINANCIAL STATEMENTS; VALUATIONS

The Company does not have financial statements at this time. The Company intends to provide investors with audited financial statements within 120 days after the end of each calendar year, and quarterly reports within 75 days after the end of a quarter, including descriptions of acquired properties and the cost basis of such, and statements of each Member's unreturned capital contribution.

Unless otherwise determined by the Manager, within 120 days after the end of each fiscal year which ends after the termination of the Offering, or as soon thereafter as is reasonably practicable, the Management shall cause to be prepared and furnished to each Member a valuation of all Investment Properties owned for at least one year as of the end of such fiscal year. For the avoidance of doubt, in no event will any valuation of the Investment Properties be prepared or furnished with respect to a fiscal year ending prior to the termination of the Offering.

BUSINESS OVERVIEW

You should read the following summary together with the more detailed information regarding our Units sold in this offering and our financial statements and notes appearing elsewhere in this prospectus before making an investment decision. You should also carefully consider the information discussed in “Risk Factors.”

Company and Sponsor Overview

The Sponsor, a conglomerate of real-estate focused business entities, was founded in 2010 by Bradford and Clifton Minsley to acquire and develop multifamily and self-storage facilities. The Sponsor acquired its first multifamily asset in November 2011, and since then has acquired, developed and partially liquidated a portfolio of apartments with an estimated value of \$250 million. 10 Federal’s property management arm consists of approximately 50 team members and covers approximately 21,200 units consisting of student housing and self-storage. 10 Federal has completed construction projects totaling approximately \$50 million in cost and has an additional construction pipeline exceeding \$5 million.

Company’s Market Advantage

The Company will utilize the latest advances in self-storage technology, including DaVinci Locks, remotely controlled systems, kiosks, and computer software to run unmanned self-storage facilities. Based on the Sponsor’s experience, using these technologies results in substantial decreases to operational expenses, and thus increases net operating income and the market value of a facility. Currently, these technologies are rarely, if ever, used in the self-storage business. To duplicate 10 Federal’s facilities and operations, owners would need to educate themselves on the latest technology, retrofit their facilities, and revamp their operations to accommodate the new technology. This would be difficult for most owners to accomplish given the “mom-and-pop” nature of the self-storage industry. For this reason, the Company believes they will have a strong market advantage.

Employees

The Company currently has no employees. The Sponsor employs approximately 86 employees in property management, maintenance, construction, and administrative roles.

Governmental Regulation

The Company’s and the Sponsor’s business practices are subject to regulation by the North Carolina Real Estate Commission, North Carolina Department of Insurance, North Carolina Licensing Board and the North Carolina General Statutes. These entities’ rules and regulations govern, among other things, the following activities that we perform and will continue to perform:

- Leasing self-storage units;
- Buying and selling self-storage facilities;
- Discussing rental prices with tenants and other related leasing questions;
- Handling of deposits and other monies related to real estate transactions;
- Maintaining accounting records of deposits;
- Compliance with ADA regulations; and
- Compliance with NC general contracting standards.

Noncompliance with applicable regulations can result in, among other things:

- Fines;
- Injunction;
- Civil penalties;
- Loss of real estate and general contracting licenses and the ability to engage in real estate and construction activities; and
- Criminal prosecution.

Experience

The following is a list of the properties the Sponsor has acquired an ownership interest in and/or manages:

Self Storage

2390 NC 54 Highway	Graham, NC
3802 Angier Ave	Durham, NC
250 Huffine St	Gibsonville, NC
502 Industrial Park Ave	Asheboro, NC
1579 Bakatsias Lane	Haw River, NC
11621 Cleveland Rd	Garner, NC
848 Dailey Mill Rd	McDonough, GA
606 A Greensboro Rd	High Point, NC
554 Corinth Rd	Newnan, GA
2205 Fowler Secrest Rd	Monroe, NC
410 Princeton Rd	Johnson City, TN
100 Commercial Ave	Waco, GA
4510 Texas Palm Dr	Converse, TX
5550 Farm to Market 1516	Converse, TX
7130 Nolensville Rd	Nolensville, TN
2920 Avenue F	Arlington, TX
645 Farm to Market Spur 439	Nolanville, TX
2793 Riverside Pkwy	Grand Junction, CO
2099 Highway 19 N	Dahlonega, GA
120 E. Pritchard St	Asheboro, NC
575 W Gunnison Ave	Grand Junction, CO
13425 Cedar Hill Dr	Montgomery, TX
3636 Honea Egypt Rd	Montgomery, TX
26526 Hufsmith Conroe Rd	Magnolia, TX
5340 US-281	Spring Branch, TX
175 Villa Rosa Rd	Temple, GA
1219 Rockmart Rd	Villa Rica, GA
840 S Carroll Rd	Villa Rica, GA
1000 Palmer Plaza Ln	Charlotte, NC
372 Access Rd	Spartanburg, SC
3220 Parris Bridge Rd	Boiling Springs, SC

1453 Fernwood Glendale Rd
4402 Williams Dr
720 Harry Miller Pass
1640 E Andrew Johnson Hwy
2806 N Cannon Blvd
3975 US-290
3015 GA-61
2537 Villa Rica Hwy
White Oak Ln
949 S Beauchamp Blvd
1977 Bethel Dr
4270 Keller Hicks Rd
2060 Whitley Rd
7510 Smithfield Rd

595 Columbia Dr
58968 Van Dyke Rd
12004 Trinity Rd
75 Lanvale Rd NE
1741 Weld Rd
3943 Platt Springs Rd
1351 Lake Dogwood Dr
2225 J David Jones Pkwy
3500 S 6th St
900 E Straight St
1804 E Park Ave
3974 Inner Perimeter Rd
4100 Riverside Dr
9951 Airport Pkwy
4835 Country Club Rd
2601 Industrial Dr
6101 Paris Rd
1930 GA-42
4418 Highway 42
679 England Chapel Rd
2121 S Burleson Blvd
500 W Browning Rd
1375 W Danville St
4251 Wendell Blvd
600 Cook St
2360 Old Durham Rd
1357 N Wesleyan Blvd
615 US 158 Byp
304 S Chestnut St

Spartanburg, SC
Georgetown, TX
Seguin, TX
Greeneville, TN
Kannapolis, NC
Dripping Springs, TX
Carrollton, GA
Dallas, GA
Richmond Hill, GA
Princeton, TX
High Point, NC
Keller, TX
Keller, TX
North Richland Hills, TX
Carrollton, GA
Washington, MI
Trinity, NC
Leland, NC
Elgin, IL
West Columbia, SC
West Columbia, SC
Springfield, IL
Springfield, IL
Springfield, IL
Valdosta, GA
Valdosta, GA
Macon, GA
Kingsport, TN
Winston-Salem, NC
Jefferson City, MO
Columbia, MO
McDonough, GA
Locust Grove, GA
Jenkinsburg, GA
Burleson, TX
Springfield, IL
South Hill, VA
Wendell, NC
Wendell, NC
Roxboro, NC
Rocky Mount, NC
Henderson, NC
Henderson, NC

	1248 Coble Blvd 2150 NC-56 15311 Warwick Blvd 903 W Main St 715 York Rd 579 Woodland Dr 112 Columbia St 1836 J A Cochran Byp 9021 Ruland Rd White Ingram Pkwy 370 E Foster Ave 103 Bobo Rd 185 E Mercury Blvd 1081 S Wesleyan Blvd 3170 Pipe Ct 2693 US-50 2462 Hwy 6 and 50 2222 Sanford Dr 2787 Printers Ct 1462 Colorado Ave 340 W 3rd St 4955 Indiana Ave	Henderson, NC Creedmoor, NC Newport News, VA Forest City, NC Kings Mountain, NC Kings Mountain, NC Chester, SC Chester, SC Houston, TX Dallas, GA Dallas, GA Dallas, GA Hampton, VA Rocky Mount, NC Grand Junction, CO Grand Junction, CO Grand Junction, CO Grand Junction, CO Grand Junction, CO Palisade, CO Winston-Salem, NC
Student Housing		
Student Housing	Studio West, 125 Graduate Ln	Boone, NC
Student Housing	Mountaineer Village, 517 Yosef Dr	Boone, NC
Retail		
Emerald Plantation	8700 Emerald Drive	Emerald Isle, NC
Shopping Center		
Elon Town Center	130 N. Williamson Ave	Elon, NC
Commercial		
Manufacturing	120 Pritchard St	Asheboro, NC
Land/Development		
Land/Apartments	Montage on 54 Apts- 2455 NC Hwy 54	Graham, NC
Land/Townhomes	3333 Maple Ave,	Burlington, NC
Land/Townhomes	7515 Bowman Rd,	Mebane, NC
Self-Storage Development		
Self-Storage	Highway 17 and White Oak Lane	Richmond Hill, GA
Development		

Self-Storage Development	1000 Palmer Plaza Lane	Charlotte, NC
Self-Storage Development	3975 US 290	Dripping Springs, TX
Self-Storage Development	4402 Williams Dr.	Georgetown, TX

In addition, the Sponsor owns its approximately 18,000 square feet of office space located in Raleigh, NC. The office includes 26 enclosed offices, large format office areas for work desks and several conference rooms. This space is sufficient for the work to be performed with respect to our acquisitions, due diligence, and operations.

Legal Proceedings

As of the date of this Memorandum, neither the Company nor the Sponsor is party to any material legal proceedings.

MANAGEMENT

The Sponsor's executive officers and directors, and their ages and positions, as of the date of this Memorandum, are as follows:

<u><i>Name</i></u>	<u><i>Age</i></u>	<u><i>Position</i></u>
Bradford Minsley	46	Partner, Co-Founder
Clifton Minsley	40	Partner, Co-Founder

Our founders possess deep domain expertise in the real estate industry, and include:

- Bradford Minsley: Partner, Co-Founder of 10 Federal with over 25 years of experience in the real estate industry covering financing, construction, management and acquisitions of apartments and self-storage facilities. He currently focuses his time on the operation and technology of the Sponsor's properties.
- Clifton Minsley: Partner, Co-Founder of 10 Federal with over 20 years of experience in the real estate industry covering land entitlement, finance, construction, and acquisitions of apartments and self-storage facilities. He currently focuses his time on new business development, construction, and investor relations.

The Company does not have a Board of Directors. 10FSSAC5 REIT will have a Board of Directors initially comprising Bradford Minsley, Clifton Minsley and Andrew Capranos.

RISK FACTORS

Any investment in the Company involves a high degree of risk. You should consider carefully the following information about these risks before you decide to invest in the Company. If any of the following risks occur, our business, results of operations and financial condition could suffer significantly, and you might lose all or part of the money you invested in the Company. The risks and uncertainties described below are not the only ones facing the Company. Additional risks and uncertainties not presently known to us or that we currently deem immaterial might also impair our business operations.

Our performance is subject to risks associated with real estate investments. We are a real estate operation that derives our income from the operation of our facilities. There are many factors that might adversely affect the income that our facilities generate, including the following:

RISKS RELATED TO OUR FACILITIES AND OPERATIONS

Adverse economic or other conditions in the markets in which we do business could negatively affect our occupancy levels and rental rates and therefore our operating results.

Our operating results are dependent upon our ability to maximize occupancy levels and rental rates in our facilities. Adverse economic or other conditions in the markets in which we operate might lower our occupancy levels and limit our ability to increase rents or require us to offer rental discounts. If our facilities fail to generate revenues sufficient to meet our cash requirements, including operating and other expenses, debt service and capital expenditures, our net income, cash flow, financial condition, ability to make cash distributions to investors and the trading price of our securities could be adversely affected. The following factors, among others, might adversely affect the operating performance of our facilities:

- the national economic climate and the local or regional economic climate in the markets in which we operate, which might be adversely impacted by, among other factors, industry slowdowns, relocation of businesses and changing demographics;
- periods of economic slowdown or recession, rising interest rates, or declining demand for self-storage or the public perception that any of these events might occur could result in a general decline in rental rates or an increase in tenant defaults;
- a decline of the current economic environment;
- local or regional real estate market conditions, such as competing facilities, the oversupply of self-storage or a reduction in demand for self-storage in an area;
- perceptions by prospective users of our facilities of the safety, convenience and attractiveness of our facilities and the neighborhoods in which they are located;
- increased operating costs, including the need for capital improvements, insurance premiums, real estate taxes and utilities;
- the availability of suitable land, raw materials, and skilled labor at acceptable prices or other terms;
- the impact of environmental protection laws;
- changes in tax, real estate and zoning laws;
- future pandemics or public health crises, such as the COVID-19 pandemic (the “COVID Pandemic”) and the economic impact of future pandemics or the COVID Pandemic;
- earthquakes, hurricanes and other natural disasters, terrorist acts, civil disturbances or acts of war which might result in uninsured or underinsured losses or delays in land development or construction; and

- theft, vandalism or other criminal activity.

We are subject to risks from the COVID Pandemic and we might in the future be subject to risks from other public health crises.

Since being reported in December 2019, the COVID Pandemic has spread globally, including to every state in the United States, adversely affecting public health and economic activity. Although the COVID Pandemic has eased considerably, our business is subject to risks from a resurgence of the COVID Pandemic, or other future pandemics, including, among others:

- risk of illness or death of our employees, independent contractors or subcontractors, or customers;
- continuing negative impacts on the economic conditions in our markets which have reduced and we expect will continue to reduce the demand for self-storage;
- risk that there could be an out-migration of population from certain high-cost major markets, if it is determined that the ability to “work from home,” which has become more prominent during the COVID Pandemic, could allow certain workers to live in less expensive localities, which could negatively impact the occupancies and revenues of our properties in such high-cost major markets;
- risk of construction delays (including delays in obtaining building permits), which could delay our land development, construction, or our ability to perform optimal performance in a newly purchased self-storage facility;
- risk that future waves of infection, including those resulting from new COVID variants or from additional pandemics could result in new or reinstituted government restrictions; and
- risk of negative impacts on the availability of debt and additional equity capital as a result of a pandemic, which could have a material impact upon our growth plans.

We believe that the degree to which a pandemic adversely impacts our business, operating results, cash flows and/or financial condition will be driven primarily by the duration, spread and severity of the pandemic itself, the effectiveness of vaccine and treatment developments, including against variants, public adoption rates of vaccines, including booster shots, as well as the duration of indirect economic impacts such as recession, dislocation in capital markets, and job loss, as well as potential longer term changes in consumer behavior, all of which are uncertain and difficult to predict. As a result, we are not able at this time to estimate the effect of these factors on our business, but the adverse impact on our business, results of operations, financial condition and cash flows could be material.

If we are unable to promptly re-lease our units or if the rates upon such re-leasing are significantly lower than expected, our business and results of operations would be adversely affected.

Virtually all our leases are on a month-to-month basis. Any delay in re-leasing units as vacancies arise would reduce our revenues and harm our operating results. In addition, lower than expected rental rates upon re-letting could adversely affect our revenues and impede our growth.

The risks associated with storage contents might increase our operating costs or expose us to potential liability that might not be covered by insurance, which might have adverse effects on our results of operations and returns to our Members.

The self-storage facilities we plan to own and operate would be leased directly to customers who store their belongings without any immediate inspections or oversight from us. We might unintentionally lease space to groups engaged in illegal and dangerous activities. Damage to storage contents might occur due to, among other occurrences, the following: war, acts of terrorism, fire, floods, hurricanes, pollution,

environmental matters or events caused by fault of a customer, fault of a third party or fault of our own. Such damage might or might not be covered by insurance maintained by us, if any, including through the Protection Plan. We will determine the amounts and types of insurance coverage that we will maintain, including any coverage to cover the contents of any properties in which we may invest. Such determinations will be made on a case-by-case basis based on the type, value, location and risks associated with each investment, as well as any lender requirements, and any other factors we may consider relevant. Historically, we have maintained coverage that includes comprehensive property and general liability coverage, including customer goods legal liability coverage, which covers damage to customer goods due to liability on our part. However, there is no guarantee that such insurance will be obtained for any investments that we may make, and there is no guarantee that any particular damage to storage contents would be covered by such insurance, even if obtained. The costs associated with maintaining such insurance, as well as any liability imposed upon us due to damage to storage contents, might have an adverse effect on our results of operations and returns to our Members.

Potential losses might not be covered by insurance, which could result in the loss of our investment in a facility and the future cash flows from the facility.

We plan to carry comprehensive liability, fire, extended coverage, and rental loss insurance covering all of the facilities of the Company. We believe the policy specifications and insured limits will be appropriate and adequate given the relative risk of loss, the cost of the coverage and industry practice. We do not plan to carry insurance for losses such as loss from riots, war or acts of God, and, in some cases, flooding and environmental hazards, because such coverage is not available or is not available at commercially reasonable rates. Some of our policies will be insured subject to limitations involving large deductibles or co-payments and policy limits that might not be sufficient to cover losses. Should an uninsured loss occur, we could lose both our investment in and anticipated profits and cash flow from an Investment Property. In addition, if any such loss is insured, we might be required to pay significant amounts on any claim for recovery of such a loss prior to our insurer being obligated to reimburse us for the loss, or the amount of the loss might exceed our coverage for the loss. As a result, our operating results might be adversely affected. If we experience a loss at a facility that is uninsured or that exceeds policy limits, we could lose the capital invested in that facility as well as the anticipated future cash flows from that facility. Inflation, changes in building codes and ordinances, environmental considerations, and other factors also might make it impractical or undesirable to use insurance proceeds to replace a facility after it has been damaged or destroyed. In addition, if the damaged facilities are subject to recourse indebtedness, we would continue to be liable for the indebtedness, even if these facilities were irreparably damaged.

Rising operating expenses could reduce our cash flow and funds available for future distributions.

The facilities we plan to acquire, convert, or develop in the future would be subject to operating risks common to real estate in general, any or all of which might negatively affect us. The facilities would be subject to increases in operating expenses such as real estate and other taxes, personnel costs including the cost of providing specific medical coverage to our employees, utilities, insurance, administrative expenses, and costs for repairs and maintenance. If operating expenses increase without a corresponding increase in revenues, our profitability could diminish and limit our ability to make distributions to our Members.

Increases in taxes and regulatory compliance costs might reduce our income.

Many states and jurisdictions are facing severe budgetary problems. Action that may be taken in response to these problems, such as increases in property taxes on commercial facilities, changes to sales taxes or other governmental efforts, including mandating medical insurance for employees, could

adversely impact our business and results of operations. Costs resulting from changes in real estate tax laws generally are not passed through to tenants directly and will affect us. Increases in income, property or other taxes generally are not passed through to tenants under leases and might reduce our net income, cash flow, financial condition, ability to pay or refinance our debt obligations, ability to make cash distributions to investors. Similarly, changes in laws increasing the potential liability for environmental conditions existing on acquired land or facilities or increasing the restrictions on discharges or other conditions might result in significant unanticipated expenditures, which could similarly adversely affect our business and results of operations.

Environmental compliance costs and liabilities associated with operating our facilities might affect our results of operations.

Under various U.S. federal, state and local laws, ordinances and regulations, owners and operators of real estate might be liable for the costs of investigating and remediating certain hazardous substances or other regulated materials on or in such property. Such laws often impose such liability without regard to whether the owner or operator knew of, or was responsible for, the presence of such substances or materials. The presence of such substances or materials, or the failure to properly remediate such substances, might adversely affect the owner's or operator's ability to lease, sell or rent such property or to borrow using such property as collateral. Persons who arrange for the disposal or treatment of hazardous substances or other regulated materials might be liable for the costs of removal or remediation of such substances at a disposal or treatment facility, whether such facility is owned or operated by such person. Certain environmental laws impose liability for release of asbestos-containing materials into the air and third parties may seek recovery from owners or operators of real facilities for personal injury associated with asbestos-containing materials.

Certain environmental laws also impose liability, without regard to knowledge or fault, for removal or remediation of hazardous substances or other regulated materials upon owners and operators of contaminated property even after they no longer own or operate the property. Moreover, the past or present owner or operator from which a release emanates could be liable for any personal injuries or property damages that might result from such releases, as well as any damages to natural resources that might arise from such releases.

Certain environmental laws impose compliance obligations on owners, operators, and developers of real property with respect to the management of hazardous materials and other regulated substances. For example, environmental laws govern the management of asbestos-containing materials and lead-based paint. Failure to comply with these laws can result in penalties or other sanctions.

No assurances can be given that environmental studies with respect to facilities or land that we might acquire will reveal all environmental liabilities, or that any prior owner or operator of a facility or land did not create any material environmental condition not known to us at the time of acquisition, or that a material environmental condition might not otherwise exist as to any one or more of the facilities or plots of land. There also exists the risk that material environmental conditions, liabilities or compliance concerns might arise after the initial review was completed. Finally, future laws, ordinances or regulations and future interpretations of existing laws, ordinances or regulations might impose additional material environmental liability.

Costs associated with complying with the Americans with Disabilities Act of 1990 (the "ADA") might result in unanticipated expenses.

Under the ADA, places of public accommodation are required to meet certain federal requirements related to access and use by disabled persons. These requirements became effective in 1992.

Several additional U.S. federal, state and local laws might also require modifications to facilities we might acquire, or restrict certain further renovations of those facilities, with respect to access thereto by disabled persons. Noncompliance with the ADA could result in the imposition of fines or an award of damages to private litigants and could result in an order to correct any non-complying feature, which could result in substantial capital expenditures. If one or more of the facilities we acquire or construct is not in compliance with the ADA or other legislation, then we would be required to incur additional costs to bring the facility into compliance. If we incur substantial costs to comply with the ADA or other legislation, our financial condition, results of operations, cash flow, and our ability to satisfy future debt service obligations and to make cash distributions to our Members could be adversely affected.

We might become subject to litigation or threatened litigation, which might divert management's time and attention, require us to pay damages and expenses, or restrict the operation of our business.

We might become subject to disputes with commercial parties with whom we maintain relationships or other parties with whom we do business. Any such dispute could result in litigation between us and the other parties. Whether or not any dispute actually proceeds to litigation, we might be required to devote significant management time and attention to its successful resolution (through litigation, settlement, or otherwise), which would detract from our management's ability to focus on our business. Any such resolution could involve the payment of damages or expenses by us, which might be significant. In addition, any such resolution could involve our agreement with terms that restrict the operation of our business.

There are other commercial parties, at both a local and national level, that might assert that our use of our brand names and other intellectual property conflict with their rights to use brand names and other intellectual property that they consider to be similar to ours. Any such commercial dispute and related resolution would involve all of the risks described above, including, in particular, our agreement to restrict the use of our brand name or other intellectual property.

We also could be sued for personal injuries and/or property damage occurring on our facilities or construction sites. We plan to maintain liability insurance with limits that we believe adequate to provide for the defense and/or payment of any damages arising from such lawsuits. There can be no assurance that such coverage will cover all costs and expenses from such suits.

Privacy concerns could result in regulatory changes that might harm our business.

Personal privacy has become a significant issue in the jurisdictions in which we operate. Many jurisdictions in which we operate have imposed restrictions and requirements on the use of personal information by those collecting such information. Changes to law or regulations affecting privacy, if applicable to our business, could impose additional costs and liability on us and could limit our use and disclosure of such information.

Terrorist attacks and other acts of violence or war might adversely impact our performance and might affect the markets in which our facilities operate.

Terrorist attacks against the Company's or its subsidiaries' facilities, the United States or our interests, might negatively impact our operations and the value of our properties. Attacks or armed conflicts could negatively impact the demand for self-storage facilities and increase the cost of insurance coverage for our facilities, which could reduce our profitability and cash flow. Furthermore, any terrorist attacks or armed conflicts could result in increased volatility in or damage to the United States and worldwide financial markets and economy.

RISKS RELATED TO ACQUIRING AND/OR DEVELOPING FACILITIES

We face competition for the acquisition of facilities, land and other assets, which might impede our ability to make future acquisitions or might increase the cost of these acquisitions.

We compete with many other entities engaged in real estate investment activities for acquisitions of facilities, land and other assets, including national, regional and local operators and developers of facilities. These competitors might drive up the price we pay for facilities, land or other assets we seek to acquire or might succeed in acquiring those assets themselves. In addition, our potential acquisition targets might find our competitors to be more attractive suitors because they might have greater resources, might be willing to pay more or might have a more compatible operating philosophy. In addition, the number of entities and the amount of funds competing for suitable investment in facilities might increase. This competition would result in increased demand for these assets and therefore increased prices paid for them. Because of an increased interest in single-facility acquisitions among tax-motivated individual purchasers, we might pay higher prices if we purchase single facilities in comparison with portfolio acquisitions. If we pay higher prices for facilities or other assets, our profitability will be reduced.

If our competitors build new facilities that compete with our facilities or offer space at rental rates below the rental rates we charge our customers, we might lose potential customers, and we might be pressured to reduce our rental rates below those we currently charge in order to retain customers when our customers' leases expire. As a result, our financial condition, cash flow, cash available for distribution, and ability to satisfy future debt service obligations could be materially adversely affected. In addition, increased competition for customers might require us to make capital improvements to our facilities that we would not have otherwise made. Any unbudgeted capital improvements we undertake might reduce cash available for distributions to our Members.

Any investments in unimproved real property might take significantly longer to yield income-producing returns, if at all, and might result in additional costs to us to comply with re-zoning restrictions or environmental regulations.

Improving an acquired facility, developing real property, expanding acquired self-storage facilities, and converting an existing structure into a self-storage facility generally take longer to yield income-producing returns based on the typical time required for development and construction. Any improvement or development of unimproved property might also expose us to the risks and uncertainties associated with re-zoning the land for a higher use, or development and environmental concerns of governmental entities and/or community groups. Any unsuccessful investments or delays in realizing an income-producing return, or increased costs to improve an existing facility or develop unimproved real estate could restrict our ability to earn our targeted rate of return on an investment, or adversely affect our ability to pay operating expenses which would harm our financial condition and operating results.

We might not be successful in identifying and closing suitable acquisitions that meet our criteria, which might impede our growth.

Our ability to expand through acquisitions is integral to our business strategy and requires us to identify suitable acquisition candidates or investment opportunities that meet our criteria and are compatible with our growth strategy. We might not be successful in identifying suitable facilities, land for development or other assets that meet our acquisition criteria or in consummating acquisitions or investments on satisfactory terms or at all. Failure to close an acquisition would cause all capital spent on due diligence to be unrecoverable. Failure to identify or consummate acquisitions will slow our growth, which could in turn adversely affect our ability to make distributions. Our ability to acquire facilities on

favorable terms and successfully integrate and operate them might be constrained by the following significant risks:

- competition from local investors and other real estate investors with significant capital, including publicly traded REITs and institutional investment funds;
- competition from other potential acquirers and developers, which might significantly increase the purchase price and thus could reduce our profitability;
- inability to achieve satisfactory completion of due diligence investigations and other customary closing conditions;
- failure to finance an acquisition on favorable terms or at all;
- spending more than the time and amounts budgeted to make necessary improvements, renovations, or expansions to acquired facilities;
- spending more than the time and amounts budgeted to make necessary improvements, renovations, or expansions to convert acquired structures into self-storage facilities;
- acquiring facilities or properties subject to liabilities without any recourse, or with only limited recourse, to the former owners with respect to unknown liabilities such as liabilities for clean-up of undisclosed environmental contamination, claims by persons dealing with the former owners of the facilities and claims for indemnification by general partners, directors, officers and others indemnified by the former owners of the facilities;
- acquisitions in new markets where we might have limited knowledge and understanding of the local economy, an absence of business relationships in the area or an unfamiliarity with local governmental and permitting procedures;
- acquisitions not performing as expected;
- actual costs of repositioning, expanding, or redeveloping acquired facilities higher than our estimates; and
- inability to obtain acquisition financing on favorable terms.

Unforeseen challenges that arise during development may delay our progress and adversely affect our results of operations.

Our developments may be affected by unforeseen engineering, environmental, or geological conditions or problems, including conditions or problems which arise on lands of third parties in the vicinity of our facilities, but nevertheless negatively impact our facilities. Any of these adverse events or circumstances could cause delays in or prevent the completion of, or increase the cost of, developing one or more of our self-storage facilities and, as a result, could harm our sales and results of operations.

Climate change may adversely affect our results of operations.

Climate change may cause extreme weather, intense storms, changes in precipitation and temperature, increases in the severity of storms in the areas in which we operate which may cause physical damage to our properties or a decrease in demand for rental space in the areas affected by these conditions. Should the impact of climate change be material in nature or occur for lengthy periods of time, our financial condition or results of operations may be adversely affected, and may negatively impact the types and pricing of insurance we are able to procure. In addition, changes in federal, state and local legislation and regulation on climate change could result in increased operating costs (for example, increased utility costs) and/or increased capital expenditures to improve the energy efficiency of our existing stores and could also require us to spend more on our new stores without a corresponding increase in revenue. Further, the impact of climate change may increase the cost of, or make unavailable, property insurance or other hazard insurance on terms we find acceptable or necessary to adequately protect our properties.

We might not be successful in integrating and operating new facilities.

We will be required to integrate facilities that we acquire or that we construct into our existing portfolio. These facilities might turn out to be less compatible with our growth strategy than originally anticipated, might cause disruptions in our operations or might divert management's attention away from day-to-day operations, which could impair our operating results.

Our investments in development and redevelopment projects might not yield anticipated returns, which would harm our operating results and reduce the amount of funds available for distributions.

To the extent that we engage in development, conversion, and redevelopment activities, we will be subject to the following risks normally associated with these projects:

- we might be unable to obtain financing for these projects on favorable terms or at all;
- we might not complete development or redevelopment projects on schedule or within budgeted amounts;
- we might encounter delays or refusals in obtaining all necessary zoning, land use, building, occupancy and other required governmental permits and authorizations; and
- occupancy rates and rents at newly developed or redeveloped facilities might fluctuate depending on several factors, including market and economic conditions, and might result in our investment not being profitable.

In deciding whether to develop a new facility or renovate or expand an existing facility, we make certain assumptions regarding the expected future performance of the facility. We might underestimate the costs necessary to bring the property up to the standards established for its intended market position or might be unable to increase occupancy at a newly developed facility as quickly as expected or at all. Any substantial unanticipated delays or expenses could adversely affect the investment returns from these development or redevelopment projects and harm our operating results, liquidity and financial condition, which could result in a decline in the value of our securities.

We may rely on the investments of our joint venture partners for funding certain of our development and redevelopment projects. If our reputation in the self-storage industry changes or the number of investors considering us an attractive strategic partner is otherwise reduced, our ability to develop or redevelop facilities could be affected, which would limit our growth.

If we enter non-compete agreements with the sellers of the self-storage properties that we acquire, and the terms of those agreements expire, the sellers may compete with us within the general location of one of our self-storage facilities, which could have an adverse effect on our operating results and returns to our Members.

We might enter non-compete agreements with the sellers of the self-storage properties that we acquire in order to prohibit the seller from owning, operating, or being employed by a competing self-storage property for a predetermined time frame and within a geographic radius of a self-storage facility we acquire. When these non-compete agreements expire, we might face the risk that the seller will develop, own, operate or become employed by a competing self-storage facility within the general location of one of our properties, which could have an adverse effect on our operating results and returns to our Members.

A high concentration of our properties in a particular geographic area would magnify the effects of downturns in that geographic area.

In geographic areas where we have a concentration of properties, any adverse situation that disproportionately affects that geographic area would have a magnified adverse effect on our portfolio.

We might obtain only limited warranties when we purchase a property.

The seller of a property will often sell such property in its “as is” condition on a “where is” basis and “with all faults,” without any warranties of merchantability or fitness for a use or purpose. In addition, purchase agreements may contain only limited warranties, representations and indemnifications that will only survive for a limited period after the closing. Also, many sellers of real estate are single purpose entities without significant other assets. The purchase of properties with limited warranties or from undercapitalized sellers increases the risk that we might lose some or all of our invested capital in the property as well as rental income from that property.

Products supplied to us and work done by subcontractors can expose us to risks that could adversely affect our business.

We rely on subcontractors to develop our land and construct or expand facilities, and in many cases, to select and obtain building materials. Despite our detailed specifications and quality control procedures, in some cases, subcontractors may use improper construction processes or defective materials. Defective products widely used by the commercial construction industry can result in the need to perform extensive repairs to facilities. The cost of remedying defects may be significant if we are unable to recover the cost of repairs from subcontractors, materials suppliers and insurers.

We also can suffer damage to our reputation, and may be exposed to possible liability, if subcontractors fail to comply with applicable laws, including laws involving things that are not within our control. When we learn about possibly improper practices by subcontractors, we try to cause the subcontractors to discontinue them. However, we might not always be able to do that, and even when we can, it might not avoid claims against us relating to work the subcontractors already performed.

We could be held responsible for obligations of, and labor law violations by, our subcontractors and other contract parties.

For land we develop, new facilities will be built by employees of subcontractors and other contract parties. We do not have the ability to control what these contract parties pay their employees or the work rules they impose on their employees. However, various governmental agencies have sought, and in the future may seek, to hold contract parties like us responsible for violations of wage and hour laws, workers’ compensation and other work-related laws by firms whose employees are performing contracted for services. While the future of joint employer liability remains uncertain, if we were deemed to be a joint employer of our subcontractors’ employees, we could become responsible for collective bargaining obligations of, and labor law violations by, our subcontractors. Governmental rulings that make us responsible for labor practices by our subcontractors could create substantial exposures for us in situations that are not within our control.

Supply shortages and other risks related to acquiring land, materials and skilled labor and obtaining regulatory approval could increase our costs and delay construction activities.

When developing land for construction of new facilities or when converting acquired structures into self-storage facilities, we may experience significant difficulties that can affect the cost or timing of construction and development, including:

- difficulty in acquiring land suitable for commercial development at affordable prices in locations that are attractive to customers;
- delays in receiving the necessary approvals from municipalities or other government agencies;
- shortages of qualified subcontractors;
- reliance on local subcontractors, manufacturers and distributors who may be inadequately capitalized;
- shortages of construction materials; and
- significant increases in the cost of materials and other inputs, including petroleum-based products.

Disruptions in our supply chain could result in shortages of certain building materials and tightness in the labor market. This could cause our construction cycle to lengthen and costs of building materials to increase.

From time to time, we obtain performance bonds, the unavailability of which could adversely affect our results of operations and cash flows.

From time to time, we provide surety bonds to secure our performance or obligations under construction contracts, development agreements and other arrangements. Our ability to obtain surety bonds primarily depends upon our credit rating, financial condition, past performance and other factors, including the capacity of the surety market and the underwriting practices of surety bond issuers. The ability to obtain surety bonds also can be impacted by the willingness of insurance companies to issue performance bonds for construction and development activities. If we are unable to obtain surety bonds when required, our results of operations and cash flows could be adversely affected.

RISKS RELATED TO THE USE OF TECHNOLOGY

A failure in, or breach of, our operational or security systems or infrastructure, or those of our third-party vendors and other service providers or other third parties, including as a result of cyber-attacks, could disrupt our businesses, result in the disclosure or misuse of confidential or proprietary information, damage our reputation, increase our costs, and cause losses.

We will rely heavily on communications and information systems to conduct our business. Information security risks for our business have generally increased in recent years in part because of the proliferation of new technologies; the use of the Internet and telecommunications technologies to process, transmit and store electronic information, including the management and support of a variety of business processes, including financial transactions and records, personally identifiable information, and tenant and lease data; and the increased sophistication and activities of organized crime, hackers, and terrorists, activists, and other external parties. As customer, public, and regulatory expectations regarding operational and information security have increased, our operating systems and infrastructure must continue to be safeguarded and monitored for potential failures, disruptions, and breakdowns. Our business, financial, accounting, and data processing systems, or other operating systems and facilities, might stop operating properly or become disabled or damaged as a result of a number of factors, including events that are wholly or partially beyond our control. For example, there could be electrical or telecommunication outages; natural disasters such as earthquakes, tornadoes, and hurricanes; disease pandemics; events arising from local or larger scale political or social matters, including terrorist acts; and as described below, cyber-attacks.

Our business will rely on its digital technologies, computer and email systems, software and networks to conduct its operations. Although we have information security procedures and controls in place, our technologies, systems and networks and, because the nature of our business involves the receipt and retention of personal information about our customers, our customers' personal accounts might become the target of cyber-attacks or information security breaches that could result in the unauthorized release, gathering, monitoring, misuse, loss, or destruction of our or our customers' or other third parties' confidential information. The emergence and maturation of AI capabilities may also lead to new and/or more sophisticated methods of attack, including fraud that relies upon "deep fake" impersonation technology or other forms of generative automation that may scale up the efficiency or effectiveness of cyber threat activity.

Third parties with whom we do business or who facilitate our business activities, including intermediaries or vendors that provide service or security solutions for our operations, and other third parties, could also be sources of operational and information security risk to us, including from breakdowns or failures of their own systems or capacity constraints. In addition, hardware, software or applications we develop or procure from third parties might contain defects in design or manufacture or other problems that could unexpectedly compromise information security.

While we have disaster recovery and other policies and procedures designed to prevent or limit the effect of the failure, interruption or security breach of our information systems, there can be no assurance that any such failures, interruptions or security breaches will not occur or, if they do occur, that they will be adequately addressed. Our risk and exposure to these matters remain heightened because of the evolving nature of these threats. As a result, cybersecurity and the continued development and enhancement of our controls, processes, and practices designed to protect our systems, computers, software, data, and networks from attack, damage or unauthorized access remain a focus for us. As threats continue to evolve, we might be required to expend additional resources to continue to modify or enhance our protective measures or to investigate and remediate information security vulnerabilities. Disruptions or failures in the physical infrastructure or operating systems that support our businesses and customers, or cyber-attacks or security breaches of the networks, systems or devices that our customers use to access our products and services, could result in customer attrition, regulatory fines, penalties or intervention, reputation damage, reimbursement or other compensation costs, and/or additional compliance costs, any of which could have a material effect on our results of operations or financial condition. Furthermore, if such attacks are not detected immediately, their effect could be compounded. To date, to our knowledge, we have not experienced any material impact relating to cyber-attacks or other information security breaches.

Other self-storage operators might adopt technology better than our own.

Some of our competitors have much greater financial, technical, research, marketing, sales, distribution, service and other resources than we have. Such competitors might offer broader product lines or discounts, and might have greater name recognition. These competitors might develop or market technologies or products that are more effective or commercially attractive than our technologies or products.

We depend upon our call center employees and agents to maximize tenant satisfaction at each of our facilities, and any difficulties we encounter in hiring, training and maintaining skilled call center personnel might harm our operating performance.

Sponsor employs call center personnel covering our facilities, and we utilize Zion Call Management, LLC, to provide dedicated call center agents. These employees and agents supplement the operation of our facilities. The general professionalism of our call center employees and agents is a

contributing factor to a facility's ability to successfully secure rentals and retain tenants. If we are unable to successfully recruit, train and retain qualified personnel, the quality of service we strive to provide at our facilities could be adversely affected which could lead to decreased occupancy levels and reduced operating performance.

Our Sponsor relies on third parties for data that is critical to investment decisions, and our business could suffer if we cannot continue to obtain reliable data from these suppliers or if the data obtained from these third parties is incorrect.

Our Sponsor relies on third-party sources for data that might be used to make critical investment decisions. The availability and accuracy of this data is important to the decisions made in targeting and acquiring our facilities. If the data provided and relied upon from these third-party sources is not available to us on commercially reasonable terms or is found to be inaccurate, it might harm our investment decisions and therefore, our operating performance.

We are heavily dependent on third-party software and computer systems to process transactions and receive automatic monthly payments from our tenants. The failure or disruption of these third-party vendors could significantly harm our business.

We rely extensively on third-party software and computer systems to process transactions and collect payments from our tenants. These systems are subject to damage or interruption from computer and telecommunications failures, hackers, including through a ransomware attack, computer worms, viruses and other destructive or disruptive security breaches and catastrophic events. These systems also are subject to disruption by human error through no fault of ours or our Sponsor. Such incidents could result in significant monetary losses. As a result, our operations could be severely impacted by a failure or disruption at these third-party vendors.

We are dependent upon third-party suppliers, making us vulnerable to price increases.

Because we rely on third-party sources for data to make critical investment decisions that are vital to our business model, we might incur a significant increase in costs if these third-party sources increase their fees and costs of membership. We also rely on third-party facility management software and third-party payment processors to collect monthly autopayments from our tenants. Future price increases from the services could have an adverse effect on our operating results and returns to our Members.

Because our potential products depend on technology licensed from third parties, a breach by us of the terms of any related license could result in the loss of access to this technology and could delay or suspend our commercialization efforts.

A failure by us to maintain the right to use this licensed technology could seriously harm our ability to commercialize any related product and our business, financial condition and results of operations. Further, if any of our technology providers ceased to produce or sell a component of our system we might not be able to operate as efficiently.

RISKS RELATED TO OUR ORGANIZATION AND STRUCTURE

Possible future transactions with our Sponsor or its affiliates, including the payment of certain fees to the Sponsor, could create a conflict of interest, which could result in actions that are not in the long-term best interest of our investors.

Under certain circumstances, we may enter into transactions with our Sponsor or companies owned or managed by our Sponsor and/or its principals, Bradford and Clifton Minsley, such as 10 Federal Self Storage Acquisition Company 3, LLC (“Company 3”), 10 Federal Self Storage Acquisition Company 4, LLC (“Company 4”), 10F Opportunity Co 1, LLC (“Company 5”), including the payment of certain fees and possibly joint investments, and purchases or other acquisitions of properties owned by Company 3, Company 4, or Company 5. We currently do not have a policy prohibiting us from entering into any transaction with our Sponsor or its affiliates; provided, however, that any payments made by the Company pursuant to any such transaction must be at prevailing market rates. Our policies and procedures might be insufficient to address any conflicts of interest that might arise in these circumstances. Any transaction with our Sponsor or its affiliates might lack the benefit of arm’s-length negotiations of the type normally conducted between unrelated parties, and therefore might not be in the long-term best interest of our investors.

Our Sponsor might face a conflict of interest with respect to the management of properties that are not a part of the Company’s portfolio of properties.

Our Sponsor’s officers will identify potential investments in properties and other real estate-related assets which are consistent with our investment guidelines for our possible acquisition or development. However, our Sponsor’s officers might concurrently be managing, developing, acquiring or constructing other portfolios that invest in properties and real estate-related assets in which we may be interested, including Company 3, Company 4, and Company 5. Further, our Sponsor’s officers provide property management services to owner-operators of other properties, which includes managing physical assets, overseeing budgets, coordinating leasing and tenant relations, and delivering operational reporting. Because of our Sponsor’s officers’ involvement in other portfolios and property management businesses, they could face conflicts of interest in determining which programs or businesses will have the opportunity to acquire and participate in such investments as they become available. As a result, other portfolio companies or property owners advised by our Sponsor may compete with us with respect to certain investments that we may want to acquire.

In addition, we may acquire properties in geographic areas where other portfolio companies or property owners advised by our Sponsor own properties. Therefore, our properties may compete for tenants with other properties owned by such portfolio companies or managed by our Sponsor’s officers. If one of such companies attracts a tenant that we are competing for, we could suffer a loss of revenue due to delays locating another suitable tenant.

Our business could be harmed if key personnel with long-standing business relationships in the self-storage industry terminate their employment with us.

Our success depends on the continued services of our Co-Founders and other key employees who have substantial experience in the self-storage and real estate industries. In addition, our ability to acquire or develop facilities depends on the significant relationships our executive management team has developed with our joint venture partners. There is no guarantee that any of them will remain employed by us. We do not maintain key person life insurance on any of our officers but may, in our sole discretion, elect to do so in the future (and the cost of any such key person life insurance will be an expense of the

Company). The loss of services of one or more members of our executive management team could harm our business and our prospects.

Upon the approval of the majority in interest of the Class I Members, we might change our investment and financing strategies and enter new lines of business, which might subject us to different risks.

We might change our investment and financing strategies and enter new lines of business, which could result in our making investments and engaging in business activities that are different from, and possibly riskier than, the investments and businesses described in this document; provided, however, that any such action will require the consent of a majority in interest of the Class I Members to the extent such action differs materially from the business plan set forth herein. A change in our investment strategy or our entry into new lines of business might increase our exposure to other risks or real estate market fluctuations.

We might form subsidiaries to facilitate venture capital investment or investment by other investors.

We might form subsidiaries to be owned by the Company and one or more venture capital funds or other investors, which would result in your share of the total residual profits and gains from such subsidiaries being diluted by the venture capital fund(s) or other investor(s). The Company might also grant to such venture capital funds or other investors the right to make major governance and operational decisions on behalf of the subsidiary.

We might enter into side letters with investors that alter the terms set forth herein in respect of such investors.

The Manager, Sponsor and/or the Company may enter into other written agreements (“Side Letters”) with one or more investors in the Company or its affiliates. These Side Letters may entitle an investor to make an investment in the Company or its affiliates on terms other than those described herein. Any such terms may be more favorable than those offered to any other investors, including with respect to management fees and Sponsor promote. Furthermore, the Manager, Sponsor, and/or the Company or its affiliates may allow certain investors, including “friends and family” of the Manager or Sponsor, to invest in the Company’s affiliates (including the Operating Partnership) on terms which may be more favorable than those offered to the investors in the Company.

RISKS RELATED TO THE REAL ESTATE INDUSTRY

Our primary business involves the construction, ownership and operation of self-storage facilities.

Our current strategy is to acquire, operate, manage, develop or renovate only self-storage facilities, or to acquire real estate and existing structures with the intention of developing or converting the real estate into self-storage facilities. Consequently, we are subject to risks inherent in investments in a single industry. Because investments in real estate are inherently illiquid, this strategy makes it difficult for us to diversify our investment portfolio and to limit our risk when economic conditions change. Decreases in market rents, negative tax, real estate and zoning law changes and changes in environmental protection laws might also increase our costs, lower the value of our investments and decrease our income, which would adversely affect our business, financial condition and operating results.

Economic conditions, including those related to the credit markets, interest rates and inflation, may adversely affect our industry, business and results of operations.

Consumer and commercial spending are generally affected by the health of the economy, which places some of the factors affecting the success of our business beyond our control. Our businesses, although not as traditionally cyclical as some, could experience significant downturns in connection with or in anticipation of, declines in general economic conditions. In times of declining consumer spending we may be driven, along with our competitors, to reduce pricing, which would have a negative impact on gross profit. We cannot predict if another downturn in the economy will occur, which could result in reduced revenues and working capital.

Trends in the economy are resulting in inflationary pressures leading to an increase in our cost of doing business. We cannot guarantee that we can manage the costs lower or pass them along in the form of higher prices to our customers.

Should credit markets in the United States tighten or if interest rates increase significantly, we may not be able to refinance existing debt or find additional financing on favorable terms, if at all. If one or more of the financial institutions that support our existing credit facilities fails or opts not to continue to lend to us, we may not be able to find a replacement, which would negatively impact our ability to borrow under credit facilities. If our operating results were to worsen significantly and our cash flows or capital resources prove inadequate, or if interest rates increase significantly, we could face liquidity problems that could materially and adversely affect our results of operations and financial condition.

Our performance and the value of our self-storage facilities are subject to risks associated with our facilities and with the real estate industry.

Our rental revenues and operating costs and the value of our real estate assets, and consequently the value of our securities, are subject to the risk that if our facilities do not generate revenues sufficient to meet our operating expenses, including debt service and capital expenditures, our cash flow and ability to pay distributions to our Members will be adversely affected. Events or conditions beyond our control that might adversely affect our operations or the value of our facilities include but are not limited to:

- downturns in the national, regional, and local economic climate;
- local or regional oversupply, increased competition, or reduction in demand for self-storage space;
- vacancies or changes in market rents for self-storage space;
- inability to collect rent from customers;
- increased operating costs, including maintenance, insurance premiums, and real estate taxes;
- changes in interest rates and availability of financing;
- hurricanes, earthquakes and other natural disasters, civil disturbances, terrorist acts, or acts of war that might result in uninsured or underinsured losses;
- significant expenditures associated with acquisitions and development projects, such as debt service payments, real estate taxes, insurance, and maintenance costs which are generally not reduced when circumstances cause a reduction in revenues from a facility;
- costs of complying with changes in laws and governmental regulations, including those governing usage, zoning, the environment, and taxes; and
- the relative illiquidity of real estate investments.

In addition, prolonged periods of economic slowdown or recession, rising interest rates, or declining demand for self-storage, or the public perception that any of these events might occur, could result in a general decline in rental revenues, which could impair our ability to satisfy our debt service obligations and to make distributions to our Members.

Illiquidity of real estate investments could significantly impede our ability to respond to adverse changes in the performance of our facilities.

Because real estate investments are relatively illiquid, our ability to promptly sell one or more facilities in our portfolio in response to changing economic, financial and investment conditions is limited. The real estate market is affected by many factors, such as general economic conditions, availability of financing, interest rates and other factors, including supply and demand, that are beyond our control. We cannot predict whether we will be able to sell any facility for the price or on the terms set by us or whether any price or other terms offered by a prospective purchaser would be acceptable to us. We also cannot predict the length of time needed to find a willing purchaser and to close the sale of a facility.

We might be required to expend funds to correct defects or to make improvements before a facility can be sold. We cannot assure you that we will have funds available to correct those defects or to make those improvements. In acquiring a facility, we may agree to transfer restrictions that materially restrict us from selling that facility for a period or impose other restrictions, such as a limitation on the amount of debt that can be placed or repaid on that facility. These transfer restrictions would impede our ability to sell a facility even if we deem it necessary or appropriate.

Any negative perceptions of the self-storage industry generally might result in a decline in the prices of our properties at time of sale.

To the extent that the investing public has a negative perception of the self-storage industry, the value of our properties might be negatively impacted, which could result in our properties trading below their inherent value.

RISKS RELATED TO OUR FINANCINGS

We will depend on external sources of capital that are outside of our control; the unavailability of capital from external sources could adversely affect our ability to acquire or develop facilities, satisfy our debt obligations, and/or make distributions to Members.

We will depend on external sources of capital to fund acquisitions, facility development and construction, to satisfy our debt obligations and to make distributions to our Members. These sources of capital might not be available on favorable terms, if at all. Our access to external sources of capital depends on a number of factors, including the market's perception of our growth potential and our current and potential future financial strength. If we are unable to obtain external sources of capital, we might not be able to acquire or develop facilities when strategic opportunities exist, satisfy our debt obligations or make distributions to investors.

Market conditions and changing circumstances could impair our ability to access our existing cash, cash equivalents and investments and to timely pay key vendors and others.

Our bank deposit accounts are subject to general market, interest rate, credit, foreign exchange, and liquidity risks. These risks may be exacerbated, individually or in the aggregate, during periods of heavy financial market volatility, such as that experienced in 2008 and 2022, that may result from high inflation, high interest rate or recessionary environments, from actual or perceived instability in the U.S. and global banking systems, uncertainty with respect to the federal budget and debt ceiling and potential government shutdowns related thereto or from war (such as the conflicts in Ukraine and Israel) or other geopolitical conflicts. As a result, we could be faced with a severe constriction of the availability of liquidity. For example, sudden closures of prominent banks, such as Silicon Valley Bank in March 2023,

may pose a risk to any of our deposit accounts held by such banks. There can be no assurance that we would be able to withdraw our accounts from banks in the event of a similar or more severe, systemic banking crisis. Further, cash held at banks and financial institutions is subject to applicable deposit insurance limits, and in the event that our corporate or customer funds held at a given institution exceed such limits, or are held in investments that are not covered by deposit insurance, such funds may be unrecoverable in the event of a future bank failure.

In addition, any U.S. federal government debt default due to a failure to increase the debt ceiling may lead to lack of access to our investments in U.S. treasury securities or losses or lower returns on such investments, in addition to broader macroeconomic risk that would follow any such default. Any delay in our ability to access our cash, cash equivalents and investments, or the loss of some or all of such funds, or inability to timely pay key vendors and others, could have a material adverse effect on our operations and cause us to seek additional capital sooner than planned.

We might acquire or finance properties with lock-out provisions, which might prohibit us from selling a property, or might require us to maintain specified debt levels for a period of years on some properties.

Lock-out provisions generally prohibit repayment of a loan balance for a certain number of years following the origination date of a loan. Such provisions are typically provided for by the terms of the agreement underlying a loan. Lock-out provisions could materially restrict us from selling or otherwise disposing of or refinancing properties. These provisions would affect our ability to turn our investments into cash and thus affect cash available for distribution to our Members. Lock-out provisions might prohibit us from reducing the outstanding indebtedness with respect to any properties, refinancing such indebtedness prior to maturity, or increasing the amount of indebtedness with respect to such properties.

Lock-out provisions could impair our ability to take actions during the lock-out period that would otherwise be in our Members' best interests and, therefore, might have an adverse impact on the value of our Securities, relative to the value that would result if the lock-out provisions did not exist. Lock-out provisions could preclude us from participating in major transactions that could result in a disposition of our assets or a change in control, even though that disposition or change in control might be in our Members' best interests.

Disruptions in the financial markets could affect our ability to obtain debt financing on reasonable terms and have other adverse effects on us.

Uncertainty in the credit markets might negatively impact our ability to access additional debt financing or to refinance existing debt maturities on favorable terms (or at all), which might negatively affect our ability to make acquisitions and fund development projects. A downturn in the credit markets might cause us to seek alternative sources of potentially less attractive financing and might require us to adjust our business plan accordingly. In addition, these factors might make it more difficult for us to sell facilities or might adversely affect the price we receive for facilities that we do sell, as prospective buyers might experience increased costs of debt financing or difficulties in obtaining debt financing.

If we sell properties by providing financing to purchasers, defaults by the purchasers would adversely affect our cash flows.

In some instances, we may sell our properties by providing financing to purchasers. When we provide financing to purchasers, we will bear the risk that the purchaser might default, which could negatively impact our cash distributions to investors. Additionally, the distribution of the proceeds of sales to our Members, or their reinvestment in other assets, will be delayed until the promissory notes or

other property we may accept upon the sale are paid, sold, refinanced or otherwise disposed of. In some cases, we might receive initial down payments in cash and other property in the year of sale in an amount less than the selling price, and subsequent payments will be spread over several years. If any purchaser defaults under a financing arrangement with us, it could negatively impact our ability to make distributions to our Members.

Increases in interest rates might increase our interest expense and adversely affect our cash flow and our ability to service our indebtedness and make cash distributions to our Members.

We plan to fund our acquisitions and land development with fixed-rate or variable-rate debt. Whether we use fixed-rate or variable-rate debt to acquire a self-storage facility or develop land will be at the discretion of the Managers. Increases in interest rates on the variable rate debt would increase our interest expense, which could harm our cash flow and our ability to pay cash distributions.

Your proportionate interest in the Company could be reduced after the Offering ends if you do not make an additional investment in the Company.

After the Offering has concluded, if the Class S Member later determines that the Company needs additional equity investment, Sponsor might request additional investment from all of the Class I Members (a “Capital Call”). Each Class I Member will be permitted to invest in a Capital Call in proportion to its relative ownership of Class I Units, but no Class I Member is required to fund any Capital Call. Any Class I Members participating in the Capital Call will be issued additional Class I Units at a price of \$750 per Class I Unit, which is only 75% of the issuance price in the Offering. A Class I Member that does not participate in its full share of the Capital Call will thus have its share in residual Company profits and gains (*i.e.*, profits in excess of the 8% and 15% preferred returns) disproportionately reduced and diluted by the Capital Call, in light of the higher relative interest in profits for newly issued Class I Units as compared to the Class I Units issued in the Offering.

We may revalue the Units periodically, which might impact the value of your investment.

We may revalue the Units, which might impact the value of your investment, and subject to the preemptive rights set forth in Section 3.04 of the LLC Agreement, might result in later investors investing at a higher or lower valuation than currently provided in the Offering.

We might accept investments from investors, including foreign investors, with whom we have no prior contact or relationship, and we cannot verify the source of such investors’ investments. In the event any such investments are derived from funds subject to forfeiture for drug, RICO or money laundering violations, this might affect our operations and impact the value of your investment.

We might accept investments from investors, including foreign investors, with whom we have no prior contact or relationship, and we cannot verify the source of such investors’ investments. Federal law provides that property purchased or improved with assets derived from criminal activity or otherwise tainted, or used in the commission of certain offenses, can be seized and ordered forfeited to the United States of America. The offenses which can trigger such a seizure and forfeiture include, among others, violations of the Racketeer Influenced and Corrupt Organizations Act, the Bank Secrecy Act, the anti-money laundering laws and regulations, including the USA Patriot Act of 2001 and the regulations issued thereunder, as well as narcotic drug laws. In many instances, the United States may seize the property even before a conviction occurs. In the event of a forfeiture proceeding relating to investments in the Company, we may be able to establish our interest in the property by asserting an applicable defense. However, there can be no assurance that such a defense will be successful, and even if such defense is

successful, any such forfeiture proceeding might severely affect our ability to operate the Company or its subsidiaries.

Federal Income Tax Risks

THERE ARE TAX RISKS INVOLVED WITH INVESTING IN THE UNITS. THE TAX CONSEQUENCES ARE COMPLEX AND WILL NOT BE THE SAME FOR ALL MEMBERS. PROSPECTIVE INVESTORS ARE STRONGLY URGED TO CONSULT THEIR OWN TAX ADVISORS BEFORE INVESTING IN THE UNITS. THE FOLLOWING IS A DISCUSSION OF SOME OF THE MORE SIGNIFICANT TAX RISKS ASSOCIATED WITH INVESTING IN THE UNITS, BUT IT IS NOT EXHAUSTIVE.

Phantom Income

Members will be required to report their allocable share of the Company's taxable income on their individual income tax return regardless of whether they have received any cash distributions from the Company. It is possible that Members' Units will be allocated taxable income in excess of their cash distributions, thereby producing "phantom income." For instance, if the Company structures transactions or otherwise incurs cancellation of debt income, it is likely there would not be a corresponding receipt of cash. In addition, certain debt instruments acquired or held by the Company may have original issue discount, which could potentially cause Members to be allocated income in a taxable year before the receipt of the cash corresponding to such investment. The Company cannot assure Members that cash flow will be available for distribution in any year. As a result, Members may have to use funds from other sources to pay their tax liability.

Unrelated Business Taxable Income

It is anticipated that the Company's operations will generate unrelated business taxable income ("UBTI") (generally subject to tax at corporate rates) for tax-exempt investors. Although the Company expects to conduct a substantial portion of its operations through the 10FSSAC5 REIT, which would effectively block UBTI for investors subject to the limitations discussed in the following paragraph, some operations may not be conducted through the 10FSSAC5 REIT and therefore would generate UBTI. The Manager is not required to structure the Company's operations to reduce or eliminate UBTI for any tax-exempt investors. In addition, the Manager is not required to attempt to minimize unrelated debt-financed income associated with the use of leverage (which is treated as UBTI under the Code). Thus, tax-exempt investors that invest in the Company should be aware that a significant portion of the Company's income and gain may be treated as UBTI and thus may cause the tax-exempt investors to be subject to U.S. federal income tax (and possibly state and local income tax) with respect to their share of such income and gain.

With respect to the Company's ownership (via 10FSSAC5 Master) of the 10FSSAC5 REIT, neither ordinary nor capital gain distributions nor gain from the sale of the shares of the 10FSSAC5 REIT should generally constitute UBTI to a tax-exempt investor. However, there are certain exceptions to this rule. In particular:

- part of the income and gain recognized by certain qualified employee pension trusts may be treated as UBTI if the shares of the 10FSSAC5 REIT are predominantly held by qualified employee pension trusts; the 10FSSAC5 REIT is required to rely on a special look-through rule for purposes of meeting one of the REIT share ownership tests, but the Company is not otherwise required to operate in a manner to avoid treatment of such income or gain as UBTI;

- part of the income and gain recognized by a tax-exempt investor in the Company with respect to the shares of the 10FSSAC5 REIT would constitute UBTI if such investor incurs debt in order to acquire its Units;
- part or all of the income or gain recognized with respect to the shares of the 10FSSAC5 REIT by Members that are social clubs, voluntary employee benefit associations, supplemental unemployment benefit trusts and qualified group legal services plans, which are exempt from federal income taxation under Sections 501(c)(7), (9), (17) or (20) of the Code, may be treated as UBTI; and
- part or all of the income and gain recognized by a tax-exempt investor in the Company with respect to the shares of the 10FSSAC5 REIT would constitute UBTI if the 10FSSAC5 REIT directly or indirectly acquires a residual interest in certain mortgage loan securitization structures (i.e., a “taxable mortgage pool” or a residual interest in a REMIC (as defined below)).

The Manager will not be liable for the recognition of any UBTI by a Member with respect to an investment in the Company.

Avoiding Publicly Traded Partnership Status

No transfer of the Units in the Company may be made if it would result in the Company being treated as a publicly traded partnership under the Code. The Manager may, without the consent of any Members, amend the LLC Agreement to improve, upon advice of counsel, the Company’s position in avoiding publicly traded partnership status for the Company, and the Company may impose time-delay and other restrictions on recognizing transfers as necessary to do so. If the Company inadvertently became a publicly traded partnership under the Code, it would be subject to corporate level taxation, resulting in double taxation of the Company’s income.

Effectively Connected Income

It is anticipated that the Company will be deemed to be engaged in a U.S. trade or business for U.S. federal income tax purposes to the extent the Company operates other than through the 10FSSAC5 REIT. As a result, income of the Company may be treated as effectively connected with such trade or business for such purposes, and a foreign investor holding a direct interest in the Company will be subject to federal income tax each year on its distributive share of the taxable income of the Company that is deemed to be “effectively connected” with a U.S. trade or business and will be required to file a U.S. federal income tax return, as if such investor were a U.S. citizen or resident. A foreign individual who directly invests (without the use of a “blocker” entity) in the Company would also (i) be subject to U.S. (and potentially state) estate tax with respect to the value of his or her interest in the Company and (ii) have to file state tax returns in states in which the Company and its subsidiaries do business. In addition, regardless of whether the Company’s activities constitute a trade or business, under provisions added to the Code by the Foreign Investment in Real Property Tax Act of 1980 (“**FIRPTA**”), gain derived by the Company from the disposition of U.S. real property interests (including interests in certain entities owning U.S. real property interests) is generally treated as effectively connected income. This generally includes capital gains dividends from a REIT. Thus, foreign investors that invest in the Company should be aware that a significant portion of the Company’s income and gain from U.S. investments may be treated as effectively connected income and thus may cause the foreign investors to be subject to U.S. federal income tax (and possibly state and local income tax) with respect to their share of such income and gain. The Company has no obligation to minimize effectively connected income.

REIT Qualification of the 10FSSAC5 REIT

The Company intends for the 10FSSAC5 REIT to qualify and elect to be taxed as a REIT under the Code. For the 10FSSAC5 REIT to qualify as a REIT, it must meet various requirements set forth in the Code concerning, among other things, the ownership of its outstanding stock, the nature of its assets, the sources of its income, and the amount of its distributions to its shareholders (generally the Company and 10FSSAC5-B, indirectly via the 10FSSAC5 Master). The REIT qualification requirements are extremely complex, and interpretations of the federal income tax laws governing qualification as a REIT are limited. Accordingly, the Company cannot be certain that the 10FSSAC5 REIT will be successful in operating so as to qualify as a REIT. At any time, new laws, interpretations or court decisions may change the federal tax laws relating to, or the federal income tax consequences of, qualification as a REIT. It is possible that future economic, market, legal, tax or other considerations may cause the Manager to (a) determine that it is not in the Company's best interest to (i) own an interest in a REIT, or (ii) have the 10FSSAC5 REIT qualify as a REIT or maintain its qualification as a REIT, or (b) cause the 10FSSAC5 REIT to revoke its REIT election, which it may do without the approval of the Members.

If the 10FSSAC5 REIT fails to qualify as a REIT for any taxable year, it will be subject to federal income tax on its taxable income at corporate rates. In addition, the 10FSSAC5 REIT would generally be disqualified from treatment as a REIT for the four taxable years following the year of losing its REIT status. Losing its REIT status would reduce the 10FSSAC5 REIT's net earnings available for investment or distribution to the Company because of the additional tax liability. In addition, the 10FSSAC5 REIT's distributions would no longer qualify for the dividends-paid deduction, and it would no longer be required to pay distributions. If this occurs, the 10FSSAC5 REIT might be required to borrow funds or liquidate some investments in order to pay the applicable tax.

As a result of all these factors, the 10FSSAC5 REIT's failure to qualify as a REIT could impair the Company's ability to expand its business and raise capital, and would substantially reduce the cash available to pay distributions to the Members.

Annual REIT Distribution Requirements

In order to qualify as a REIT, the 10FSSAC5 REIT must distribute annually to its shareholders (i.e., the 10FSSAC5 Master) at least 90% of its REIT taxable income, determined without regard to the deduction for dividends paid and excluding any net capital gain. To the extent that the 10FSSAC5 REIT does not distribute all of its net capital gains or distribute at least 90%, but less than 100% of its REIT taxable income, as adjusted, it will have to pay tax on those amounts at regular federal corporate tax rates. The 10FSSAC5 REIT will be subject to U.S. federal income tax on its undistributed REIT taxable income and net capital gain and to a 4% nondeductible excise tax on any amount by which distributions it pays with respect to any calendar year are less than the sum of (1) 85% of its ordinary income, (2) 95% of its capital gain net income and (3) 100% of its undistributed income from prior years. These requirements could cause the 10FSSAC5 REIT to distribute amounts that otherwise would be spent on investments in real estate assets and it is possible that the Company or the 10FSSAC5 REIT might be required to borrow funds, possibly at unfavorable rates, or sell assets to fund these distributions. Although the 10FSSAC5 REIT intends to make distributions sufficient to meet the annual distribution requirements and to avoid U.S. federal income and excise taxes on its earnings while it qualifies as a REIT, it is possible that the 10FSSAC5 REIT might not always be able to do so.

Preferential Dividends

As stated above, in order to qualify as a REIT, the 10FSSAC5 REIT must distribute as dividends to its shareholders at least 90% of its annual REIT taxable income, determined without regard to the

dividends-paid deduction and excluding net capital gains. Historically, in order for dividends to be counted as satisfying the annual distribution requirements for REITs, and to provide a REIT with a REIT-level tax deduction, the dividends could not be “preferential dividends.” A dividend is not a preferential dividend if the distribution is pro rata among all outstanding shares within a particular class and in accordance with the preferences among different classes of shares as set forth in a REIT’s organizational documents. On December 18, 2015, Congress passed the Protecting Americans from Tax Hikes Act of 2015, which is commonly referred to as the “PATH Act.” The PATH Act repealed the set of rules prohibiting preferential dividends, but only with respect to REITs that file annual and periodic reports with the SEC under the Exchange Act.

The 10FSSAC5 REIT does not currently intend to consummate an initial public offering or become a reporting company under the Exchange Act, and therefore the 10FSSAC5 REIT will not be exempt from the preferential dividend rules. The 10FSSAC5 REIT intends to make dividends pro rata by class and in accordance with the preferences among its different classes. Nevertheless, if the Internal Revenue Service (the “IRS”) were to take the position that the 10FSSAC5 REIT paid a preferential dividend, the entire amount of such dividend would be ineligible for consideration in determining if the 10FSSAC5 REIT met the 90% distribution test, and its status as a REIT could be terminated for the year in which such determination is made if the 10FSSAC5 REIT were unable to cure such failure and for a period of four years thereafter.

Preferred Shareholder Rights

In order to qualify as a REIT, 100 or more persons must beneficially own the 10FSSAC5 REIT’s shares during at least 335 days of a taxable year of twelve months or during a proportionate part of a shorter taxable year, other than the 10FSSAC5 REIT’s first REIT taxable year. Accordingly, the 10FSSAC5 REIT will issue preferred shares to its preferred members, which will rank senior to the common shares held by the 10FSSAC5 Master with respect to dividends and payments upon liquidation. Generally, unless full cumulative dividends on shares of any preferred shares for all past dividend periods have been declared and paid (or set apart for payment), the 10FSSAC5 REIT would not be able to declare or pay dividends with respect to any of its common shares for any period. Upon liquidation, dissolution or winding up of the 10FSSAC5 REIT, the preferred members may be entitled to receive a liquidation preference of the stated value, plus all accrued but unpaid dividends, prior and in preference to any distribution to the common members or any other class of the 10FSSAC5 REIT’s equity securities.

Taxable REIT Subsidiaries

A REIT may own up to 100% of the stock of one or more taxable REIT subsidiaries (“TRS”). Both the subsidiary and the REIT must jointly elect to treat the subsidiary as a TRS. A corporation of which a TRS directly or indirectly owns more than 35% of the voting power or value of the stock will automatically be treated as a TRS. Overall, no more than 20% of the gross value of a REIT’s assets may consist of stock or securities of one or more TRSs. A TRS may hold assets and earn income that would not be qualifying assets or income if held or earned directly by a REIT, including gross income from operations pursuant to management contracts. The 10FSSAC5 REIT expects to use one or more TRSs to hold assets or conduct activities that the 10FSSAC5 REIT cannot conduct directly as a REIT. A TRS is subject to applicable U.S. federal, state, local and foreign income tax on its taxable income, as well as limitations on the deductibility of its interest expenses. In addition, the Code imposes a 100% excise tax on certain transactions between a TRS and its parent REIT that are not conducted on an arm’s-length basis.

Prohibited Transactions Tax

For so long as the 10FSSAC5 REIT qualifies as a REIT, its ability to dispose of assets during the first few years following acquisition may be restricted to a substantial extent as a result of its REIT qualification. Under applicable provisions of the Code regarding prohibited transactions by REITs, while the 10FSSAC5 REIT qualifies as a REIT, it will be subject to a 100% penalty tax on any gain recognized on the sale or other disposition of any asset (other than foreclosure property) that it owns, directly or indirectly through any subsidiary entity, but generally excluding TRSs, that is deemed to be inventory or property held primarily for sale to customers in the ordinary course of a trade or business. Whether an asset is inventory or otherwise held primarily for sale to customers in the ordinary course of a trade or business depends on the particular facts and circumstances surrounding each asset. Any losses the 10FSSAC5 REIT incurs on such prohibited transactions may not be used to offset gains from prohibited transactions. Any taxes the 10FSSAC5 REIT pays would reduce its cash available for distribution to the Company (and from the Company to the Members). Any concern regarding paying prohibited transactions tax may cause the Company to forgo disposition opportunities that would otherwise be available if the investment were not held through the 10FSSAC5 REIT.

Taxation of REIT Distributions

Distributions that the 10FSSAC5 REIT makes to its taxable shareholders out of current and accumulated earnings and profits (and not designated as capital gain dividends or qualified dividend income) generally will be taxable as ordinary income. However, a portion of the 10FSSAC5 REIT's distributions may (1) be designated as capital gain dividends generally taxable as long-term capital gain to the extent that they are attributable to net capital gain recognized by the 10FSSAC5 REIT's shareholders, (2) be designated by the 10FSSAC5 REIT as qualified dividend income generally to the extent they are attributable to dividends the 10FSSAC5 REIT receives from any TRSs it may own, or (3) constitute a return of capital generally to the extent that they exceed the 10FSSAC5 REIT's accumulated earnings and profits as determined for U.S. federal income tax purposes. A return of capital is not taxable, but has the effect of reducing the basis of a shareholder's investment in the 10FSSAC5 REIT's shares.

REIT Requirements May Limit Profit Maximization

For the 10FSSAC5 REIT to qualify as a REIT, the 10FSSAC5 REIT must ensure that it meets the REIT gross income tests annually and that at the end of each calendar quarter, at least 75% of the value of its assets consists of cash, cash items, government securities and qualified REIT real estate assets. The remainder of the 10FSSAC5 REIT's investment in securities (other than government securities and qualified real estate assets) generally cannot include more than 10% of the outstanding voting securities of any one issuer or more than 10% of the total value of the outstanding securities of any one issuer. In addition, in general, no more than 5% of the value of the 10FSSAC5 REIT's assets (other than government securities and qualified real estate assets) can consist of the securities of any one issuer, and no more than 20% of the value of its total securities can be represented by securities of one or more TRSs. If the 10FSSAC5 REIT fails to comply with these requirements at the end of any calendar quarter, it must correct the failure within 30 days after the end of the calendar quarter or qualify for certain statutory relief provisions to avoid losing its REIT qualification and suffering adverse tax consequences. As a result, the 10FSSAC5 REIT may be required to liquidate assets from its (and correspondingly, the Company's) portfolio or not make otherwise attractive investments in order to maintain its qualification as a REIT. These actions could have the effect of reducing the income and amounts available for distribution to the Company, and correspondingly, to the Members.

Qualification as Real Estate Mortgage Loans

The 10FSSAC5 REIT may make investments in loans whose qualification as a real estate mortgage loan for REIT purposes is uncertain or which are treated in part as qualifying mortgage loans and in part as

unsecured loans. The failure of a loan that the 10FSSAC5 REIT treated as a qualifying mortgage loan to qualify as such for REIT purposes could cause the 10FSSAC5 REIT to fail one or more of the REIT income or asset tests, and thereby cause it to fail to maintain its qualification as a REIT unless certain relief provisions also apply.

In general, interest income accrued on a loan that is secured by real property and personal property during a taxable year constitutes qualifying mortgage interest in its entirety for purposes of the 75% gross income test only if the loan is secured by a mortgage on real property with a value (at the time the 10FSSAC5 REIT committed to acquire the loan) at least equal to the highest outstanding principal amount of the loan during such taxable year. In the case of loans to improve or develop real property, the value of the real property collateral when the 10FSSAC5 REIT commits to acquire a loan is deemed to include the reasonably estimated cost of the improvements or developments (other than personal property) which will secure the loan and which will be constructed from the proceeds of the loan. If the outstanding principal balance of a mortgage loan during the taxable year exceeds the deemed value of the real property securing the loan at the time the 10FSSAC5 REIT committed to acquire the loan, a portion of the interest accrued during the year will not be qualifying mortgage interest for the 75% income test and a portion of such loan likely will not be a qualifying real estate asset. In that case, the 10FSSAC5 REIT could earn income that is not qualifying for the 75% income test and be treated as holding a non-real estate investment in whole or in part, which could result in the 10FSSAC5 REIT's failure to maintain its qualification as a REIT.

Characterization of Loans

For U.S. federal income tax purposes, the IRS or a court may treat a loan with sufficient equity characteristics as equity for tax purposes. The 10FSSAC5 REIT may obtain equity participation rights with respect to a loan, and it may acquire loans with relatively high loan-to-value ratios and/or high yields, which are among the features that can cause a loan to be treated as equity for federal income tax purposes. Although the 10FSSAC5 REIT intends to only acquire loans that should be respected as debt for U.S. federal income tax purposes, it is possible that the IRS or a court could disagree and seek to recharacterize the loan as equity. Recharacterization of one of the 10FSSAC5 REIT's acquired loans as equity for U.S. federal income tax purposes may require the 10FSSAC5 REIT to include its share of the gross assets and gross income of the borrower in its REIT asset and income tests. Inclusion of such items could jeopardize the 10FSSAC5 REIT's REIT status. Moreover, to the extent borrowers hold their assets as dealer property or inventory, if the 10FSSAC5 REIT is treated as holding equity in a borrower for U.S. federal income tax purposes, its share of gains from sales by the borrower would be subject to the 100% tax on prohibited transactions (except to the extent earned through a TRS).

Payment of Taxes after Withdrawal; Partnership Audit Procedures

If the IRS makes audit adjustments to the federal income tax returns of a partnership, the IRS may assess and collect any taxes (including any applicable penalties and interest) resulting from the audit adjustment directly from the Company, regardless of changes in the composition of the partners (or their relative ownership of the Company) between the year under audit (the "Reviewed Year") and the year of the adjustment. The partnership audit rules include an elective alternate method pursuant to which the Company may make an election to require each person who was a Member in the Company during a Reviewed Year to personally bear any tax, interest, and penalty resulting from audit adjustments, regardless of whether such person is no longer a Member in the Company. Furthermore, if the Company is unable (or otherwise fails) to make this election and becomes subject to an entity-level tax, the LLC Agreement provides that each Member agrees to bear its proportionate share of the liability if such person was a Member during the Reviewed Year, even if such person is no longer a Member of the Company at the time

the entity-level tax is levied. Accordingly, if a Member transfers its Units, the Member may still be obliged to pay any income taxes arising from the period during which the Member held its Units.

Limitation on Use of Losses

The Units will be allocated their pro-rata share of the Company's tax losses. Section 469 of the Code limits deductions for losses attributable to passive activities, which are defined generally as activities in which the taxpayer does not materially participate. Any net losses realized by the 10FSSAC5 REIT will only be available to offset future income of the Company. Losses of a REIT cannot pass through to the Company or its Members. To the extent the Company does not recognize net losses, any of the Company's tax losses allocated to investors will be characterized as passive losses, and accordingly, the deductibility of such losses will be subject to Section 469 limitations. Losses from passive activities are generally deductible only to the extent of a taxpayer's income or gains from passive activities and will not be allowed as an offset against other income, including salary or other compensation for personal services, active business income or "portfolio income," which includes non-business income derived from dividends, interest, royalties, annuities and gains from the sale of property held for investment. Accordingly, Members may receive no current benefit from their share of the Company's tax losses unless they are currently being allocated passive income from other sources.

Company Allocations

The IRS may successfully challenge the allocations in the LLC Agreement and reallocate items of income, gain, loss, deduction and credit in a manner that reduces anticipated tax benefits. The tax rules applicable to allocation of items of taxable income and loss are complex. The ultimate determination of whether allocations adopted by the Company will be respected by the IRS will depend upon facts that will occur in the future and that cannot be predicted with certainty or completely controlled by the Company. If the allocations of the Company are not respected, Members could be required to report greater taxable income or less taxable loss with respect to an investment in the Company and, as a result, pay more tax and associated interest and penalties. Members might also be required to incur the costs of amending their individual income tax returns.

State and Local Taxes

The state in which a Member resides may impose an income tax upon such Member's share of the Company's taxable income. Many states have also implemented or are implementing programs to require partnerships to withhold and pay state income taxes owed by non-resident partners relating to income-producing assets located in their states, and the Company may be required to withhold state taxes from cash distributions otherwise payable to Members. Members also may be required to file income tax returns in some states and report their share of income attributable to ownership and operation by the Company of assets in those states. In the event the Company is required to withhold state taxes from Members' cash distributions, the amount of the net cash from operations otherwise payable to Members would be reduced. In addition, such collection and filing requirements at the state level may result in increases in the Company's administrative expenses that would have the effect of reducing cash available for distribution to Members. Members are urged to consult with their own tax advisors with respect to the impact of applicable state and local taxes and state tax withholding requirements on an investment in the Units.

Possible Legislative or Other Regulatory Action

In recent years, numerous legislative, judicial and administrative changes have been made in the provisions of the federal income tax laws applicable to investments similar to an investment in the Units. In particular, on December 22, 2017, the Tax Cuts and Jobs Act (the "**Tax Act**") was signed into law. The

Tax Act includes major changes to U.S. tax laws and represents the most significant changes to the Code since 1986. In addition, legislation intended to support the economy during the COVID-19 pandemic, the Coronavirus Aid, Relief, and Economic Security Act (the “**CARES Act**”), made technical corrections, or temporary modifications, to certain of the provisions of the Tax Act. Additional changes to tax laws were enacted as part of the Inflation Reduction Act of 2022 (the “**Inflation Reduction Act**”). Additional changes to the tax laws are likely to continue to occur, and the Company cannot assure Members that any such changes will not adversely affect their taxation, the investment in the Units or the market value or the resale potential of the Company’s assets. Members are urged to consult with their own tax advisor with respect to the impact of recent legislation, including the Tax Act, the CARES Act and the Inflation Reduction Act, on their investment in the Units and the status of legislative, regulatory or administrative developments and proposals and their potential effect on an investment in the Units.

Material U.S. Federal Income Tax Considerations

CERTAIN TAX CONSEQUENCES TO MEMBERS WILL VARY FROM MEMBER TO MEMBER DEPENDING ON THE MEMBER'S PARTICULAR CIRCUMSTANCES. ACCORDINGLY, EACH PROSPECTIVE MEMBER SHOULD CONSULT ITS OWN ADVISORS REGARDING ALL OF THE FEDERAL, STATE, LOCAL, AND FOREIGN TAX CONSEQUENCES RELATING TO AN INVESTMENT THE COMPANY BASED ON EACH MEMBER'S SPECIFIC CIRCUMSTANCES. NEITHER THE MANAGER NOR SPONSORS NOR ANY AFFILIATE THEREOF NOR COUNSEL FOR ANY OF THE FOREGOING IS PROVIDING ANY TAX ADVICE TO ANY PROSPECTIVE MEMBER.

General

This discussion applies only to Members who hold their investment in the Company as a “capital asset” within the meaning of Section 1221 of the Code. This discussion does not address all of the federal income tax consequences that may be relevant to a Member in light of such Member’s particular circumstances (e.g., the application of the alternative minimum tax) or because such Member is subject to special rules (e.g., rules applicable to financial institutions, insurance companies, real estate investment trusts, regulated investment companies, brokers and dealers and traders in securities that elect to mark their securities portfolios to market).

In addition, if a partnership or other entity taxable as a partnership holds an investment in the Company, the tax treatment of a partner will generally depend on the status of a partner in, and the activities of, that partnership. This discussion does not address the tax consequences of a prospective Member investing in the Company through its own upper-tier partnership or any other pass-through entity for federal income tax purposes. Moreover, except where specifically indicated, this summary does not discuss the effect of any other federal tax laws (e.g., estate and gift tax), or any state, local, or foreign tax laws.

For purposes of this discussion, a Member may be either a “**U.S. Member**” or a “**Non-U.S. Member**.” A “**U.S. Member**” is (i) an individual who is a citizen or resident of the U.S.; (ii) a corporation or other entity taxable as a corporation created in or under the laws of the U.S. or any political subdivision thereof; (iii) an estate, the income of which is subject to U.S. federal income taxation, regardless of its source; or (iv) a trust if either (A) the trust is subject to the primary supervision of a court within the U.S. and one or more U.S. persons have the authority to control all substantial trust decisions, or (B) the trust has a valid election in effect under applicable U.S. Treasury Regulations promulgated under the Code (the “**Regulations**”) to be treated as a U.S. person. A “**Non-U.S. Member**” is a Member that is an individual, corporation, estate, or trust that is not a U.S. Member. As stated above, the following is a summary of the material U.S. federal income tax consequences that will apply to U.S. Members of the Company. We have, however, included a brief discussion of certain material tax issues specific to Non-U.S. Members.

The Company has not sought and will not seek (i) any tax rulings from the IRS or any other tax authorities, or (ii) any opinions of counsel in respect of any of the matters discussed herein. Each prospective investor is urged to consult its own tax advisor with respect to the federal, state, local, and foreign tax consequences of the purchase, ownership, and disposition of an investment in the Company.

Partnership Status for U.S. Income Tax Purposes

Classification as a Partnership. The anticipated income tax results from an investment the Company will depend on the Company being classified as a partnership for federal income tax purposes rather than an association taxable as a corporation. In the event that, for any reason, the Company is treated for federal income tax purposes as an association taxable as a corporation, the Members of the Company

would be treated as stockholders of a corporation with the following results, among others: (1) the Company would become a taxable entity subject to the federal income tax imposed on corporations; (2) items of income, gain, loss, deduction, and credit would be accounted for by the entity on its federal income tax return and would not flow through to the Members; and (3) distributions would generally be treated as dividends taxable to the Members, to the extent of current or accumulated earnings and profits, and would not be deductible by the Company in computing its income tax. The effect of application of the corporate system of double taxation would result in a large increase in the effective rate of tax because of the application of both corporate and individual tax rates to income, conversion of otherwise non-taxable distributions into taxable dividends, and conversion of income arising from transactions qualifying for capital gain treatment (*i.e.*, because allocable to a partner that is taxed as an individual) into income taxable at ordinary income rates (*i.e.*, in the hands of an entity treated as a corporation).

The Regulations regarding entity classification operate to allow a business entity that is not otherwise required to be classified as a corporation, *i.e.*, an “eligible entity,” to elect its classification for federal income tax purposes. Under the Regulations, an “eligible entity” that has at least two partners will be treated as a partnership in the absence of an election. Accordingly, while the Company does not intend to request a ruling from the IRS as to its classification for income tax purposes, unless the Company is incorporated or is deemed to be taxable as a corporation pursuant to the application of the publicly traded partnership rules discussed below, it will qualify as an “eligible entity” and need not make any election to be treated as a partnership for federal income tax purposes.

Based upon the entity classification Regulations, and IRS rulings and judicial decisions under Section 7701(a) of the Code, all of which are subject to change, and based upon certain representations of the Manager and other assumptions, the Company will be treated as a partnership for federal income tax purposes and not as an association taxable as a corporation. The remaining summary of federal income tax considerations in this section assumes that the Company will be classified as a partnership for federal income tax purposes.

Publicly Traded Partnership Issues. If the Company were to be classified as a “publicly traded partnership,” (1) it would be taxable as a corporation and (2) all of its net income distributed to Members would be treated as portfolio income rather than passive income. A publicly traded partnership is generally defined under the Code as any partnership whose interests are traded on an established securities market or are readily tradable on a secondary market or the substantial equivalent thereof. Regulations have been issued (the “**Section 7704 Regulations**”) that provide guidance with respect to such classification standards, however, and they include certain safe harbor standards that, if satisfied, would preclude the Company from being classified as a publicly traded partnership (for example, if at least 90% of the Company’s gross income each year consists of certain types of passive income).

The Section 7704 Regulations contain definitions of what constitutes an established securities market and a secondary market or the substantial equivalent thereof, and they set forth what transfers may be disregarded in determining whether such definitions are satisfied with respect to the activities of a partnership. The Manager does not believe that the Units will be traded on an established securities market or a secondary market or a substantial equivalent as defined in the Section 7704 Regulations. Additionally, the Manager intends to (and has the authority to) take appropriate steps to prevent Units in the Company from being considered publicly traded.

Income Taxation of the Company and Members

General. In general, the Company will not itself be a taxable entity for federal income tax purposes. Rather, its items of income, gain, loss, deduction, and credit (if any), and the character of such items (*e.g.*, as interest or dividend income, as investment interest deductions or as capital gain or ordinary income),

generally will flow through to the Members, with each Member reporting its distributive share of the items on the Member's federal income tax return for the taxable year that includes the end of the Company year. The Members will be taxed on the Company's income regardless of whether they receive distributions from the Company. Thus, it is possible that a Member could incur income tax liability with respect to its share of the income of the Company without receiving a distribution from the Company to pay such liability. In general, cash distributions from the Company to a Member (including a deemed distribution from a reduction in the Member's share of the Company liabilities) will not be taxable except to the extent distributions exceed the Member's tax basis in its Units in the Company, including any taxable income allocated to such Member.

Except as otherwise determined by Sponsor, the Company will use the accrual method of accounting to report income and deductions for tax purposes, will prepare its financials using GAAP, and will compute distributions based on actual cash receipts, disbursements, and reserves. The Company will report on the basis of a taxable year, which is generally the calendar year, or other taxable period as may be required by the Code. The Company will file an annual federal informational tax return, Form 1065, reporting its operations for each taxable year or taxable period to the IRS and, after each taxable year or taxable period, will provide Members with the information on Schedule K-1 to Form 1065 necessary to enable them to include in their tax returns the tax information arising from their investments in the Company. It is possible, however, that the Company will not be able to furnish the Members' Schedule K-1s for completing their U.S. tax returns prior to April 15th of each year. In such event, the Members will likely have to file requests for extension of time to file their U.S. tax returns. Section 6222 of the Code requires that the Members file their returns in a manner consistent with the treatment of the Company items on the Company's returns, unless a statement is filed with the IRS identifying the inconsistency.

Qualified Business Income. The Tax Act added new Section 199A to the Code, which reduces the income tax imposed on qualified business income (“**QBI**”) derived by an individual, estate, or trust from a partnership, S corporation, or sole proprietorship by creating a new deduction of up to 20% of the QBI of each individual. Accordingly, the top marginal tax rate on QBI that qualifies for the 20% deduction under the Tax Act is 29.6%. These provisions are effective for taxable years beginning after December 31, 2017, and they cease to have effect for taxable years beginning after December 31, 2025.

QBI for a taxable year is defined as the net amount of domestic qualified items of income, gain, deduction, and loss with respect to the taxpayer's qualified trades and businesses, which generally means any trades or businesses other than specified service businesses. “**Specified service businesses**” are professions in the fields of health, law, consulting, athletics, financial services, brokerage services, or any trade or business in which the principal asset of such trade or business is the reputation or skill of one or more of its employees or owners, or which involves the performance of services that consist of investing and investment management, trading, or dealing in securities, partnership interests, or commodities. The Tax Act, however, allows individuals that derive business income from specified service businesses to treat such income as QBI if their taxable income is less than \$383,900 (for married taxpayers filing a joint return) or \$191,950 (for individuals), which such amounts are indexed for inflation for years beginning after 2018.

The Tax Act limits the deduction for an individual's QBI to the greater of (a) 50% of the individual's “W-2 wages” paid with respect to the qualified trade or business, or (b) the sum of 25% of the W-2 wages plus 2.5% of the unadjusted basis of all “qualified property” immediately after its acquisition. Qualified property includes property of a character subject to depreciation and used in production of QBI. Such wages include wages subject to wage withholding, elective deferrals, and deferred compensation paid by the taxpayer during the calendar year. The W-2 wage limit does not apply for taxpayers with taxable income not exceeding the dollar thresholds noted in the preceding paragraph.

QBI does not include certain investment-related income, gains, deductions, or losses. If a taxpayer has negative QBI for a particular year, the amount of such loss generally must be used to offset QBI in the following taxable year. The Tax Act also excludes from QBI (1) any amount paid by an S corporation that is treated as reasonable compensation of the taxpayer and (2) any amount that is a guaranteed payment for services actually rendered to or on behalf of a partnership.

Qualified REIT dividends, qualified cooperative dividends, and qualified publicly traded partnership income separately give rise to a 20% deduction without the wage and qualified property limitations discussed above. Thus, it is expected that any Members that are not tax-exempt entities would qualify for this 20% deduction to the extent allocated income associated with ordinary REIT dividends (but not capital gain dividends or qualified dividends).

THE DEDUCTION UNDER SECTION 199A IS SUBJECT TO COMPLEX LIMITATIONS AND RESTRICTIONS, AND THERE CAN BE NO ASSURANCES THAT THE COMPANY WILL GENERATE INCOME THAT IS ELIGIBLE FOR THE DEDUCTION. ACCORDINGLY, PROSPECTIVE MEMBERS SHOULD CONSULT WITH THEIR TAX ADVISORS TO DETERMINE WHETHER THEY QUALIFY FOR THE DEDUCTION UNDER CODE SECTION 199A.

Alternative Minimum Tax Consequences. Prospective Members that are subject to the alternative minimum tax (the “AMT”) should consider the tax consequences of an investment in the Company in view of their AMT position, taking into account the special rules that apply in computing the AMT, including the special limitations as to the use of net operating losses and, in the case of individual taxpayers, the complete disallowance of miscellaneous itemized deductions and deductions for state and local taxes.

Medicare Tax on Net Investment Income. The Health Care and Education Reconciliation Act of 2010 (the “**Reconciliation Act**”) requires certain U.S. Members who are individuals, estates or trusts to pay a 3.8% Medicare tax on “net investment income,” which generally includes interest, dividends, annuities, royalties, rents, and capital gains, subject to certain exceptions. Such income received directly or via a pass-through entity such as the Company generally will be subject to this tax to the extent that a U.S. Member’s adjusted gross income exceeds a certain threshold. You should consult your tax advisor regarding the effect, if any, of the Reconciliation Act on taxable income arising from ownership and disposition of Units in the Company.

Tax Basis. The tax basis of a Member’s Units in the Company is used to determine if gain or loss is realized upon a sale of the Units or upon the receipt of cash distributions from the Company. Additionally and as discussed below, a Member is allowed to deduct Company losses only to the extent of such basis. A Member’s basis in its Units in the Company initially will equal its contribution to the capital of the Company; it will be increased by the Member’s allocable share of the Company’s taxable income and reduced by the Member’s allocable share of taxable losses and distributions of cash and other property to the Member.

Distributions. Cash distributions from the Company to Members and, in certain circumstances, distributions of certain marketable securities treated as cash distributions, are generally not taxable. Rather, non-liquidating distributions of cash and marketable securities are generally treated as a return of capital and reduce the Member’s tax basis in its Units in the Company by the amount of the cash or the Company’s adjusted basis in such asset immediately before its distribution, as applicable. If the amount of the distribution exceeds the adjusted basis of the Member’s Units in the Company, the Member will recognize taxable gain equal to such excess.

Deductibility of Losses and Expenses. As discussed immediately below, the Code imposes various limitations on the ability of taxpayers to use losses and deductions arising from investments in entities such

as the Company. Each Member should consult with its own tax advisor regarding the Member's ability to deduct losses allocated by the Company based on such Member's particular circumstances. To the extent the Company's operations are conducted through the 10FSSAC5 REIT (which is expected to comprise substantially all of the Company's activities), losses and expenses of such REIT will not pass through such REIT to the Company.

Investment Interest. Except as described herein, interest on any amount borrowed by an individual Member to purchase Units (or fund a capital contribution to the Company) generally will be "investment interest," which will be deductible only to the extent of the Member's "net investment income." For this purpose, net investment income will generally include net income from the Company and other income from property held for investment (other than income treated as passive activity income, described below). Qualified dividend income and long-term capital gain are excluded from the definition of net investment income unless the Member makes a special election to treat such qualified dividend income or capital gain as ordinary income.

Passive Activity Losses. Passive activities generally include any activity involving the conduct of a trade or business in which the taxpayer does not materially participate. Dividends, however, are not considered to be passive activity income. The Company is expected to acquire substantially all of its investments through the 10FSSAC5 REIT. If the Company directly or indirectly held assets outside of the 10FSSAC5 REIT, a Member's indirect interest in such ownership may be treated as a passive activity and items of income and loss, other than interest income that will constitute portfolio income, will generally constitute passive activity income and passive activity loss to the Members. Losses from passive activities are generally deductible only to the extent of a Member's income or gains from passive activities and will not be allowed as an offset against other income, including salary or other compensation for personal services, active business income, or portfolio income, which includes non-business income derived from dividends, interest, royalties, annuities, and gains from the sale of property held for investment.

Basis Limitation. A Member may not deduct its share of Company losses and deductions in excess of the adjusted basis of the Member's Units in the Company determined as of the end of the taxable year. Allocated losses that are not allowed may be carried over indefinitely and claimed as a deduction in a subsequent year to the extent that such Member's adjusted basis in its Units has increased above zero.

"At Risk" Limitation. The deductibility by a Member of its share of Company losses is limited further by the "at risk" limitations set forth in the Code. Members who are individuals, estates, trusts, and certain closely held corporations will not be allowed to deduct losses in excess of the amounts that such Members are determined to have "at risk" at the close of the Company's taxable year. Generally, a Member's "amount at risk" will include only the amount of its capital contribution to the Company. However, the Code treats certain nonrecourse financing secured by real estate as an amount "at risk" if the loan is from a party engaged in the lending business, is not convertible into equity, and, in general, no person has any personal liability for repayment of the nonrecourse financing. This rule does not apply to nonrecourse financing securing an asset held through the 10FSSAC5 REIT. A Member's "amount at risk" will be reduced by its allocable share of Company losses and by distributions made by the Company and increased by its allocable share of Company income. Any deductions that are disallowed under this limitation may be carried forward indefinitely and utilized in subsequent years to the extent that a Member's "amount at risk" is increased in those years.

Miscellaneous Itemized Deductions. Prior to January 1, 2018, under Section 67 of the Code, individuals could deduct certain miscellaneous expenses (e.g., investment advisory fees, tax preparation fees, unreimbursed employee expenses, subscriptions to professional journals) only to the extent such deductions exceeded, in the aggregate, 2% of the individual's adjusted gross income. For taxable years

beginning after December 31, 2017, and before January 1, 2026, the Tax Act suspends the deduction for miscellaneous itemized deductions (including for trusts and estates).

Organizational Expenses. In general, organizational expenses of a partnership must be capitalized and may not be deducted by a partnership or its partners. However, a partnership may elect (i) to deduct organizational expenses of up to \$5,000, subject to certain limits, in its first taxable year and (ii) to amortize any remaining organizational expenses over a 180-month period beginning with the month in which the partnership begins business. Syndication fees (which would include any placement fees or commissions paid by the Company), on the other hand, must be capitalized and cannot be amortized or otherwise deducted. A Member's share of any placement fees would become a part of a Member's tax basis for its Units (resulting in a capital loss for a Member upon liquidation of the Company that may offset capital gains allocated to such Member in the year of liquidation, or a reduction in the gain (or increase in the capital loss) upon a sale of the Member's Units).

Capital Losses. The Company may incur capital losses. Capital losses for a year may only be used to offset capital gains of the Member for such year or future years, plus \$3,000 per year for individuals. If the 10FSSAC5 REIT incurs net capital losses, such net capital losses will not pass through to the Company.

Non-Corporate Loss Limitation. The Tax Act limits the deductibility of excess business losses for non-corporate taxpayers for tax years beginning after December 31, 2017, and before January 1, 2026. Excess business losses are defined as the excess of the taxpayer's aggregate deductions that are attributable to trades or businesses of the taxpayer over the excess of aggregate gross income or gain of such taxpayer for the tax year that is attributable to such trades or businesses, plus \$270,000 (or 200% of such amount in the case of a joint return).

This loss limitation would be applied after the application of the passive activity rules under Code Section 469. For partnerships and S corporations, the provision would be applied at the partner or shareholder level. Under the CARES Act, for tax years beginning in 2021 through 2026, taxpayers may treat excess business losses as net operating losses for purposes of determining a net operating loss carryforward in the following year. The Inflation Reduction Act extended this provision through 2028.

Business Interest Expense Limitation. The Tax Act introduced a new and substantial business interest limitation. Code Section 163(j) provides that a taxpayer will generally be prohibited from deducting business interest expenses (i.e., interest that is properly allocable to a trade or business) that exceed the sum of (i) business interest income and (ii) 30% of adjusted taxable income. For tax years beginning in 2022, depreciation, amortization, and depletion must be deducted in determining adjusted taxable income. Any disallowed interest under this new rule may be carried forward indefinitely.

Under the proposed and final regulations, the Section 163(j) limitation with respect to partnerships applies at the partnership level. To the extent that a partnership's business interest expense does not exceed its Section 163(j) limitation, such business interest expense is allocated by the partnership to the partners, and is not subject to further limitations under Section 163(j) at the partner level. The partnership's adjusted taxable income, once applied in calculating the partnership's Section 163(j) limitation, is not treated as adjusted taxable income when allocated to its partners. Instead, a partner's adjusted taxable income is increased by the partner's distributive share of the "unused" portion of the partnership's adjusted taxable income (referred to as "excess taxable income"). The portion of a partnership's excess business interest expense is allocated to and carried forward by its partners. Excess business interest expense can be deducted by a partner (to the extent not otherwise limited by Section 163(j) at the partner level) only to the extent that the partner is allocated either excess taxable income or excess business interest income from the same partnership.

Taxpayers with average gross receipts of less than \$25 million, based on certain attribution rules, over the preceding three taxable years are generally excluded from the application of the new interest expense limitation. It is currently unknown whether the Company would be eligible to make this election. In addition, a taxpayer may make an irrevocable election to be excluded from the new interest expense limitation provision if such person is engaged in a real property trade or business under Code Section 469(c)(7)(C). If a taxpayer makes such an election, it must depreciate non-residential real property, residential real property, and qualified improvement property using the alternative depreciation system, which disallows use of 100% bonus depreciation. This election is available to be made by the 10FSSAC5 REIT. However, the Manager has not yet analyzed whether this election would be advantageous to the Company and its Members.

Finally, if the Company is unable to, or if the Manager determines not to elect out of the application of the new Code Section 163(j) rules, then the Members may be required to make certain basis adjustments in their Units based on the application of Section 163(j).

Prospective Members are strongly encouraged to consult with their tax advisors regarding an investment in the Company with respect to Code Section 163(j).

Allocations of Income, Gain, Loss, Deduction, and Credits

General. Section 704(a) of the Code provides generally that partnership items of income, gain, loss, deduction, and credit are to be allocated among partners as set forth in the relevant LLC Agreement. Section 704(b) provides, however, that if an allocation does not have substantial economic effect, such allocation will instead be made in accordance with the partner's interest in the partnership as determined by taking into account all facts and circumstances. Regulations issued under Section 704(b) of the Code (the "**Section 704(b) Regulations**") provide complex rules for determining (1) whether allocations will be deemed to have economic effect, (2) whether the economic effect of allocations will be deemed to be substantial, and (3) whether allocations not having substantial economic effect will nonetheless be deemed to be made in accordance with a partner's interest in the partnership.

Substantial Economic Effect Test. The Section 704(b) Regulations provide generally that an allocation will be considered to have economic effect if (1) partners' capital accounts are determined and maintained in accordance with the Section 704(b) Regulations; (2) upon liquidation, liquidating distributions are made in accordance with the positive capital account balances of the partners after taking into account all capital account adjustments for the year during which such liquidation occurs; and (3) the LLC Agreement contains a "qualified income offset" provision and the allocation in question does not cause or increase a deficit balance in a partner's capital account at the end of the taxable year. Alternatively, allocations will be considered to have economic effect if, as a result of the allocations, a liquidation of the partnership at the end of each taxable year would produce the same economic results as under the foregoing test. The Regulations refer to this as the "economic effect equivalence" test.

Additionally, the economic effect of the allocations of profits and losses must be "substantial," *i.e.*, there must be a reasonable possibility that the allocation will affect the dollar amounts to be received by partners, independent of tax consequences. The economic effect of an allocation is presumed not substantial if there is a strong likelihood that the net adjustments to the partner's capital account will not differ substantially from the net adjustments that would have been made in the absence of such allocation, and the total tax liability of the partners for such year is less than it would have been in the absence of such allocations. If the allocations of profits and losses set forth in an LLC Agreement do not have substantial economic effect, the allocations will then be made in accordance with the partners' "interests in the partnership" by taking into account all facts and circumstances relating to the economic arrangement of the partners, including relative capital contributions, interests in economic profits and losses (if different from

those in taxable income or loss), interests in cash flow and other non-liquidating distributions, and rights to distributions of capital upon liquidation.

The LLC Agreement provides: (1) for the maintenance of capital accounts in accordance with the Section 704(b) Regulations; (2) upon liquidation, liquidating distributions are made in accordance with the positive capital account balances of the partners after taking into account all capital account adjustments for the year during which such liquidation occurs; and (3) a “qualified income offset” provision. Thus, the allocations of the LLC Agreement should have economic effect for purposes of the Section 704(b) Regulations. The LLC Agreement does not provide for allocations that are shifting or transitory within the meaning of the Section 704(b) Regulations. Furthermore, the allocations set forth in the LLC Agreement should satisfy the “overall substantiality test” set forth in the Section 704(b) Regulations because such allocations will determine the amount of cash proceeds that will be received by each partner upon a liquidation of the Company. Therefore, the economic effect of the allocations contained in the LLC Agreement should be “substantial.” As a result, the IRS should respect the Company’s allocations of profits, losses, and other tax items among the Members in accordance with the LLC Agreement.

The Manager is authorized (but is not required) to comply with the requirements of Section 514(c)(9) of the Code where available (generally referred to as the “fractions rule”) to avoid income from debt-financed property being treated as unrelated business taxable income to certain tax-exempt investors who are “qualified organizations.” See *“Material U.S. Federal Income Tax Considerations – Certain Special Considerations for Tax-Exempt Investors”*.

Sale or Exchange of Units in the Company

Units are not transferable without the consent of the Sponsor and subject to other limitations specified in the LLC Agreement. If a Member does sell Units (or is deemed to do so upon the receipt of payments upon the admission of Members at a Subsequent Closing or upon the liquidation of the Company), gain or loss will generally be recognized in an amount equal to the difference between (i) the amount realized (the sale proceeds plus the Member’s share of partnership liabilities of which the Member is deemed relieved), and (ii) the Member’s adjusted tax basis in the Units. If the Units have been held for more than one year, any gain or loss will generally be long-term capital gain or loss. However, under Section 751 of the Code, any amount received that is attributable to the Member’s share of the Company’s “unrealized receivables” (which is defined to include depreciation recapture property) and “substantially appreciated inventory” is treated as an amount received for a non-capital asset and may result in ordinary income. Special rules may apply to the disposition of Units by a Non-U.S. Member.

Basis Adjustments

Elective Adjustments. Under Section 754 of the Code, the Company could elect to adjust the basis of Company assets upon the transfer of Units so that the transferee would be treated, for purposes of calculating depreciation and realizing gain, as though it had acquired a direct interest in Company assets. The Manager or Sponsor, in its capacity as the “Partnership Representative” of the Company, has the sole and absolute authority to make a Section 754 election on behalf of the Company. If the Manager or Sponsor determines not to make a Section 754 election, depreciation available to a transferee of Units will be limited to the transferor’s share of the remaining depreciable basis of Company assets, and upon a sale of an asset, taxable income or loss to the transferee of the Units will be measured by the difference between its share of the amount realized upon such sale and its share of Company tax basis in the asset, which may result in greater tax liability than if a Section 754 election had been made. However, to the extent assets are held through the 10FSSAC5 REIT, a Section 754 election will only result in an increase in the Company’s basis in such transferee Member’s share of the basis of the Company’s interests in such REIT, which would decrease the gain or increase the loss on the Company’s disposition or liquidation of such REIT. However,

such Section 754 election would have no effect on the transferee Member's indirect proportionate share of the 10FSSAC5 REIT's basis in its assets and thus no impact on current depreciation or income of the 10FSSAC5 REIT, and thus no impact on the portion of the distributions from the 10FSSAC5 REIT that are classified as ordinary income, capital gain income, or return of capital. The absence of such a Section 754 election by the Company could result in Members having greater difficulty in selling their Units. A Section 754 election cannot "penetrate" a REIT, and therefore the basis of depreciable property allocable to a direct or indirect interest held by the 10FSSAC5 REIT cannot be adjusted pursuant to this provision.

Mandatory Adjustments. Upon certain transfers of Units, Section 743 of the Code may require the Company to adjust its tax basis in its assets. Any such adjustment (which is personal to the transferee) could result in the Company allocating less depreciation or loss (in the case of assets held other than through the 10FSSAC5 REIT) or more income or gain to a transferee of an interest than would have been allocable to them in the absence of any adjustment. Any transferee will also be required to bear the reasonable costs of complying with Section 743 of the Code.

Tax Issues Associated with Debt Investments

Original Issue Discount. Certain debt instruments acquired or held by the Company may have original issue discount ("OID"), which could potentially cause Members to be allocated income in a taxable year before the receipt of the cash corresponding to such investment.

OID is equal to the excess of a debt instrument's stated redemption price at maturity (i.e., generally, the sum of all principal payments due under the debt instrument plus certain types of non-fixed interest payments) over the issue price of such debt instrument. OID could potentially arise in a number of different ways (i.e., if the Company acquires a debt instrument at original issuance at a discount to the principal payments due under such instrument, or if the Company purchases a debt instrument having OID after it has been originally issued). OID can also arise if certain loans held by the Company provide for interest to be paid at a lower interest rate than the rate at which interest accrues under such note (OID arises in this case because the "accrual" amount is not qualified stated interest and therefore is included in the stated redemption price at maturity).

Market Discount. Market discount generally is equal to the excess of a debt obligation's stated redemption price at maturity (i.e., generally, the sum of all principal payments due under the debt instrument plus certain types of non-fixed interest payments) over the taxpayer's adjusted basis in such debt instrument, reduced by the amount of any OID associated with such debt instrument. If a debt instrument has market discount, the holder generally must include such market discount in its taxable income during the year such debt instrument is sold or the principal payments exceed the taxpayer's basis in such debt instrument. While holders of market discount obligations may elect to accrue such discount before disposition, it is expected the Company will make no such election in order to minimize the mismatch between the amount of taxable income recognized from an investment during a taxable year and the amount of cash actually received from such investment during such taxable year. However, the Manager is under no obligation to avoid such accruals for the Company.

Significant Modifications of Debt Instruments. The Company may have phantom income if any of its investments constituting debt for federal tax purposes are "significantly modified" (which generally is deemed to occur when the interest rate, principal amount, collateral or other economic terms of a debt instrument are modified to a significant degree under the Regulations). A significant modification would cause a deemed taxable exchange of the original debt instrument for the modified instrument by the Company. Such deemed sale by the Company could trigger gain to the Company if and to the extent that the fair market value of the modified debt instrument exceeds the Company's adjusted basis in the original debt instrument. Moreover, to the extent that the modified debt instrument is held in the 10FSSAC5 REIT,

the significant modification could be treated as a prohibited transaction. In some circumstances, the Company may be able to utilize a bad debt deduction to mitigate such gain recognition.

Certain Special Considerations for Tax-Exempt Investors

Unrelated Business Taxable Income. Tax-exempt organizations generally are subject to federal income tax on UBTI. The Company expects to conduct a substantial amount, but not all, of its operations through the 10FSSAC5 REIT. As described in more detail below, the use of the 10FSSAC5 REIT would effectively block UBTI for such investors to the extent of investments held through such REIT, subject to the limitations contained below. However, tax-exempt investors should expect at least a portion of their investment to generate UBTI.

With respect to the Company's ownership of the 10FSSAC5 REIT, neither ordinary nor capital gain distributions nor gain from the sale of the shares of any such REIT should generally constitute UBTI to a tax-exempt investor. However, there are certain exceptions to this rule. In particular:

- part of the income and gain recognized by certain qualified employee pension trusts may be treated as UBTI if the shares of the 10FSSAC5 REIT are predominantly held by qualified employee pension trusts, such REIT is required to rely on a special look-through rule for purposes of meeting one of the REIT share ownership tests, and the Company is not otherwise operated in a manner to avoid treatment of such income or gain as UBTI;
- part of the income and gain recognized by a tax-exempt investor in the Company with respect to the shares of the 10FSSAC5 REIT would constitute UBTI if such investor incurs debt in order to acquire its Units in the Company or the Company utilizes debt to acquire interests in the 10FSSAC5 REIT;
- part or all of the income or gain recognized with respect to the shares of the 10FSSAC5 REIT by Members in the Company that are social clubs, voluntary employee benefit associations, supplemental unemployment benefit trusts and qualified group legal services plans which are exempt from federal income taxation under Sections 501(c)(7), (9), (17) or (20) of the Code may be treated as UBTI; and
- part or all of the income and gain recognized by a tax-exempt investor in the Company with respect to the shares of the 10FSSAC5 REIT would constitute UBTI if the 10FSSAC5 REIT directly or indirectly acquires a residual interest in certain mortgage loan securitization structures (i.e., a taxable mortgage pool or a residual interest in a REMIC).

To the extent that Company investments are held outside of the 10FSSAC5 REIT, if, as anticipated, the Company uses leverage to finance its investments, a portion of the income of the Company will be UBTI under the debt-financed property rules of Section 514 of the Code, absent a specifically codified exception from UBTI in the Code. This could happen, for example, if the Company acquired a portfolio of assets with the intent of retaining less than all such assets. In such case, the Company may acquire those assets it wishes to retain through the 10FSSAC5 REIT, but hold the assets it desires to dispose of outside of the 10FSSAC5 REIT.

Debt-financed property includes property for which there is "acquisition indebtedness". "Acquisition indebtedness" for these purposes is the amount of any indebtedness incurred directly or indirectly to acquire or improve property, including (a) indebtedness incurred in acquiring or improving property, (b) indebtedness incurred before the acquisition or improvement of property if such indebtedness would not have been incurred but for the acquisition or improvement of the property and (c) indebtedness incurred after the acquisition or improvement of property if such indebtedness would not have been incurred

but for such acquisition or improvement and such indebtedness was reasonably foreseeable at the time of the acquisition or improvement.

To the extent the Company recognizes income from any investments with respect to which there is “acquisition indebtedness” during a taxable year (again, for the sake of clarity, other than through the 10FSSAC5 REIT), the percentage of such income that will be treated as UBTI generally will be based on the percentage that the “average acquisition indebtedness” incurred with respect to such investment is of the “average amount of the adjusted basis” of such investment during the taxable year. Indebtedness incurred by an exempt organization to acquire or to carry its interest in the Company as a Member will also be treated as “acquisition indebtedness” for these purposes.

To the extent the Company recognizes gain from an investment with respect to which there is “acquisition indebtedness” at any time during the twelve-month period ending with the date of the investment’s disposition, the percentage of such gain that will be treated as UBTI will be based on the percentage that the highest amount of such “acquisition indebtedness” is of the “average amount of the adjusted basis” of such investment during such period.

A potentially relevant exception to the application of the debt-financed property rules is the exception for real property (not including debt) acquired by a “qualified organization” within the meaning of Section 514(c)(9)(C) of the Code. “Qualified organizations” generally include qualified trusts under Section 401 of the Code, certain educational organizations, and certain corporations and trusts formed for the exclusive purpose of acquiring and holding real property and distributing all of the income derived therefrom to its shareholders or beneficiaries. This exception may apply where a qualified organization is a partner in a partnership that holds real property (not including debt), provided certain additional requirements are met with respect to the partnership.

The Manager may, but is not required to, attempt to cause the Company to meet the requirements of Section 514(c)(9) of the Code with respect to the Members that are “qualified organizations.” However, it is possible that the IRS could take the position that the requirements of that provision do not apply to certain of the Company’s investments, or that the LLC Agreement does not meet the additional requirements imposed by Section 514(c)(9) of the Code where real property is held by a partnership. Among the many requirements of the “fractions rule” is that a partnership (such as the Company) cannot allocate overall partnership income to a qualifying tax-exempt Member more than such Member’s smallest percentage share of overall partnership loss for a taxable year. Even if the Company is able to comply with the “fractions rule,” tax-exempt investors may have UBTI (generally subject to tax at corporate rates) from investments that are acquired by the Company and not held by the 10FSSAC5 REIT.

While the 10FSSAC5 REIT is contemplated to hold a substantial portion of the Company’s assets, the Manager has discretion to acquire and structure transactions that may be held outside of the 10FSSAC5 REIT. With respect to any portion of the Company’s operations not conducted through the 10FSSAC5 REIT, the Manager may elect to use alternative structures, such as lease structures or UBTI blockers, or it may choose to structure its investments as debt. The Manager may, but is not required to, structure investments to meet the “fractions rule.” Nor is the Manager required to use REIT subsidiaries or other blocker structures or to avoid unrelated debt-financed income or UBTI, and the Manager is under no obligation to eliminate or minimize UBTI. Accordingly, prospective tax-exempt investors should expect at least a portion of their investment in the Company to generate UBTI.

Moreover, to the extent a UBTI blocker is not utilized, certain investments may have UBTI from sources such as parking revenue and incidental services income from services provided to guests, and other investments that the Manager determines to cause the Company to acquire may be of a type that generate primarily UBTI (such as inventory-type property). In addition, if the Company were considered a dealer

in real property, gains from the sale of its dealer properties would also generally be UBTI to the extent held outside of the 10FSSAC5 REIT and would generate prohibited transaction income to the extent held through the 10FSSAC5 REIT. Further, the Company's interest payments received from borrowers under debt instruments will be UBTI to the percentage extent leverage is used by the Company to acquire the debt giving rise to such interest payments (unless the 10FSSAC5 REIT can be and is used as a UBTI blocker).

The Manager will not be liable for the recognition of any UBTI by a Member with respect to an investment in the Company.

THE POTENTIAL FOR HAVING INCOME CHARACTERIZED AS UBTI MAY HAVE A SIGNIFICANT EFFECT ON ANY INVESTMENT BY A TAX-EXEMPT ENTITY IN THE COMPANY. TAX-EXEMPT INVESTORS SHOULD CONSULT THEIR OWN TAX ADVISORS REGARDING THE FEDERAL, STATE, LOCAL, AND FOREIGN TAX CONSIDERATIONS APPLICABLE TO AN INVESTMENT IN THE COMPANY, INCLUDING ALL ASPECTS OF UBTI.

Tax-Exempt Use Property. In addition, as a result of the Company having one or more tax-exempt Members, the investments held directly or indirectly by the Company that are not held through the 10FSSAC5 REIT may constitute "tax-exempt use property" under Section 168(h)(6) of the Code if each Member is not allocated the same distributive share of each item of the Company's income, gain, loss, deduction, credit and basis and such share does not remain the same during the entire period such Member is a Member of the Company. Depreciable property that constitutes "tax-exempt use property" may be subject to a longer recovery period and certain losses resulting from the leases of such property to a tax-exempt entity may also be deferred or denied for federal income tax purposes. Such characterization of the Company's investments as "tax-exempt use property" may have a negative impact on the rate of return from the investment in such property for taxable investors, although such negative impact is not expected to be significant.

Excise Tax on Applicable Educational Institutions. The Tax Act added a new Section 4968, which imposes an annual 1.4% excise tax on the net investment income of an "applicable educational institution." The Code defines an "applicable educational institution" as an eligible educational institution (as defined under Section 25A(f)(2)): (1) which had at least 500 tuition-paying students during the preceding taxable year; (2) more than 50% of which are located in the United States; (3) is not described in Code Section 511(a)(2)(B) (relating to state colleges and universities) and (4) has assets that have an aggregate fair market value at the end of the preceding taxable year of at least \$500,000 per student. Net investment income for applicable educational institutions will be determined under rules similar to those for private foundations. **Investors that may be subject to this excise tax are urged to consult their tax advisors.**

The 10FSSAC5 REIT

General. The Manager expects to acquire substantially all of the Company's assets through the 10FSSAC5 REIT. The Manager may also take such actions as are necessary to avoid the 10FSSAC5 REIT being treated as a "pension-held" REIT. If the 10FSSAC5 REIT were a "pension-held" REIT, this could potentially cause allocations of taxable income to pension plan investors owning over a 10% interest in the Company that are attributable to investments owned directly or indirectly by the 10FSSAC5 REIT to constitute UBTI.

As described above in "Material U.S. Federal Income Tax Considerations – Certain Special Considerations for Tax-Exempt Investors" tax-exempt investors in the Company generally will not be subject to UBTI on their pro rata share of distributions received by the Company from the 10FSSAC5 REIT that may be formed, unless the Company has borrowed money to purchase the shares of the 10FSSAC5

REIT or the Member has borrowed the money used to invest in the Company, or the Member is (a) a pension plan owning over a 10% interest in the Company and (b) the 10FSSAC5 REIT is a “pension-held” REIT. A REIT is a “pension-held” REIT if it would not have qualified as a real estate investment trust but for the special “look-through” rule with respect to pensions and either any single pension plan beneficially owns in excess of 25% of the equity interests in the REIT, or all pension plans beneficially owning in excess of 10% of the equity interests in the REIT collectively beneficially own in excess of 50% of the equity interests in such REIT.

The Manager has the right to limit the extent of the participation by pension plans and to limit transfers as necessary to avoid pension-held REIT status.

Although it is anticipated that the Manager will form the 10FSSAC5 REIT to hold substantially all of the Company’s assets, the Manager has the right to structure the Company’s acquisition and operation of investments as it deems appropriate and, because of the complexity and cost of a REIT structure and the nature of certain investments, may decide (in its sole and absolute discretion) not to hold certain investments through the 10FSSAC5 REIT.

Election and Qualification. The Manager will make an election for the 10FSSAC5 REIT to be taxed as a REIT under Sections 856 through 860 of the Code, effective beginning with the first year in which such REIT commences material operations. However, no assurance can be given that the 10FSSAC5 REIT will be operated in a manner so as to remain qualified as a REIT. In addition, although REITs continue to receive substantially better tax treatment than entities taxed as corporations, it is possible that future legislation would cause a REIT to be a less advantageous form of organization tax purposes for companies that invest in the types of real estate assets in which the Company intends to invest, and it could become more advantageous for such companies to dissolve or elect to be taxed for federal income tax purposes as a corporation. The Manager may elect not to utilize the 10FSSAC5 REIT to hold Company investments or, after causing the 10FSSAC5 REIT to qualify as a REIT, may revoke or otherwise terminate such REIT’s status as a REIT, if the Manager determines that it is in the Company’s and Members’ best interests to do so.

The 10FSSAC5 REIT generally will not be subject to federal corporate income taxes at the entity level on the portion of its ordinary income or capital gain that is distributed currently to the Company and any other shareholders, because the REIT provisions of the Code generally allow a REIT to deduct dividends paid to its stockholders. This substantially eliminates the federal “double taxation” on earnings (taxation at both the corporate level and stockholder level) that usually results from an investment in a corporation.

Taxation of a REIT. The term “REIT taxable income” means the taxable income that is the same as that computed for a corporation that is not a REIT, with the following adjustments:

- without the deductions allowed by Code Sections 241 through 247, and 249 (relating generally to the deduction for dividends received);
- excluding amounts equal to:
 - the net income from foreclosure property; and
 - the net income derived from prohibited transactions (described below);
- deducting amounts equal to:
 - the tax imposed by Code Section 856(c)(7)(C) upon a failure to meet the quarterly asset tests, the tax imposed by Code Section 856(g)(5) for otherwise avoiding REIT disqualification, the tax imposed by Code Section 857(b)(7) on redetermined rents, redetermined deductions, and excess

interest; and the tax imposed by Code Section 857(b)(5) upon a failure to meet the 95% and/or the 75% gross income tests; and

- the deduction for dividends paid, computed without regard to the amount of the net income from foreclosure property that is excluded from REIT taxable income; and
- without regard to any change of annual accounting period pursuant to Section 443(b) of the Code.

In any year in which the 10FSSAC5 REIT qualifies as a REIT and has a valid election in place, it will claim deductions for the dividends paid to the Company, and therefore will not be subject to federal income tax on the portion of its taxable income or capital gain that is distributed. It is the Company's intent to cause the 10FSSAC5 REIT to distribute at least 90% of its REIT taxable income determined without regard to the deduction for dividends paid and excluding net capital gain, as described above.

Nevertheless, the 10FSSAC5 REIT will be subject to federal tax in the following circumstances:

- It will be taxed at normal corporate rates on any taxable income, including net capital gain, not distributed.
- If it fails to satisfy either the 95% gross income test or the 75% gross income test as set forth in the Code and Regulations, yet it maintains its REIT status, it could be subject to a 100% penalty tax which would be imposed by reference to the amount by which it failed the 75% or 95% gross income test (whichever amount is greater) multiplied by a fraction intended to reflect its profitability.
- It will be subject to a non-deductible excise tax if it fails to currently distribute sufficient income. In order to make the "required distribution" with respect to a calendar year, the 10FSSAC5 REIT must distribute the sum of (i) 85% of its REIT ordinary income for the calendar year, (ii) 95% of its REIT capital gain net income for the calendar year, and (iii) 100% of its undistributed income from prior years. Any excise tax liability would be equal to 4% of the difference between the amount required to be distributed under this formula and the sum of (a) the amounts actually distributed (taking into account excess distributions from prior years), plus (b) retained amounts on which federal income tax is paid at the corporate level.
- If it derives "excess inclusion income" from an interest in certain mortgage loan securitization structures (*i.e.*, a "taxable mortgage pool" or a residual interest in a real estate mortgage investment conduit, or REMIC), it could be subject to corporate level federal income tax at a 21% rate to the extent that such income is allocable to specified types of tax-exempt stockholders known as "disqualified organizations" that are not subject to unrelated business income tax.
- If it has net income from "prohibited transactions" as defined in the Code, such income would be subject to a 100% tax.
- It will be subject to federal income tax at the highest corporate rate (21%) on any non-qualifying income from foreclosure property. "Foreclosure property" is real property and any personal property incident to such real property (1) that is acquired by a REIT as the result of the REIT having bid on the property at foreclosure, after there was a default (or default was imminent) on a lease of the property or on a mortgage loan held by the REIT and secured by the property, (2) the related loan or lease of which was acquired by the REIT at a time when default was not imminent or anticipated and (3) for which such REIT makes a proper election to treat the property as foreclosure property.
- If it should fail to satisfy any of the asset test requirements set forth in the Code and Regulations for a quarter by more than a de minimis amount, and its failure is due to reasonable cause and not willful neglect, the 10FSSAC5 REIT will maintain its REIT status if it, among other things, pays a penalty tax.
- If the 10FSSAC5 REIT acquires any asset from a corporation that is subject to full corporate-level federal income tax in a transaction in which its basis in the asset is determined by reference to the

selling corporation's basis in the asset, and it recognizes gain on the disposition of such an asset during the five-year period beginning on the date it acquired such asset, then the excess of the fair market value as of the beginning of the applicable recognition period over its adjusted basis in such asset at the beginning of such recognition period will be subject to federal income tax at the highest regular corporate federal income tax rate. The results described in this paragraph assume that the non-REIT corporation will not elect, in lieu of this treatment, to be subject to an immediate tax when the REIT acquires the asset.

- A 100% tax may be imposed on transactions between the 10FSSAC5 REIT and a taxable REIT subsidiary (a "TRS") that do not reflect arm's-length terms.
- The earnings of the 10FSSAC5 REIT's subsidiaries, including any subsidiary that is treated as a TRS, are generally subject to federal corporate income tax to the extent that such subsidiaries are subchapter C corporations.
- If the 10FSSAC5 REIT fails to satisfy any provision of the Code that would result in its failure to qualify as a REIT (other than a gross income or asset test requirement as discussed above) and the violation is due to reasonable cause and not willful neglect, it may retain its REIT qualification but will be required to pay a penalty of \$50,000 for each such failure.
- It may be required to pay monetary penalties to the IRS in certain circumstances, including if it fails to meet record-keeping requirements intended to monitor its compliance with rules relating to the composition of its stockholders.
- It may elect to retain and pay income tax on its net long-term capital gain. In that case, the Company would include (and pass-through) its proportionate share of its undistributed long-term capital gain (to the extent a timely designation of such gain to the Company is made) in its income and would be allowed a credit for its proportionate share of the tax deemed to have been paid, and an adjustment would be made to increase the Company's basis in the REIT shares.

In addition, the 10FSSAC5 REIT and its subsidiaries may be subject to a variety of taxes, including state and local and foreign income, property and other taxes on their assets and operations. The 10FSSAC5 REIT could also be subject to tax in situations and on transactions not presently contemplated.

Annual Distribution Requirements.

Distribution Requirements Generally. In order to qualify as a REIT, a REIT is required annually to distribute dividends, other than capital gain dividends, to its shareholders in an amount at least equal to:

(a) the sum of:

(1) 90% of REIT taxable income, computed without regard to the deduction for dividends paid and net capital gains, and

(2) 90% of net income, if any, (after tax) from foreclosure property (as described above), minus

(b) the sum of specified items of non-cash income.

These distributions must be paid in the taxable year to which they relate, or in the following taxable year if declared before the REIT timely files its tax return for the year and if paid on or before the first regular dividend payment after such declaration. Such distributions are taxable to

the shareholders in the year in which the REIT pays them. Distributions that are declared in October, November, or December of any year payable to a shareholder of record on a specified date in any of these months will be treated as both paid by the REIT and received by the shareholder on December 31 of the year, provided that the REIT actually pays the distribution during January of the following calendar year. In both instances, these distributions relate to the REIT's prior taxable year for purposes of the 90% distribution requirement.

To the extent that a REIT distributes at least 90%, but less than 100%, of its REIT taxable income, as adjusted, a REIT will be subject to tax at the regular corporate tax rates on the retained portion. The REIT may elect to retain, rather than distribute, its net long-term capital gains and pay tax on such gains. In this case, the REIT's shareholders would include their proportionate share of such undistributed long-term capital gains in income and receive a corresponding credit for their share of the tax the REIT pays. The REIT's shareholders would then increase the adjusted basis of their stock by the difference between the designated amounts included in their long-term capital gains and the tax deemed paid with respect to their shares.

To the extent that a REIT has available net operating losses carried forward from prior tax years, such losses may reduce the amount of distributions that it must make in order to comply with the REIT distribution requirements. Such losses, however, will generally not affect the character, in the hands of shareholders, of any distributions that are actually made by the REIT, which are generally taxable to shareholders to the extent that the REIT has current or accumulated earnings and profits.

As noted earlier, if a REIT fails to distribute during each calendar year, or by the end of January following the calendar year in the case of distributions with declaration and record dates falling in the last three months of the calendar year, at least the sum of (a) 85% of its REIT ordinary income for such year, (b) 95% of its REIT capital gain net income for such year, and (c) any undistributed taxable income from prior periods, the REIT would be subject to a nondeductible 4% excise tax on the excess of such required distribution over the sum of (x) the amounts actually distributed and (y) the amounts of income retained on which the REIT has paid corporate income tax. If the REIT elects to retain and not distribute its net long-term capital gains as described above, the REIT will be treated as having distributed any such retained amount for purposes of determining this nondeductible 4% excise tax. The Company intends to cause the 10FSSAC5 REIT to make timely distributions to satisfy the annual distribution requirements and to avoid corporate income tax and the nondeductible 4% excise tax, but in certain circumstances, may utilize the "consent dividend" procedure described below.

Prohibition Against Preferential Dividends. Unless a REIT is required to file annual and periodic reports with the SEC under the Securities Exchange Act of 1934, as amended, no portion of any distribution that is considered "preferential" will be considered as a "dividend" for purposes of meeting the annual distribution requirement. Generally, a distribution will be considered preferential if, based on the terms and conditions associated with the stock with respect to which the distribution is made, the distribution is disproportionate in timing and/or amount with respect to any class or series of the REIT's stock or any individual shareholder. If distributions are considered "preferential" in violation of this rule, they will not be deductible nor deemed to meet the annual distribution requirement, and the REIT could lose its status as a REIT and be required to pay regular corporate taxes. However, if a distribution the REIT makes fails to constitute a dividend for purposes of the 90% distribution requirement because it is "preferential," the REIT may nonetheless be able to cure the failure if either (1) the Secretary of the Treasury determines that such failure is inadvertent or is due to reasonable cause and not due to willful neglect, or (2) such failure is of a type of failure that the Secretary of the Treasury has identified as being

described in clause (1). There is no guarantee that, if any distributions were deemed preferential, the 10FSSAC5 REIT would be entitled to such relief.

Shortfall In Available Cash; Consent Dividends. It is possible that a REIT, from time to time, may not have sufficient cash to meet the distribution requirements due to timing differences between the actual receipt of cash and its inclusion of items in income for federal income tax purposes. This could result because of competing demands for funds, or because of timing differences between the actual receipt of income and actual payment of deductible expenses and the inclusion of that income and deduction of such expenses in arriving at its REIT taxable income. Further, it is possible that, from time to time, the REIT may be allocated a share of net capital gain attributable to the sale of depreciated property that exceeds its allocable share of cash attributable to that sale. Other potential sources of taxable income that may cause taxable income to exceed available cash include real estate that has been financed through securitization structures, which may require some or all available cash flows to be used to service borrowings; loans or mortgage-backed securities held as investments that have been issued at a discount where the REIT would be required to accrue taxable economic interest in advance of receiving such interest in cash (see, e.g., “*Material U.S. Federal Income Tax Considerations – Tax Issues Associated with Debt Investments – Original Issue Discount*”); and distressed loans on which a REIT may be required to accrue taxable interest income even though the borrower is unable to make current servicing payments in cash. In the event that such timing differences occur, it might be necessary to arrange for short-term, or possibly long-term, borrowings to meet the distribution requirements or to pay dividends in the form of taxable in-kind distributions of property.

A REIT may also be able to make “consent dividends.” A “consent dividend” is a constructive distribution to a REIT’s shareholders out of the earnings and profits of the REIT. The effect of such a consent dividend is that the shareholders are treated for federal income tax purposes as if such amount had been paid to them in cash and they had then immediately contributed such amount back to the REIT as additional paid-in capital, resulting in taxable income to the shareholders without the receipt of any actual cash distribution. However, the tax basis of the shareholders in their shares is increased by the amount of the taxable income recognized. In order for consent dividend treatment to apply, a person who owns consent stock (common stock) on the last day of the taxable year of the REIT must agree to treat the hypothetical distribution as an actual dividend and must execute a Form 972, which form must be included with the REIT’s tax return for the taxable year. A consent dividend must not be preferential (as discussed above). The Manager expects that it may cause 10FSSAC5 Master, as the sole holder of common stock of the 10FSSAC5 REIT, to elect to receive consent dividends to satisfy a portion of such REIT’s distribution requirement. This will result in Members having to recognize their allocable share of such consent dividends in income, notwithstanding the lack of a corresponding distribution of cash.

Deficiency Dividends. A REIT may be able to cure a failure to meet the distribution requirements for a year by paying “deficiency dividends” to shareholders in a later year, which may be included in the REIT’s deduction for dividends paid for the earlier year. In this case, the REIT may be able to avoid losing its REIT status or being taxed on amounts distributed as deficiency dividends. However, the REIT will be required to pay interest and possibly a penalty based on the amount of any deduction taken for deficiency dividends.

Share Ownership Tests. The common stock and any other stock issued by a REIT must be held by a minimum of 100 persons (determined without attribution to the owners of any entity owning the REIT’s stock) for at least 335 days in each full taxable year, proportionately adjusted for partial taxable years. In addition, at all times during the second half of each taxable year, no more than 50% in value of a REIT’s stock may be owned, directly or indirectly, by five or fewer individuals (determined with attribution to the

owners of any entity owning the REIT's stock) as specifically defined for this purpose – i.e., the “closely held test.” However, these two requirements do not apply until after the first taxable year an entity elects REIT status. In addition, for purposes of the closely held test, a supplemental unemployment compensation benefit plan, a private foundation, or a trust or portion of a trust permanently set aside or used exclusively for charitable purposes is deemed an “individual.”

Taxable REIT Subsidiaries. The 10FSSAC5 REIT expects to use one or more TRSs to hold assets or conduct activities that the 10FSSAC5 REIT cannot conduct directly as a REIT. A REIT may own up to 100% of the shares of one or more TRSs so long as the value of the stock or securities of the TRSs does not exceed 20% of the total value of the REIT's assets. A TRS is a fully taxable corporation that may earn income, or engage in other activities, that would not comply with the requirements for qualification as a REIT if earned or undertaken directly by the parent REIT. Other than some activities relating to lodging and health care facilities, a TRS generally may engage in any business, including the provision of customary or non-customary services to customers of its parent REIT. The subsidiary and the REIT must jointly elect to treat the subsidiary as a TRS. A corporation of which a TRS directly or indirectly owns more than 35% of the voting power or value of the securities will automatically be treated as a TRS. The 10FSSAC5 REIT will not be treated as holding the assets of a TRS or as receiving any income that the TRS earns. Rather, the stock issued by a TRS to the 10FSSAC5 REIT will be an asset in the REIT's hands, and the 10FSSAC5 REIT will treat the distributions paid to it from such TRS as income to the extent of the TRS's current and accumulated earnings and payments, or, if in excess thereof, to the extent such amounts exceed the 10FSSAC5 REIT's basis in the shares of the TRS. This treatment may affect the 10FSSAC5 REIT's compliance with the gross income and asset tests. Because the 10FSSAC5 REIT will not include the assets and income of TRSs in determining its compliance with the REIT requirements, the 10FSSAC5 REIT may use such entities to indirectly undertake activities that the REIT rules might otherwise preclude it from doing directly or through pass-through subsidiaries.

A TRS pays income tax at regular corporate rates on any income that it earns. In addition, the TRS rules limit the deductibility of interest paid or accrued by a TRS to its parent REIT to assure that the TRS is subject to an appropriate level of corporate taxation. Further, the rules impose a 100% excise tax on transactions between a TRS and its parent REIT, or the REIT's customers, that are not conducted on an arm's-length basis.

Rent that the 10FSSAC5 REIT receives from a TRS with respect to real property (other than health care or lodging facilities) generally will qualify as “rents from real property” for purposes of the gross income requirements applicable to REITs as described below so long as (i) at least 90% of the leased space in the property is leased to persons other than TRSs and related-party customers and (ii) the amount paid by the TRS to rent space at the property is substantially comparable to rents paid by other customers of the property for comparable space, as described in further detail below under “– Gross Income Tests – Rents from Real Property.” If the 10FSSAC5 REIT leases space to a TRS in the future, it will seek to comply with these requirements.

Gross Income Tests.

In order to maintain a REIT's qualification as a REIT, the REIT annually must satisfy two gross income tests. First, at least 75% of the REIT's gross income for each taxable year, excluding gross income from sales of inventory or dealer property in “prohibited transactions” and certain hedging and foreign currency transactions, must be derived from investments relating to real property or mortgages on real property, including “rents from real property,” dividends received from and gains from the disposition of other shares of REITs, interest income derived from mortgage loans secured by real property, gains from the sale of real estate assets, income and gain from foreclosure property, abatements and refunds of taxes on real estate, income from certain kinds of temporary investments, and amounts (other than amounts the

determination of which depends in whole or in part on the income or profits of any person) received or accrued as consideration for entering into agreements to (i) make loans secured by mortgages on real property or on interests in real property or (ii) purchase or lease real property (including interests in real property and interests in mortgages on real property). Second, at least 95% of the REIT's gross income in each taxable year, excluding gross income from prohibited transactions and certain hedging and foreign currency transactions, must be derived from some combination of income that qualifies under the 75% income test described above, as well as other dividends, interest, and gain from the sale or disposition of stock or securities, which need not have any relation to real property. Income attributable to a lease of real property will generally qualify as "rents from real property" under the 75% gross income test (and the 95% gross income test), subject to the rules discussed below.

Interest Income

Interest income constitutes qualifying mortgage interest for purposes of the 75% gross income test to the extent that the obligation is secured by a mortgage on real property. If the 10FSSAC5 REIT receives interest income with respect to a mortgage loan that is secured by both real property and other property and the highest outstanding balance of the loan during a taxable year exceeds the fair market value of the real property on the date of its commitment to make or purchase the mortgage loan, the interest income will be apportioned between the real property and the other property, and income from the arrangement will qualify for purposes of the 75% gross income test only to the extent that the interest is allocable to the real property. With respect to loans to develop or improve real property, the 10FSSAC5 REIT is permitted to include as real property collateral for the foregoing apportionment purposes the sum of the fair market value of the undeveloped land plus the reasonably estimated cost of the improvements or developments (other than personal property) which will secure the loan and which are to be constructed from the proceeds of the loan. The failure of a loan to qualify as an obligation secured by a mortgage on real property within the meaning of the REIT rules could adversely affect the 10FSSAC5 REIT's ability to continue to qualify as a REIT.

In the event a mortgage loan is modified, the 10FSSAC5 REIT may be required to retest the loan under the apportionment rules discussed above by comparing the outstanding balance of the modified loan to the fair market value of the collateral real property at the time of modification.

Even if a loan is not secured by real property or is undersecured, the income that it generates may nonetheless qualify for purposes of the 95% gross income test.

To the extent that the terms of a loan provide for contingent interest that is based on the cash proceeds realized upon the sale of the property securing the loan (or a shared appreciation provision), income attributable to the participation feature will be treated as gain from sale of the underlying property for purposes of the income tests, and generally will be qualifying income for purposes of both the 75% and 95% gross income tests, provided that the property is not inventory or dealer property in the hands of the borrower or the 10FSSAC5 REIT.

To the extent that the 10FSSAC5 REIT derives interest income from a loan where all or a portion of the amount of interest payable is contingent, such income generally will qualify for purposes of the gross income tests only if it is based upon the gross receipts or sales and not the net income or profits of any person. This limitation does not apply, however, to a mortgage loan where the borrower derives substantially all of its income from the property from the leasing of substantially all of its interest in the property to tenants, to the extent that the rental income derived by the borrower would qualify as rents from real property had it been earned directly by the 10FSSAC5 REIT.

Asset Tests

At the close of each calendar quarter, a REIT must also satisfy tests relating to the nature of the REIT's assets. At least 75% of the value of the REIT's total assets must be represented by some combination of "real estate assets," cash, cash items, and U.S. Government securities. For this purpose, real estate assets generally include interests in real property (such as land, buildings, leasehold interests in real property), loans secured by mortgages on real property, certain mezzanine loans, and shares in other qualifying REITs, as well as certain other property (not otherwise a real estate asset) attributable to the temporary investment of "new capital" from the issuance of a REIT's stock or debt, but only for the one-year period beginning on the date the REIT receives the new capital. Assets that do not qualify for purposes of the 75% test and that are not securities of a TRS are subject to the additional following asset tests: (i) the value of any one issuer's securities owned by the REIT may not exceed 5% of the value of the REIT's gross assets, and (ii) the REIT generally may not own more than 10% of any one issuer's outstanding securities, as measured by either voting power or value, and (iii) not more than 25% of the REIT's assets may consist of "nonqualified publicly offered REIT debt instruments." A "nonqualified publicly offered REIT debt instrument" means debt instruments issued by publicly offered REITs that only qualify as "real estate assets" by virtue of provisions of the Code. In addition, the aggregate value of all securities of TRSs held by the REIT may not exceed 20% of the value of the REIT's gross assets.

The 5% test must generally be met for any quarter in which a REIT (or a partnership through which the REIT invests) acquires securities of an issuer. The foregoing 5% and 10% limitations do not apply to the securities of a TRS. Additionally, a REIT will have the 30 days following the close of each quarter of its taxable year during which it can cure a problem causing it to fail one or all of the above asset tests.

A real estate mortgage loan that the 10FSSAC5 REIT owns generally will be treated as a real estate asset for purposes of the 75% REIT asset test if, on the date that the 10FSSAC5 REIT acquires the mortgage loan, the value of the real property securing the loan is equal to or greater than the principal amount of the loan. Existing IRS guidance provides that certain rules described above that are applicable to the gross income tests may apply to determine what portion of a mortgage loan will be treated as a real estate asset if the mortgage loan is secured both by real property and other assets. Under special guidance issued by the IRS, if the value of the mortgage loan exceeds the greater of the current value of the real property securing the loan and the value of the real property securing the loan at the time the 10FSSAC5 REIT committed to acquire the loan, such excess will not be a qualifying real estate asset. Furthermore, the 10FSSAC5 REIT may be required to retest modified loans to determine if the modified loan is adequately secured by real property as of the modification date if the modification results in a taxable exchange. However, under special guidance issued by the IRS, if a loan modification occurred as a result of default or the 10FSSAC5 REIT reasonably believed that there was a significant risk of default and the modification reduced such risk, the 10FSSAC5 REIT generally would not be required to retest such modified loan.

The 10FSSAC5 REIT may enter into repurchase agreements under which it would nominally sell certain of its assets to a counterparty and simultaneously enter into an agreement to repurchase the sold assets. The 10FSSAC5 REIT generally believes that it would be treated for U.S. federal income tax purposes as the owner of the assets that are the subject of any such repurchase agreement, and the repurchase agreement would be treated as a secured lending transaction notwithstanding that it may transfer record ownership of the assets to the counterparty during the term of the agreement. It is possible, however, that the IRS could successfully assert that the 10FSSAC5 REIT did not own the assets during the term of the repurchase agreement, which could impact its REIT status.

The 10FSSAC5 REIT believes that its assets will be structured in a manner that will comply with the foregoing REIT asset requirements, and it intends to monitor compliance on an ongoing basis. There can be no assurance, however, that it will be successful in this effort. In this regard, to determine compliance with these requirements, the 10FSSAC5 REIT will need to estimate the value of its assets (or the value of

the collateral securing its loans). The 10FSSAC5 REIT may not obtain independent appraisals to support its conclusions concerning the values of its assets, or in many cases, the values may not be susceptible to a precise determination and are subject to change in the future. In some cases, the 10FSSAC5 REIT may rely on its own valuation that differs from the value determined by an appraiser. There can be no assurance that the IRS will not disagree with the determinations and assert that a different value is applicable, in which case the 10FSSAC5 REIT might not satisfy the 75% asset test and the other asset tests and could fail to continue to qualify as a REIT.

If a REIT fails to meet any of the asset test requirements for a quarter other than a de minimis failure noted above, then the REIT still would be deemed to have satisfied the requirements if (i) following the REIT's identification of the failure, the REIT files a schedule with a description of each asset that caused the failure, in accordance with regulations prescribed by the Treasury; (ii) the failure was due to reasonable cause and not to willful neglect; (iii) the REIT disposes of the assets within six months after the last day of the quarter in which the identification occurred or such other time period as is prescribed by the Treasury (or the requirements of the rules are otherwise met within that period); and (iv) the REIT pays a tax on the failure equal to the greater of (1) \$50,000, or (2) an amount determined (under Regulations) by multiplying (x) the highest rate of tax for corporations under Section 11 of the Code (currently 21%), by (y) the net income generated by the assets for the period beginning on the first date of the failure and ending on the date the REIT has disposed of the assets (or otherwise satisfies the requirements).

Prohibited Transactions. Net income that a REIT derives from a prohibited transaction outside of a TRS is subject to a 100% tax. The term "prohibited transaction" generally includes a sale or other disposition of property (other than foreclosure property and other than sales through a TRS) that is held as inventory or otherwise held primarily for sale to customers in the ordinary course of a trade or business, by a REIT or by a partnership in which the REIT holds an equity interest. Under existing law, whether property is held as inventory or primarily for sale to customers in the ordinary course of business is a question of fact that depends on all of the facts and circumstances of the particular transaction. Under a statutory safe harbor, however, a REIT (including the 10FSSAC5 REIT) will not be subject to the 100% tax with respect to a sale of a real estate asset if (1) the property has been held for at least two years prior to the sale, (2) capitalized expenditures on the property in the two years preceding the sale are less than 30% of the net selling price of the property, and (3) certain other conditions regarding the number of sales or portion of the REIT's assets disposed of pursuant to the safe harbor are met.

The 100% tax will not apply to gains from the sale of property held outside of the 10FSSAC5 REIT or through a TRS (which would be taxed at regular corporate rates). The Company intends to conduct its operations so that no asset owned, directly or indirectly, by the 10FSSAC5 REIT or its pass-through subsidiaries will be held for sale to customers, and that a sale of any such asset will not be in the ordinary course of business. However, no assurance can be given that the Company will be successful in structuring the sale of investments in a manner to avoid the 100% tax. The failure to do so would effectively eliminate the gain to the extent the REIT would otherwise have realized gain and would reduce cash available for distribution to Members investing directly or indirectly through a REIT.

Taxation of a REIT's U.S. Shareholders. Members in the Company will be allocated dividend income the Company receives from the 10FSSAC5 REIT in which it holds an interest, even if the Company does not make distributions to Members of dividends it receives from the 10FSSAC5 REIT. Unlike a partnership, items of income, gain, loss, expense, and credit do not flow through from the 10FSSAC5 REIT to the Members; the Members will only be allocated dividend income from the 10FSSAC5 REIT, which will qualify as either ordinary income or capital gain income. As long as an entity qualifies as a REIT under the Code, dividends it makes to its U.S. shareholders out of current or accumulated earnings and profits (and not designated as capital gain dividends) will be taken into account by such shareholders as ordinary income, and corporate shareholders will not be eligible for the dividends received deduction as to such

amounts. Dividends will not generally be eligible to be taxed at the preferential dividend income tax rates applicable to individuals who receive “qualified dividends” from taxable C corporations except to the extent attributable to dividends the REIT receives from a TRS. However, under the Tax Act, non-corporate U.S. holders, including individuals, generally may deduct 20% of dividends from a REIT, other than capital gain dividends and dividends treated as qualified dividend income, for tax years beginning after December 31, 2017, and before January 1, 2026. In addition, individual shareholders are taxed at preferential rates on dividends designated by and received from a REIT, to the extent that the dividends are attributable to (1) income that the REIT previously retained in the prior years, and on which it was subject to corporate level tax, (2) dividends received by a REIT from taxable corporations (such as a TRS), or (3) income from sales of appreciated property acquired from C corporations with a carryover basis, to the extent of the built-in gain.

Dividends that are designated as capital gain dividends will be taxed as long-term capital gains (to the extent they do not exceed a REIT’s actual net capital gain for the taxable year) without regard to the period for which the shareholder has held its securities. However, corporate shareholders may be required to treat up to 20% of certain capital gain dividends as ordinary income. Dividends in excess of current and accumulated earnings and profits will not be taxable to a shareholder to the extent that they do not exceed the adjusted basis of the shareholder’s securities, but rather will reduce the adjusted basis of such securities. To the extent that such dividends exceed the adjusted basis of a shareholders securities, they will be treated as gain from the sale of the securities (which gain will be capital gain, assuming the securities are a capital asset in the hands of the shareholders and will be long-term or short-term capital gain depending on how long the shareholder has held the securities).

As previously noted above, any dividend declared by a REIT in October, November, or December of any year and payable to the shareholder of record on a specific date in any such month will be treated as both paid by the REIT and received by the shareholder on December 31 of such year, provided that the dividend is actually paid by the REIT during January of the following calendar year.

Net operating losses, foreign tax credits and other tax attributes of a REIT generally do not pass through to the stockholders of a REIT, subject to special rules for certain items, such as capital gains, recognized by REITs.

A REIT may elect to retain and pay income tax on net long-term capital gains it earned during the tax year, which will impact the REIT’s shareholders (and thus Members investing in the REIT through the Company).

Also as mentioned above, certain U.S. shareholders who are individuals, estates, or trusts and whose income exceeds certain thresholds will be required to pay a 3.8% Medicare tax. The Medicare tax will apply to, among other things, dividends and other income derived from certain trades or businesses and net gains from the sale or other disposition of property subject to certain exceptions. Dividends payable from the 10FSSAC5 REIT and the gain from the sale or repurchase of the 10FSSAC5 REIT’s securities generally will be subject to the Medicare tax.

In general, a U.S. shareholder of a REIT who is not a dealer in securities will realize capital gain or loss upon the sale or other taxable disposition of its shares in a REIT in an amount equal to the difference between the sum of the fair value of any property and the amount of cash received in such disposition and the U.S. shareholder’s adjusted tax basis in the REIT shares at the time of the disposition. Certain individuals, estates, and trusts are subject to the aforementioned 3.8% Medicare tax on capital gains. The IRS has the authority to prescribe, but has not yet prescribed, regulations that would apply a capital gain tax rate of 25% (which is generally higher than the long-term capital gain tax rates for non-corporate shareholders) to a portion of a capital gain realized by a non-corporate shareholder on the sale of securities

that would correspond to a REIT's "unrecaptured Section 1250 gain." Gains recognized by shareholders that are corporations are subject to federal income tax at a maximum rate of 21%, whether or not classified as long-term capital gains. Capital losses recognized by a shareholder will be considered capital losses, and are generally available only to offset capital gain income of the shareholder but not ordinary income. If a U.S. shareholder recognizes a loss in excess of a threshold amount, it may be required to file a reportable transaction disclosure with the IRS. All or a portion of any loss that a shareholder realizes upon a taxable disposition of its shares in a REIT may be disallowed if the shareholder purchases other securities of the REIT within 30 days before or after the disposition.

Certain Special Considerations for Non-U.S. Members

General. The tax consequences applicable to prospective Members that are foreign persons generally will depend on whether the Company is deemed to be engaged in a U.S. trade or business. Based on the nature of the investments to be made by the Company, and the nature of the activities contemplated by the Company, the Manager believes that the Company will be deemed to be engaged in a U.S. trade or business to the extent it operates other than through the 10FSSAC5 REIT. As a result, a foreign investor holding a direct interest in the Company will be subject to federal income tax each year on its distributive share of the taxable income of the Company that is deemed to be "effectively connected" with a U.S. trade or business and will be required to file a U.S. federal income tax return, as if such investor were a U.S. citizen or resident, regardless of whether the Company makes any cash distributions associated with such U.S. trade or business. In addition, as described below, except for the sale of shares of a domestically controlled REIT, and except for "qualified foreign pension funds" and non-U.S. "qualified shareholders," each as described below, income derived by the Company arising from capital gain transactions related to the 10FSSAC5 REIT will be treated as "effectively connected" income triggering the same requirements to file a U.S. federal income tax return. Non-U.S. Members having effectively connected income may also be required to file state tax returns in states in which the Company and its subsidiaries do business. Furthermore, a foreign individual who directly invests (without the use of a "blocker" entity) in the Company would also be subject to U.S. (and potentially state) estate tax with respect to the value of his or her interest in the Company.

Withholding Tax and Impact of REIT. To the extent investments are held in the 10FSSAC5 REIT, the taxation of a distribution received by the Company (indirectly via 10FSSAC5 Master) from the 10FSSAC5 REIT depends on whether the distribution is attributable to ordinary operating profits or to gain from sales or exchanges of U.S. real property interests. To the extent the 10FSSAC5 REIT makes a distribution to the Company (indirectly via the 10FSSAC5 Master) attributable to gain from sales or exchanges of U.S. real property interests by such REIT, the distribution is taxed as effectively connected income with respect to any Non-U.S. Member not investing through a "blocker" except as set forth below.

A 21% federal withholding tax (37% if the Non-U.S. Member is not a corporation) generally will be imposed on a Non-U.S. Member's allocable share of any taxable income of the Company that is "effectively connected" with a U.S. trade or business (whether or not such income is distributed) and any amount designated as a capital gain dividend by the 10FSSAC5 REIT. Such withholding tax may be claimed as a credit against such Member's substantive U.S. tax liability. There also may be state or local tax withholding. Each Member generally will be personally liable to the Company with respect to any withholding tax not satisfied out of that Member's share of any distributions by the Company, plus interest if not repaid on demand.

FDAP Income. In addition, to the extent that the Company realizes any fixed, determinable, annual, or periodical income (such as interest and dividend income) that is not effectively connected with a U.S. trade or business and not designated as a capital gain dividend by the 10FSSAC5 REIT, such income distributed or allocable to a foreign investor generally will be subject to a 30% federal withholding tax.

Such withholding tax may be reduced or eliminated with respect to certain types of such income under any applicable income tax treaty between the United States and the foreign Member's country of residence or under the "portfolio interest" rules contained in Code Section 871 or 881, provided that the foreign Member provides proper certification as to the Members' eligibility for such treatment. Any foreign Member that is a governmental entity qualifying under Code Section 892 may be exempt from the 30% withholding tax.

Withholding on Certain Partnership Dispositions. The Tax Act added two new sections of the Code (Sections 864(c)(8) and 1446(f)), which treat a gain or loss on the sale of a partnership interest by a foreign taxpayer as effectively connected to the extent that such person would have had effectively connected gain or loss had the partnership sold all of its assets at fair market value, and provides coordinating withholding requirements on the sale or disposition of partnership interests by foreign taxpayers. No withholding is required if a non-foreign affidavit is furnished stating, under penalty of perjury, the U.S. TIN and that the transferor is not a foreign person. If a transferee fails to withhold the required amount, the partnership will be required to deduct and withhold from distributions to the transferee a tax in an amount equal to the amount the transferee failed to withhold (plus interest as applicable on such amount). The applicable withholding rate on such dispositions is 10%. Withholding is required on the amount realized on the disposition (i.e., effectively the gross proceeds), regardless of the amount of the gain on the sale. IRS Notice 2018-08, issued on December 29, 2017, suspended the withholding on sales or dispositions of publicly traded partnership interests until further guidance is issued. However, such Notice does not apply to any non-publicly traded partnership interest. As such, all relevant withholding is applicable to distributions from those entities.

FIRPTA. A Non-U.S. Member generally will incur tax on distributions that the Company receives that are attributable to gain from the 10FSSAC5 REIT's sale or exchange of a "United States real property interest" (a "USRPI") under the Foreign Investment in Real Property Tax Act of 1980 ("FIRPTA"). A USRPI generally refers to an ownership interest in real property located in the United States or the U.S. Virgin Islands and any equity interest in certain domestic corporations or partnerships that hold real property interests, but would not generally include a mortgage loan unless it provided for contingent interest payments based upon the income from or value of the real property securing such loan. A USRPI includes ownership interests in a "U.S. real property holding corporation," defined as a corporation if more than 50% of such corporation's assets were USRPIs on any applicable testing date, which would generally include the 10FSSAC5 REIT. Any gain or loss of a foreign person that is realized in connection with the actual or constructive disposition of a USRPI generally would be treated as gain or loss effectively connected with a trade or business engaged in by the taxpayer in the United States and would be subject to federal and possibly state and local income tax (subject to the exception for domestically controlled REITs discussed in the following paragraph and the exceptions noted below). Any gain or loss allocable to a Non-U.S. Member arising from a disposition by the Company of a USRPI would be so taxable, and, upon such a disposition, the Company would be required to withhold a federal tax equal to 35% (or, under the Regulations, equal to 20% in certain circumstances) of such gain, unless the Company is required to withhold under the rules described above for the "effectively connected" income of Members.

In addition, to the extent attributable to USRPIs owned by the Company, the amount realized on a sale or exchange by a Non-U.S. Member of its Units would be treated as received in exchange for a USRPI. Gain or loss, to the extent so attributable, therefore would be subject to federal income tax, and the gross proceeds from such sale or exchange may become subject to a 15% withholding tax. However, if 50% or more of the value of the gross assets of the Company consists of USRPIs and 90% or more of the value of the gross assets of the Company consists of USRPIs plus cash or cash equivalents, then each Unit will be treated in its entirety as a USRPI for purposes of such withholding tax. As a result, the entire proceeds of such sale generally would be subject to a 15% withholding tax. Generally, Non-U.S. Members are likely to be subject to U.S. tax on their share of the gain attributable to the Company's disposition of shares in a REIT (such gain would be treated as "effectively connected") if the REIT is foreign controlled, i.e., if 50%

or more of the REIT stock is owned by non-U.S. persons on a look-through basis (and the REIT stock is otherwise a USRPI). In such circumstance, the Non-U.S. Member must file a U.S. tax return and report the gain. However, if the shares of a foreign-controlled REIT are considered to be “publicly traded” and the Non-U.S. Member owns or owned a 10% or less interest (on a look-through basis), no tax is imposed. A foreign investor disposing of shares in a domestically controlled REIT (i.e., if 50% or more of the REIT stock is owned by U.S. persons) generally is not subject to U.S. tax on the gain. On April 24, 2024, the U.S. Department of Treasury published final regulations (the “**Final Regulations**”) relating to the determination of whether a REIT is “domestically controlled” for these purposes. In particular, under the Final Regulations, in determining whether a REIT is domestically controlled, a REIT is required to look through any nonpublic domestic corporation if 50% or more of the corporation’s stock (by value) is owned by foreign persons. Domestic corporations that are either publicly traded or whose foreign ownership is less than 50% would not be subject to the look-through rule and thus would be treated as U.S. persons for purposes of testing domestic control of the underlying REIT. There can be no assurance that the 10FSSAC5 REIT will qualify as a domestically controlled qualified investment entity. Additionally, the income and withholding taxes addressed in this paragraph would be inapplicable to the extent of the exceptions noted below.

Amounts withheld for federal income taxes may be claimed as a credit against a Member’s substantive U.S. income tax liability.

FIRPTA Exceptions. FIRPTA does not apply to any USRPI held directly (or indirectly through one or more partnerships) by, or to any distribution received from a REIT by, a “qualified foreign pension fund,” or any entity all of the interests of which are held by one or more qualified foreign pension funds. For these purposes, a “qualified foreign pension fund” means any trust, corporation, or other organization or arrangement (a) that is created or organized under the law of a country other than the U.S., (b) that is established to provide retirement, pension, or certain ancillary benefits to participants or beneficiaries that are current or former employees (or persons designated by those employees) of one or more employers in consideration for services rendered, (c) that does not have a single participant or beneficiary with a right to more than 5% of its assets or income (applying certain attribution rules), (d) that is subject to government regulation and provides annual information reporting about its beneficiaries to the relevant tax or other governmental authorities in the country in which it is established or operates, and (e) as to which, under the laws of the country in which it is established or operates: (i) contributions to that trust, corporation, organization, or arrangement which would otherwise be subject to tax under those laws are deductible or excluded from the gross income of the entity or taxed at a reduced rate, or (ii) taxation of any investment income of the trust, corporation, organization or arrangement is deferred or that income is taxed at a reduced rate.

Additionally, under Code Section 897(k)(2), shares of a REIT, including the 10FSSAC5 REIT, held directly (or indirectly through one or more partnerships) by a “qualified shareholder” are not subject to FIRPTA, except to the extent of interests in such qualified shareholder that are held by any “applicable investor” (any person who owns 10% of the REIT’s shares directly and upon application of a constructive ownership rule). For this purpose, a “qualified shareholder” would mean a Non-U.S. Member that (a) either (i) is eligible for benefits of an income tax treaty with the U.S. which includes an exchange of information program and the principal class of interests of which is listed and regularly traded on one or more recognized stock exchanges, or (ii) is a foreign partnership that is created or organized under foreign law as a Membership in a jurisdiction that has an agreement for the exchange of tax information with the U.S. and has a class of Membership units that is regularly traded on the New York Stock Exchange or Nasdaq Stock Market which class of Membership units’ value is greater than 50% of the value of all of such foreign partnership’s partnership units; (b) is either (i) a “qualified collective investment vehicle” eligible for benefits with respect to ordinary dividends paid by a REIT under the applicable income tax treaty with the U.S. even if it owns more than 10% of the REIT, (ii) a foreign partnership that (1) is a publicly traded

partnership but is not taxed as a corporation, (2) is subject to certain information reporting and withholding requirements, and (3) had it been a U.S. corporation, would have qualified as a “U.S. real property holding corporation” for purposes of FIRPTA, or (iii) an entity designated as a qualified collective investment vehicle by the Secretary of the Treasury and that is fiscally transparent under Section 894 of the Code or is required to include dividends in its gross income but is entitled to a deduction for distributions to its owners; and (c) satisfies certain recordkeeping requirements.

Branch Profits Tax. Prospective Non-U.S. Members that are foreign corporations also should be aware that the 30% U.S. “branch profits tax” and “branch-level interest tax” imposed by Code Section 884 would apply to an investment in the Company by a corporate Non-U.S. Member, although the tax rate may be reduced or the tax eliminated entirely for residents of certain foreign countries with tax treaties with the United States.

Withholding Taxes

The Manager, in its discretion, may withhold and pay any taxes that the Manager deems payable with respect to any Members, as applicable, and any such taxes may be deducted from any distribution otherwise payable to such Members. To the extent the withholding on behalf of a Member exceeds the amount that would be distributed to it, such excess shall be treated as a demand loan made by the Company to such Member that will bear an annual interest rate equal to 10%.

Foreign Accounts and FATCA

Under the Foreign Account Tax Compliance Act, commonly referred to as FATCA, if certain disclosure requirements related to U.S. accounts or ownership are not satisfied, a federal withholding tax at a 30% rate will be imposed with respect to certain income received by the Company that is allocable to (1) U.S. Members that own their Units in the Company through foreign accounts or foreign intermediaries and (2) certain Non-U.S. Members. While termed a “withholding tax,” such payments are not creditable against the substantive U.S. tax liability of Members. Accordingly, the Manager strongly urges any Member using non-U.S. accounts to ensure the foreign financial institution is a compliant foreign financial institution under applicable guidance issued by the Treasury Department. The Company will not pay any additional amounts in respect of any amounts withheld, and prospective Members should consult their tax advisors regarding the application of FATCA to an investment in the Company.

State and Local Taxes

The foregoing discussion does not address the state and local tax consequences of an investment in the Company, and prospective Members again are urged to consult their own advisors with respect thereto.

It should be noted that Members may be subject to state and local taxes, and may be required to file returns in jurisdictions in which the Company may be deemed to be doing business or own property or in which its income is otherwise sourced (including to the extent the Company conducts business directly or through a fiscally transparent vehicle in such state). An investment in the Company could subject a Member to taxation by such a state on non-partnership income as well. Certain of such states may require the Company to withhold state taxes on Company income sourced in such state to the extent allocable to nonresidents (which amounts so withheld from a Member will be treated as Company distributions to such Member). The foregoing taxation may also be in addition to taxation by the Member’s state of residence (which may grant a tax credit for taxes paid in other states). However, to the extent that the Company is doing business or owns assets through the 10FSSAC5 REIT, such REIT would have such state filing requirement, and the Members would generally not have a filing requirement. It should also be noted that

the Company itself may be subject to entity-level taxation in certain jurisdictions if it is considered to be engaged in business therein.

Administrative Matters

The partnership audit rules, as written, do not entitle partners to mount their own defense of a partnership tax position under examination. Under the law, significant power is vested in a designated “partnership representative.” If a partnership’s taxable year is audited by the IRS, then both the partners and the partnership will be bound by the actions taken by the partnership representative. The LLC Agreement specifies that the Sponsor is designated as the partnership representative (the “**Partnership Representative**”). Because the Company is a newly formed entity, if the IRS audits the Company, any action or decision by the Partnership Representative will be the imputed action or decision of each Member of the Company.

The partnership audit procedures provide that any adjustment to a partnership’s items of income, gain, loss, deduction, or credit (and any partner’s distributive share of such adjustment) is determined at the partnership level. Unlike the prior law, however, taxes and penalties associated with such adjustment are assessed and collected at the partnership level, rather than the partner level. The rules determine any imputed underpayment by netting each partner’s adjustments of income, gain, loss, deduction, or credit and multiplying the net adjustment by the highest tax rate in effect for the “**Reviewed Year**” – the taxable year of the Company that was audited. Since the Reviewed Year’s highest tax rate is applied regardless of the individual partners’ tax rate, a partnership may be liable for higher amounts than if the adjustments were made at the partner level. Under the rules, a partnership will take the adjustment into account in the “**Adjustment Year**” – the year that the audit or judicial review is complete. As such, the economic burden of an adjustment (and any related penalties) could be shifted from those who were partners in a partnership during the Reviewed Year to such partnership’s partners as of the Adjustment Year, although partners will not be held jointly and severally liable for a partnership’s tax liability.

Under the audit rules, partners continue to be required to treat each item of income, gain, loss, deduction, or credit attributable to a partnership in the same manner as such partnership. A partner who fails to treat such items consistently and who does not satisfy one of the narrow exceptions to this rule may be subject to assessed deficiencies by the IRS.

Under an alternative procedure, the Company may make an election pursuant to Code Section 6226 to require each person who was a Member during a Reviewed Year to personally bear any tax, interest, and penalty resulting from adjustments based on such audit. By subscribing for Units in the Company, each Member agrees to the foregoing, even if such person is no longer a Member in the Company (unless a substitute Member has agreed to bear such liability in an appropriate transfer document). Furthermore, if the Company is unable (or otherwise fails) to make an election under Code Section 6226 and becomes subject to an entity-level tax, the LLC Agreement provides that each Member agrees to bear its proportionate share of the liability, even if such person is no longer a Member of the Company (unless a substitute Member has agreed to bear such liability in an appropriate transfer document).

The law also contains an “opt-out” election where a partnership with 100 or fewer qualifying partners may opt-out of these rules. However, partnerships with a partnership (or a limited liability company treated as a partnership for federal income tax purposes) as a partner, would not be eligible for such an opt-out. The Manager is a partnership (and one or more other Members may be, as well); accordingly, the Company will not be eligible to opt-out of the rules.

Tax Shelter Regulation. It is not expected that the Company will be required to register as a tax shelter.

Tax Aspects of the Company's Partnerships

The following discussion summarizes the material U.S. federal income tax considerations that are applicable to the Company's direct and indirect investments in its subsidiaries, including the Operating Partnership, that are taxed as partnerships for U.S. federal income tax purposes, each individually referred to as a "Partnership" and, collectively, as the "Partnerships." The following discussion does not address state or local tax laws or any U.S. federal tax laws other than income tax laws.

Classification as Partnerships

The Company is required to include in its income its distributive share of each Partnership's income and allowed to deduct its distributive share of each Partnership's losses but only if such Partnership is classified for U.S. federal income tax purposes as a partnership rather than as a corporation or an association treated as a corporation. An unincorporated entity with at least two owners, as determined for U.S. federal income tax purposes, will be classified as a partnership, rather than as a corporation, for U.S. federal income tax purposes if it:

- is treated as a partnership under the U.S. Treasury regulations relating to entity classification, or the "check-the-box regulations"; and
- is not a "publicly traded partnership."

Under the check-the-box regulations, an unincorporated entity with at least two owners may elect to be classified either as an association treated as a corporation or as a partnership for U.S. federal income tax purposes. If such an entity does not make an election, it generally will be taxed as a partnership for U.S. federal income tax purposes.

A publicly traded partnership is a partnership whose interests are traded on an established securities market or are readily tradable on a secondary market or the substantial equivalent thereof. A publicly traded partnership generally is treated as a corporation for U.S. federal income tax purposes, but will not be so treated if, for each taxable year beginning after December 31, 1987 in which it was classified as a publicly traded partnership, at least 90% of the partnership's gross income consisted of specified passive income, including real property rents, gains from the sale or other disposition of real property, interest, and dividends, or the "90% passive income exception." The U.S. Treasury regulations provide limited safe harbors from treatment as a publicly traded partnership. Pursuant to one of those safe harbors, interests in a partnership will not be treated as readily tradable on a secondary market or the substantial equivalent thereof if (1) all interests in the partnership were issued in a transaction or transactions that were not required to be registered under the Securities Act, and (2) the partnership does not have more than 100 partners at any time during the partnership's taxable year. In determining the number of partners in a partnership, a person owning an interest in a partnership, grantor trust, or S corporation that owns an interest in the partnership is treated as a partner in such partnership only if (1) substantially all of the value of the owner's interest in the entity is attributable to the entity's direct or indirect interest in the partnership and (2) a principal purpose of the use of the entity is to permit the partnership to satisfy the 100-partner limitation. If any Partnership does not qualify for any safe harbor and is treated as a publicly traded partnership, the Company believes that such Partnership would have sufficient qualifying income to satisfy the 90% passive income exception and, therefore, would not be treated as a corporation for U.S. federal income tax purposes.

The Company has not requested, and does not intend to request, a ruling from the IRS that any Partnership is or will be classified as a partnership for U.S. federal income tax purposes. If, for any reason, a Partnership were treated as a corporation, rather than as a partnership, for U.S. federal income tax purposes, the 10FSSAC5 REIT may not be able to qualify as a REIT, unless it qualifies for certain statutory

relief provisions. See “– *Gross Income Tests – Failure to Satisfy the Gross Income Tests*,” “– *Asset Tests – Failure to Satisfy the Asset Tests*” and “– *Failure to Qualify*.” In addition, any change in a Partnership’s status for U.S. federal income tax purposes might be treated as a taxable event, in which case the Company might incur tax liability without any related cash distribution. See “– *Annual Distribution Requirements*.” Further, items of income and deduction of such Partnership would not pass through to the Company, and the Company would be treated as a stockholder for U.S. federal income tax purposes. Consequently, such Partnership would be required to pay income tax at U.S. federal corporate income tax rates on its net income, and distributions to the Company would constitute dividends that would not be deductible in computing such Partnership’s taxable income.

Income Taxation of Partnerships and Their Partners

Partners, Not the Partnerships, Subject to Tax

A partnership is not a taxable entity for U.S. federal income tax purposes. Rather, the Company is required to take into account its distributive share of each Partnership’s income, gains, losses, deductions, and credits for each taxable year of the Partnership ending with or within our taxable year, even if the Company receives no distribution from the Partnership for that year or a distribution that is less than its share of taxable income. Similarly, even if the Company receives a distribution, it may not be taxable if the distribution does not exceed the Company’s adjusted tax basis in its interest in the Partnership.

Partnership Allocations

Although an agreement among the owners of an entity taxed as a partnership for U.S. federal income tax purposes generally will determine the allocation of income and losses among the owners, such allocations will be disregarded for tax purposes if they do not comply with the provisions of the U.S. federal income tax laws governing partnership allocations. If an allocation is not recognized for U.S. federal income tax purposes, the item subject to the allocation will be reallocated in accordance with the “partners’ interests in the partnership,” which will be determined by taking into account all of the facts and circumstances relating to the economic arrangement of the owners with respect to such item.

Tax Allocations With Respect to Contributed Properties

Income, gain, loss, and deduction attributable to appreciated or depreciated property contributed to an entity taxed as a partnership for U.S. federal income tax purposes in exchange for an interest in such entity must be allocated for U.S. federal income tax purposes in a manner such that the contributing owner is charged with, or benefits from, respectively, the unrealized gain or unrealized loss associated with the property at the time of the contribution (the “**704(c) Allocations**”). The amount of such unrealized gain or unrealized loss, referred to as “built-in gain” or “built-in loss,” at the time of contribution is generally equal to the difference between the fair market value of the contributed property at the time of contribution and the adjusted tax basis of such property at that time, referred to as a book-tax difference.

A book-tax difference attributable to depreciable property generally is decreased on an annual basis as a result of the allocation of depreciation deductions to the contributing owner for book purposes, but not for tax purposes. The U.S. Treasury regulations require entities taxed as partnerships for U.S. federal income tax purposes to use a “reasonable method” for allocating items with respect to which there is a book-tax difference and outline several reasonable allocation methods.

Any gain or loss recognized by a partnership on the disposition of contributed properties generally will be allocated first to the partners of the partnership who contributed such properties to the extent of their

built-in gain or loss on those properties for U.S. federal income tax purposes, as adjusted to take into account reductions in book-tax differences described in the previous paragraph. Any remaining gain or loss recognized by the partnership on the disposition of the contributed properties generally will be allocated among the partners in accordance with their LLC Agreement unless such allocations and agreement do not satisfy the requirements of applicable U.S. Treasury regulations, in which case such allocation will be made in accordance with the “partners’ interests in the partnership.”

Under the “traditional method,” as well as certain other reasonable methods available to us, built-in gain or loss with respect to our depreciable properties (i) could cause us to be allocated lower amounts of depreciation deductions for tax purposes than for economic purposes and (ii) in the event of a sale of such properties, could cause us to be allocated taxable gain in excess of the economic gain allocated to us as a result of such sale, with a corresponding tax benefit to the contributing partners.

Basis in Partnership Interest

The Company’s adjusted tax basis in any Partnership interest we own generally will be:

- the amount of cash and the basis of any other property the Company contributes to the Partnership;
- increased by the Company’s distributive share of the Partnership’s income (including tax-exempt income) and any increase in the Company’s allocable share of indebtedness of the Partnership; and
- reduced, but not below zero, by the Company’s distributive share of the Partnership’s loss (including any non-deductible items), the amount of cash and the basis of property distributed to the Company, and any reduction in the Company’s allocable share of indebtedness of the Partnership.

Loss allocated to us in excess of the Company’s basis in a Partnership interest will not be taken into account for U.S. federal income tax purposes until the Company again has basis sufficient to absorb the loss. A reduction of the Company’s allocable share of Partnership indebtedness will be treated as a constructive cash distribution to the Company, and will reduce the Company’s adjusted tax basis in the Partnership interest. Distributions, including constructive distributions, in excess of the basis of the Company’s Partnership interest will constitute taxable income to the Company. Such distributions and constructive distributions normally will be characterized as long-term capital gain.

Sale of a Partnership’s Property

Generally, any gain realized by a Partnership on the sale of property held for more than one year will be long-term capital gain, except for any portion of the gain treated as depreciation or cost recovery recapture. The Company’s share of any Partnership’s gain from the sale of inventory or other property held primarily for sale to customers in the ordinary course of the Partnership’s trade or business will be treated as income from a prohibited transaction subject to a 100% tax. See “– *Prohibited Transactions*.”

Possible Tax Law Changes

The foregoing discussion is only a summary and is based upon existing federal income tax law. Members should recognize that the federal income tax treatment of an investment in the Company may be modified at any time by legislative, judicial, or administrative action. Any such changes may have a retroactive effect with respect to existing transactions and investments and may modify the statements made

above. In particular, the Tax Act includes sweeping changes to U.S. tax laws and represents the most significant changes to the Code since 1986. Prospective Members are urged to consult with their own tax advisor with respect to the impact of recent legislation, including the Tax Act, the CARES Act other recent legislation related to COVID-19 and the IRA, on their investment in the Company.

THE FOREGOING DISCUSSION SHOULD NOT BE CONSIDERED TO DESCRIBE FULLY THE FEDERAL INCOME TAX CONSEQUENCES OF AN INVESTMENT IN THE COMPANY. YOU ARE STRONGLY ADVISED TO CONSULT WITH YOUR TAX ADVISORS WITH RESPECT TO THE FEDERAL, STATE, LOCAL AND FOREIGN INCOME TAX CONSEQUENCES OF AN INVESTMENT IN THE COMPANY.

EXHIBIT A
LLC AGREEMENT – 10FSSAC5-A, LLC

See attached.

EXHIBIT B

INVESTOR SUITABILITY REQUIREMENTS

General

Investment in the Units involves significant risks and is suitable only for persons of adequate financial means who have no need for liquidity with respect to this investment and who can bear the economic risk of a complete loss of their investment. This Offering is made in reliance on exemptions from the registration requirements of the Securities and applicable state securities laws or regulations.

The suitability standards discussed below represent minimum suitability standards for you. Your satisfaction of such standards does not necessarily mean that an investment in the Units is a suitable investment for you. You are encouraged to consult your personal financial advisors to determine whether an investment in the Units is appropriate. We may reject subscriptions, in whole or in part, in our absolute discretion.

We will require you to represent in writing, among other things, that: (1) by reason of your business or financial experience, or that of your professional advisors, you are capable of evaluating the merits and risks of an investment in the Units and of protecting your own interest in connection with the transaction; (2) you are acquiring Units for your own account, for investment only and not with a view toward the resale or distribution thereof; (3) you are aware that the Units have not been registered under the Securities Act or any state securities laws and that transfer thereof is restricted by the Securities Act, applicable state securities laws, and the purchase agreement to be entered into in connection with the purchase of the Units, and you are aware of the absence of a market for the Units; and (4) you meet the suitability requirements set forth below.

Suitability Requirements

You must represent in writing that you qualify as an “accredited investor,” as such term is defined in Rule 501(a) of Regulation D under the Securities Act and must demonstrate the basis for your qualification. To be an accredited investor, you must fall within any of the following categories at the time of your purchase of the Units:

(1) Any bank as defined in Section 3(a)(2) of the Securities Act, or any savings and loan association or other institution as defined in Section 3(a)(5)(A) of the Securities Act whether acting in its individual or fiduciary capacity; any broker or dealer registered pursuant to Section 15 of the Securities Exchange Act of 1934, as amended; any investment adviser registered pursuant to Section 203 of the Investment Advisers Act of 1940 or registered pursuant to the laws of a state; any investment adviser relying on the exemption from registering with the Commission under Section 203(l) or (m) of the Investment Advisers Act of 1940; any insurance company as defined in Section 2(a)(13) of the Securities Act; any investment company registered under the Investment Company Act of 1940 or a business development company as defined in Section 2(a)(48) of that act; any Small Business Investment Company licensed by the U.S. Small Business Administration under Section 301(c) or (d) of the Small Business Investment Act of 1958; any Rural Business Investment Company as defined in Section 384A of the Consolidated Farm and Rural Development Act; any plan established and maintained by a state, its political subdivisions, or any agency or

instrumentality of a state or its political subdivisions, for the benefit of its employees, if such plan has total assets in excess of \$5,000,000; any employee benefit plan within the meaning of the Employee Retirement Income Security Act of 1974 (“ERISA”) if the investment decision is made by a plan fiduciary, as defined in Section 3(21) of ERISA, which is either a bank, savings and loan association, insurance company, or registered investment advisor, or if the employee benefit plan has total assets in excess of \$5,000,000, or, if a self-directed plan, with investment decisions made solely by persons that are accredited investors;

(2) Any private business development company as defined in Section 202(a)(22) of the Investment Advisers Act of 1940;

(3) Any organization described in Section 501(c)(3) of the Internal Revenue Code, corporation, Massachusetts or similar business trust, partnership, or limited liability company, not formed for the specific purpose of acquiring the Units offered, with total assets in excess of \$5,000,000;

(4) Any director or executive officer of our Company;

(5) Any natural person whose individual net worth, or joint net worth with that person’s spouse or spousal equivalent (as defined below), at the time of such person’s purchase of the Units, exceeds \$1,000,000¹;

(6) Any natural person who had an individual income in excess of \$200,000 in each of the two most recent years or joint income with that person’s spouse or spousal equivalent (as defined below) in excess of \$300,000 in each of those years and has a reasonable expectation of reaching the same income level in the current year;

(7) Any trust, with total assets in excess of \$5,000,000, not formed for the specific purpose of acquiring the Units offered, whose purchase is directed by a sophisticated person as described in Rule 506(b)(2)(ii) of Regulation D under the Securities Act;

(8) An entity in which all of the equity owners are accredited investors;

(9) Any entity, of a type not listed in paragraphs (1), (2), (3), (7), or (8), not formed for the specific purpose of acquiring the Units offered, owning investments in excess of \$5,000,000;

(10) Any natural person holding in good standing one or more professional certifications or designations or credentials from an accredited educational institution that the Commission has designated as qualifying an individual for accredited investor status. In determining whether to designate a professional certification or designation or

¹ For purposes of calculating such net worth, (A) your primary residence shall not be included as an asset; (B) indebtedness that is secured by your primary residence, up to the estimated fair market value of the primary residence at the time of the closing of your acquisition of Units, shall not be included as a liability, provided, however, that if the amount of such indebtedness outstanding at the time of the closing of your acquisition of Units exceeds the amount of indebtedness outstanding 60 days before such time, other than as a result of the acquisition of the primary residence (such as, for example, if you take out a home equity loan that is not used to acquire a primary residence during such 60-day time frame), the amount of such new indebtedness shall be included as a liability; and (C) indebtedness that is secured by your primary residence is in excess of the estimated fair market value of the primary residence shall be included as a liability.

credential from an accredited educational institution for purposes of this paragraph (10), the Commission will consider, among others, the following attributes:

(i) The certification, designation, or credential arises out of an examination or series of examinations administered by a self-regulatory organization or other industry body or is issued by an accredited educational institution;

(ii) The examination or series of examinations is designed to reliably and validly demonstrate an individual's comprehension and sophistication in the areas of securities and investing;

(iii) Persons obtaining such certification, designation, or credential can reasonably be expected to have sufficient knowledge and experience in financial and business matters to evaluate the merits and risks of a prospective investment; and

(iv) An indication that an individual holds the certification or designation is either made publicly available by the relevant self-regulatory organization or other industry body or is otherwise independently verifiable;

(11) Any natural person who is a "knowledgeable employee," as defined in Rule 3c-5(a)(4) under the Investment Company Act of 1940, of the Issuer of Units being offered or sold where the Issuer would be an investment company, as defined in Section 3 of such act, but for the exclusion provided by either Section 3(c)(1) or Section 3(c)(7) of such act;

(12) Any "family office," as defined in rule 202(a)(11)(G)-1 under the Investment Advisers Act of 1940:

(i) With assets under management in excess of \$5,000,000,

(ii) That is not formed for the specific purpose of acquiring the Units offered, and

(iii) Whose prospective investment is directed by a person who has such knowledge and experience in financial and business matters that such family office is capable of evaluating the merits and risks of the prospective investment; and

(13) Any "family client," as defined in rule 202(a)(11)(G)-1 under the Investment Advisers Act of 1940, of a family office meeting the requirements in paragraph (12) above and whose prospective investment in our Company is directed by such family office pursuant to paragraph (12)(iii) above.

The term spousal equivalent shall mean a cohabitant occupying a relationship generally equivalent to that of a spouse.

In order to meet the conditions for exemption from the registration requirements under the securities laws of certain jurisdictions, if you are a resident of such jurisdiction, you may be required to meet additional suitability requirements.

TRANSFER RESTRICTIONS

Offer and sale of the Units

The Units have not been registered under the Securities Act, and may not be offered or sold in the United States by a purchaser in this placement except pursuant to an effective registration statement or in accordance with an exemption from the registration requirements, as set forth below.

Investor Representations and Restrictions on Resale

If you purchase Units that we are offering, you will be deemed to have represented and agreed that:

(1) You are acquiring the Units for your own account or for an account with respect to which you exercise sole investment discretion, and that you are or such account is an accredited investor;

(2) You understand that the Units are being offered only in a transaction not involving any public offering within the meaning of the Securities Act, and that (i) if within two years after the date of original issuance of the Units you decide to resell, pledge or otherwise transfer the Units on which the legend set forth below appears, those Units may be resold, pledged or transferred only (A) to us (upon conversion, exchange, redemption or otherwise), (B) pursuant to an exemption from registration under the Securities Act provided by Rule 144 (if available), or (C) pursuant to an effective registration statement under the Securities Act, in each case in accordance with any applicable securities laws of any state of the United States and (ii) the person that purchases will, and each subsequent holder is required to, notify any purchaser of the Units of the resale restrictions referred to in (i) above, if then applicable; and

(3) You understand that the following legend will be placed on any certificate representing any Units, and upon any Units received upon conversion of any Units bearing such legend, unless we otherwise agree:

“THE SECURITIES REPRESENTED BY THIS CERTIFICATE HAVE NOT BEEN REGISTERED UNDER THE SECURITIES ACT OF 1933, AS AMENDED, OR APPLICABLE STATE SECURITIES LAWS. THESE SECURITIES HAVE BEEN ACQUIRED FOR INVESTMENT AND NOT WITH A VIEW TO DISTRIBUTION OR RESALE, AND MAY NOT BE SOLD, MORTGAGED, PLEDGED, HYPOTHECATED OR OTHERWISE TRANSFERRED WITHOUT AN EFFECTIVE REGISTRATION STATEMENT FOR SUCH SECURITIES UNDER THE SECURITIES ACT OF 1933, AS AMENDED, AND ANY APPLICABLE STATE SECURITIES LAWS, OR THE AVAILABILITY OF AN EXEMPTION FROM THE REGISTRATION PROVISIONS OF THE SECURITIES ACT OF 1933, AS AMENDED, AND APPLICABLE STATE SECURITIES LAWS.

THE UNITS REPRESENTED BY THIS CERTIFICATE ARE SUBJECT TO A SUBSCRIPTION AGREEMENT AND AN LLC AGREEMENT AND TO THE RESTRICTIONS CONTAINED THEREIN, INCLUDING RESTRICTIONS UPON TRANSFER. A COPY OF SUCH AGREEMENTS WILL BE FURNISHED TO ANY INTERESTED PARTY UPON WRITTEN REQUEST WITHOUT CHARGE.”